Knight Frank

IOIPG REIT Management Sdn Bhd
(on behalf of MTrustee Berhad, as the proposed trustee of IOIPG Malaysia Real Estate Investment Trust)
IOI City Tower 2
Lebuh IRC, IOI Resort City
62502 Putrajaya

Date: 20 JUL 2026

Reference No.: V/COR/26/0086(A) – (I)

Dear Sir / Madam,

UPDATE VALUATION CERTIFICATE FOR THE ASSETS TO BE HELD BY MTRUSTEE BERHAD, AS THE PROPOSED TRUSTEE OF IOIPG MALAYSIA REAL ESTATE INVESTMENT TRUST
(COLLECTIVELY HEREINAFTER REFERRED TO AS THE "SUBJECT PROPERTIES")

We were instructed by IOIPG REIT Management Sdn Bhd (on behalf of MTrustee Berhad, as the proposed Trustee of IOIPG Malaysia Real Estate Investment Trust (**"IOIPG REIT"**) (hereinafter referred to as the **"IOIPG / Client"**) to prepare this update valuation certificate for the inclusion in the prospectus in relation to the proposed establishment and listing of IOIPG REIT on the Main Market of Bursa Malaysia Securities Berhad.

The valuation reports of the abovementioned properties were previously prepared by us bearing Reference No(s). V/COR/25/0071(A) - (H) & (J) to (K) dated 9 April 2026 (**"Valuation Reports"**) and the relevant date of valuation stipulated therein was 31 October 2025. For all intents and purposes, this update valuation certificate bearing Reference No. V/COR/26/0086(A) – (I) should be read in conjunction with our formal Valuation Reports.

Pursuant to the Client's instruction, we have reviewed the latest information provided to us by the Client and re-inspected the Subject Properties on 31 May 2026 and adopted **31 May 2026** as the material date of valuation for this update valuation.

The basis of valuation adopted is the **Market Value** which is defined as "the estimated amount for which an asset or liability should exchange on the valuation date between a willing buyer and a willing seller in an arm's length transaction after proper marketing and where the parties had each acted knowledgeably, prudently and without compulsion".

We have prepared and provided this update valuation certificate which outlines factors that have been considered in arriving at our opinion of Market Value and reflects all information known by us and based on present market condition.

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RETAIL SECTOR

Malaysia: Retail Performance

Malaysia's retail industry expanded by 3.7% in 1Q2026, driven by festive spending and government cash assistance programmes. While resilient domestic consumption and Visit Malaysia 2026 are expected to continue supporting demand, retailers may face a more challenging operating environment in 2H2026 due to higher fuel, logistics and operating costs arising from geopolitical tensions. Consequently, the 2026 retail sales growth forecast has been revised down from 4.0% to 3.8%.

Property Market Analysis: Putrajaya Retail Market

Putrajaya's retail market remains relatively limited, with only three notable shopping centres with Alamanda Shopping Centre, IOI City Mall and Shaftsbury Putrajaya providing a cumulative retail space of approximately 3.6 million square feet ("sq. ft.") Across these three developments, retail space has expanded at a compound annual growth rate (CAGR) of 8.6% between 2004 and 2025, driven primarily by the phased expansion of IOI City Mall, (total of about 2.4 million sq. ft.), and the refurbishment / asset enhancement initiatives (AEI) of Alamanda Shopping Centre.

Looking ahead, Desini Putrajaya is expected to open in July 2026, introducing approximately 97,000 sq. ft. of retail space within a 5.9-acre transit-oriented mixed-use development in Precinct 7. In the long-term, IOI City Mall, currently the largest shopping centre in Malaysia, is set to undergo further expansion (Phases 3 and 4). Scheduled for completion by 2029, Phase 3 will add approximately 1.1 million sq. ft. of NLA and incorporate a purpose-built concert hall, a 10-acre central park and other lifestyle attractions aimed at enhancing its regional appeal.

As at 1Q2026, the average occupancy rate of retail space in Putrajaya (shopping centres, hypermarkets and arcades) remained healthy at 90.6%, supported by the strong performance of IOI City Mall and Alamanda Shopping Centre, which recorded occupancy rates of approximately 99% and 95%, respectively.

The proposed establishment of IOIPG REIT will comprise a diversified portfolio of retail, office and hotel assets with an estimated value of approximately RM7.6 billion, making it one of the largest proposed REIT exercises in recent years. The portfolio will include IOI City Mall, with a proposed consideration of RM5.1 billion, representing the IOIPG REIT's largest asset.

Property Market Analysis: Selangor Retail Market

Selangor's cumulative retail stock expanded to approximately 39.22 million sq. ft. as of 2025, supported by the completion of three developments comprising the neighbourhood malls of Sunsuria Forum Mall, Sunway Square Mall and Hextar World @ Empire City Damansara megamall.

Looking ahead, Coalfields Retail Park is scheduled to open in August 2026, adding approximately 460,000 sq. ft. of retail space. The 21-acre hybrid indoor-outdoor lakeside lifestyle destination has secured approximately 85% committed occupancy, anchored by a strong mix of junior anchors, family-oriented attractions and lifestyle brands.

The average occupancy rate of retail space in Selangor (shopping centres, hypermarkets and arcades) declined marginally to 79.9% in 1Q2026, from 80.3% in 4Q2025, marking the first time it fell below the 80% threshold since 4Q2023. The decline was primarily attributable to the completion of Hextar World @ Empire City Damansara, which introduced more than 1.8 million sq. ft. of retail space. Nevertheless, established shopping centres continued to record healthy occupancy levels, with Sunway Pyramid maintaining approximately 97% occupancy, while regional and neighbourhood malls such as Subang Parade, 3 Damansara and The Mines recorded occupancy levels of between 82% and 85%.

Retail investments remained active in 2025. Notable transactions included the injection of Bukit Tinggi Shopping Centre and Paradigm Mall into the newly established Paradigm REIT at RM680 million and RM600 million, respectively. Other transactions included KIP REIT's acquisition of KIPMall Desa Coalfields for RM62 million and the acquisition of Jaya Shopping Centre by Primadana Utama Sdn Bhd for RM100 million.

Market Outlook: Retail Sector

The Klang Valley retail market is expected to remain broadly resilient, supported by stable domestic consumption, continued retailer expansion and the ongoing recovery in tourism backed by Visit Malaysia 2026. Government initiatives, including higher allocations under the Sumbangan Tunai Rahmah (STR) and Sumbangan Asas Rahmah (SARA) programmes, together with tax incentives and other household support measures, are expected to sustain consumer spending despite a more challenging cost environment.

Grocery, convenience and value-oriented retailers are expected to remain the key demand drivers as consumers continue to prioritise affordability and essential spending. Meanwhile, F&B, lifestyle and experiential concepts are likely to maintain leasing momentum as shopping centres increasingly evolve into lifestyle and social destinations. Asset repositioning and redevelopment of older malls, alongside community-focused mixed-use developments, are also expected to remain key strategies to enhance competitiveness and attract footfall.

The retail sector continues to face headwinds from higher operating costs arising from the expansion of the Sales and Services Tax (SST), electricity tariff adjustments and targeted fuel subsidy rationalisation. In addition, prolonged geopolitical tensions in the Middle East may further increase energy, logistics and supply chain costs, potentially affecting retailer expansion plans and consumer spending. Coupled with the incoming retail supply pipeline, competition is expected to intensify, reinforcing the need for landlords to adopt flexible leasing strategies, curate stronger tenant mixes and enhance destination placemaking. Against this backdrop, well-positioned assets that successfully integrate essential retail, experiential offerings and strong accessibility are expected to be best placed to sustain occupancy, rental growth and long-term competitiveness.

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HOTEL SECTOR

Tourism Industry Overview

Malaysia's tourist arrivals and receipts have been trending upwards gradually from 2015 until 2019, before experiencing a sharp decline in 2020 following onset of the COVID-19 pandemic. Malaysia's tourism sector continued to record growth in 1Q2026, with tourist arrivals reaching approximately 6.5 million, representing a yearly increase of 2.5% from 6.4 million arrivals in 1Q2025. Looking ahead, the country aims to attract 47.0 million tourist arrivals and generate tourism receipts of RM147.1 billion for the full year of 2026.

Kuala Lumpur: Hotel Market

Supply Analysis: Existing Supply for All-Star Rating Hotels

The existing supply of hotels in Kuala Lumpur are categorised by room count. In the first three months of 2026, circa 37.0% of the existing supply (94 hotels) fall within the 100 to 299-room category, followed by hotels with more than 300 rooms (23.6% or 60 hotels). Collectively, these hotels provide 45,692 rooms. Another 35 hotels (13.8%) in the 50 to 99-room category offer a total of 2,456 rooms. Meanwhile, there are 52 hotels (20.5%) with smaller capacities of 20 to 49-room, collectively contributing 1,820 rooms. The remaining 13 hotels (5.1%) with 10 to 19-room each, contribute 180 rooms in total.

Hotel Openings, 4Q2025 – 1H2026:

Kuala Lumpur City – Hotel Openings in 4Q2025

No.	Development Name	Star Rating (Classification)	Location	Opening Date	No. of Rooms
1	Grand Mercure Kuala Lumpur Bukit Bintang (rebranded from Swiss-Garden Hotel Bukit Bintang Kuala Lumpur)	4 (Upscale)	Jalan Pudu	October 2025	325
2	Kimpton Naluria Kuala Lumpur	5 (Luxury)	Lingkaran TRX	December 2025	466

Source: Knight Frank Research

There were two (2) notable hotel openings in Kuala Lumpur City as of 4Q2025, namely Grand Mercure Kuala Lumpur Bukit Bintang and Kimpton Naluria Kuala Lumpur. The rebranded Grand Mercure features 325 rooms and suites with a 540 sq m pillarless Grand Mahkota Ballroom that can accommodate up to 300 guests for weddings, conferences, and social celebrations. Meanwhile, Kimpton Naluria offers 466 guestrooms and suites spanning 26 stories, towering over The Exchange TRX mall, and accords iconic landmark views of the city.

Supply Analysis: Existing Supply of 4-star and 5-Star Hotels

From 2018 to 2025, there has been a gradual increase in the number of 4 and 5-star hotels in Kuala Lumpur. The supply of 4-star and 5-star hotels grew at a compound annual growth rate (CAGR) of 5.3% and 3.9%, respectively. Similarly, the corresponding supply of guest rooms has also been trending up, with the 4-star and 5-star categories registering CAGRs of 5.2% and 3.6%, respectively. As of 1Q2026, the supply of hotels and rooms remained stable compared to 2025.

Supply Analysis: Future Supply (Under Construction / Proposed or Planned)

In the medium to longer term, the completions of 19 upcoming hotels (12 incoming and 7 planned) are set to inject around 3,875 rooms to the existing inventory.

The following tabulates selected upcoming hotels in Kuala Lumpur which are either under construction or are being proposed / planned. Five notable hotels, offering a total of 2,075 guest rooms, are scheduled for completion by 2H2026. These hotels are mainly in the luxury category.

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Kuala Lumpur City - Selected Upcoming Hotels (Under Construction / Proposed), 2H2026

No.	Development Name	Star Rating Note (Classification)	Location	Operator	Expected Completion	No. of Rooms
1	Irama Kuala Lumpur	5 (N/A)	Titiwangsa Sentral	Irama Kuala Lumpur	2H2026	766
2	Conrad Kuala Lumpur	5 (Luxury)	Jalan Sultan Ismail	Hilton Worldwide		488
3	Waldorf Astoria Kuala Lumpur	5 (Luxury)	Bukit Bintang	Hilton Worldwide		272
4	Regent Kuala Lumpur	5 (Luxury)	Persiaran TRX	InterContinental Hotels Group (IHG)		259
5	YOTEL Kuala Lumpur	4 (Upscale)	Kuala Lumpur City Centre	YOTEL, in partnership with High Street Holdings		290
					GRAND TOTAL	2,075

Source: Knight Frank Research
Note: Our preliminary classification, subject to change upon completion / opening.

Demand Analysis: Type of Hotel Guests

In 2018 and 2019, the majority of hotel guests in Kuala Lumpur comprised of foreign travellers (60%). For the first time since 2018, the number of domestic guests was higher in 2020 – this was due to the closure of international borders following onset of the COVID-19 pandemic early of the year. Since then, domestic guests had consistently outnumbered foreign visitors. However, in 2024, there appears to be a shift to pre-pandemic level, with the number of foreign guests surpassing domestic visitors. This trend continued in 2025, with Kuala Lumpur hotels welcoming 13.38 million foreign guests compared to 10.35 million domestic guests (2024: 12.13 million foreign guests, 9.78 million domestic guests), indicating a strong rebound in international visitor numbers.

Demand Analysis: Average Occupancy Rate

The average occupancy rate (AOR) for 4-star and 5-star hotels in Kuala Lumpur fluctuated between 2018 and 2Q2026, reflecting the impact of the COVID-19 pandemic and the subsequent recovery in the hospitality industry.

Occupancy was relatively healthy prior to the pandemic, with the AOR for 4-star hotels peaking at 70.5% in 2019, while for 5-star hotels, the AOR was recorded at 58.6% in 2018 and 53.5% in 2019. However, the AOR for both segments declined sharply in 2020 and remained subdued in 2021 due to movement restrictions and weaker travel demand.

Supported by the reopening of borders and improved travel activity, the market began to recover in 2022, with AOR improving to 46.0% for 4-star hotels and 48.7% for 5-star hotels. The recovery continued in the following years, with the AOR for 4-star hotels increasing to 65.5% in 2024 and 69.8% in 2025, while for 5-star hotels, the AOR improved to 62.3% in 2024 and 64.0% in 2025.

In the first five month of 2026, the AOR for 4-star and 5-star hotels stood at 65.3% and 64.9%, respectively - reflecting yearly improvement from 63.4% and 57.7% recorded in the preceding year.

Demand Analysis: Average Daily Rate

The average daily rate (ADR) for selected 4-star and 5-star hotels in Kuala Lumpur fluctuated between 2018 and 2021, before recording a steady recovery from 2022 onwards, supported by the reopening of borders and stronger tourism activity.

In 2018, the ADR for 4-star and 5-star hotels stood at RM288 per night and RM266 per night, respectively. The ADR for 4-star hotels declined to RM199 per night in 2020 and remained subdued at RM202 per night in 2021, following impact of the COVID-19 pandemic and movement restrictions. Meanwhile, the ADR for 5-star hotels declined from RM312 per night in 2019 to RM250 per night in 2020, before improving to RM276 per night in 2021.

Supported by the recovery in travel demand, the ADR for both segments improved from 2022 onwards. The ADR for 4-star hotels increased to RM303 per night in 2024 and RM307 per night in 2025, while for 5-star hotels, the ADR recorded a stronger recovery, rising to RM494 per night in 2024 before moderating slightly to RM489 per night in 2025.

In the first five months of 2026, the ADR for 4-star and 5-star hotels remained relatively stable at RM297 per night (2Q2025: RM296 per night) and RM413 per night (2Q2025: RM482 per night), respectively.

Selangor: Hotel Market

Supply Analysis: Existing Supply for All-Star Rating Hotels

As of 1Q2026, Selangor recorded a total of 211 hotels, offering approximately 26,781 rooms. While the market is largely dominated by small to mid-scale properties, a significant proportion of room supply comes from larger hotel formats.

Hotels in the 20 to 49 rooms category represent the largest share by property count, comprising 78 hotels (37.0%) and contributing 2,418 rooms (9.0%). In comparison, there are 32 hotels (15.2%) with more than 300 rooms each – this category contributes half of the room supply (13,831 rooms or 51.6%), reflecting the presence of large-scale, high-capacity developments.

There are 48 hotels (22.7%) in the 100 to 299-room segment, offering a total of 8,178 rooms (30.5%). Mid-sized hotels with 50 to 99 rooms account for 29 properties (13.7%) and supply 1,998 rooms (7.5%), while there are 24 hotels in the 10 to 19 rooms category (11.4%), contributing 356 rooms (1.3%).

Hotel Openings, 4Q2025 – 1H2026:

Selangor – Hotel Openings in 4Q2025

No.	Development Name	Star Rating (Classification)	Location	Opening Date	No. of Rooms
1	Petaling Jaya Marriott Hotel (converted from Eastin Hotel Kuala Lumpur after phased renovations)	5 (Upper Upscale)	Jalan 16/11, Seksyen 16	December 2025	393
2	Hilton Glenmarie Shah Alam	5 (Upper Upscale)	Jalan Usahawan U1/8	March 2026	261

Source: Knight Frank Research

During the review period, the former Glenmarie Hotel & Golf Resort was also rebranded as the Hilton Shah Alam Glenmarie. The 261-key hotel has been repositioned to capture the MICE (Meetings, Incentives, Conferences and Exhibitions) segment, alongside corporate and family leisure travellers following expansions of its event space offerings.

Supply Analysis: Existing Supply of 4-star and 5-Star Hotels

From 2018 to 2024, the supply of 4-star and 5-star hotels in Selangor remained relatively steady, with only modest growth recorded over the period. The number of 4-star hotels increased from 15 in 2018 to 22 in 1Q2026, while in the 5-star segment, it rose from 17 to 21 over the same timeframe.

The supply of 4-star hotel rooms fluctuated during the review period. Between 2018 and 2022, the number of rooms ranged from 3,506 to 4,167. In 2023, the supply peaked at 6,265 rooms following several new hotel openings. However, despite continued additions to the market, the total room supply declined to 5,691 in 2025, likely due to the closure of larger establishments and the entry of smaller-scale hotels.

Meanwhile, the 5-star segment exhibited a general upward trajectory. Room supply increased from 6,714 in 2018 to 7,278 in 2022, before declining to 6,528 in 2023 due to the closure of larger establishments offset by smaller-scale openings. Subsequently, room supply rebounded to 7,762 in 2024 and it increased further to 8,322 rooms in 2025. As of 1Q2025, room supply in Selangor remained stable.

Supply Analysis: Future Supply (Under Construction / Proposed or Planned)

As of 1Q2026, Selangor records only one (1) incoming hotel, namely Courtyard by Marriott Subang. The under-construction hotel, which falls within the 100 to 299 rooms category, will offer 280 rooms. Meanwhile, there are no hotels in the planning stage.

Selangor - Selected Upcoming Hotels (Under Construction / Proposed), 2H2026

No.	Development Name	Star Rating Note (Classification)	Location	Operator	Expected Completion	No. of Rooms
1	ASAI Gamuda Cove	4 (Midscale)	Gamuda Cove, Kuala Langat	Dusit Hotels and Resorts	2H2026	280
2	Courtyard by Marriott Subang	4 (Upscale)	Subang	Marriott International		300
					GRAND TOTAL	580

Source: Knight Frank Research
Note: Our preliminary classification, subject to change upon completion / opening.

Demand Analysis: Type of Hotel Guests

Tourism in Selangor is mainly driven by domestic visitors. Following the pandemic-induced downturn in 2020 and 2021, total hotel guests recovered strongly from 1.74 million in 2021 to 6.74 million in 2022, supported by the resumption of travel activities and stronger domestic demand.

The recovery momentum continued into 2023 and 2024, with total hotel guests increasing to 8.77 million and 9.48 million, respectively. In 2025, there were 9.91 million hotel guests in Selangor, made up of 3.61 million foreign guests and 6.30 million domestic guests. Domestic guests remained the main contributor, accounting for approximately 64.0% of total hotel guests in the State, while foreign guests accounted for the remaining 36.0%.

Demand Analysis: Average Occupancy Rate

The average occupancy rate (AOR) for 4-star and 5-star hotels in Selangor fluctuated between 2018 and 2Q2026, reflecting impact of the COVID-19 pandemic and the subsequent recovery in hotel demand.

Occupancy was relatively healthy in 2019, with the AOR of 4-star and 5-star hotels recorded at 63.8% and 70.6%, respectively. However, the AOR for both segments declined sharply in 2020 and remained subdued in 2021 due to movement restrictions and weaker travel demand.

Supported by the reopening of borders and improved travel activity in 2022, the market began its recovery. By 2024, the AOR for 4-star and 5-star hotels improved to 57.3% and 60.4%, respectively. In 2025, the AOR for 4-star hotels increased further to 59.4%, while in the 5-star hotel category, it moderated slightly to 58.0%. In the first five months of 2026, the AOR for 4-star and 5-star hotels stood at 55.7% and 55.6%, respectively - reflecting yearly improvement from 52.5% and 53.1% recorded in the preceding year.

Demand Analysis: Average Daily Rate

The average daily rate (ADR) for 4-star hotels in Selangor depicts a steady uptrend from 2018 to 2025, while the ADR for 5-star hotels showed some fluctuations, particularly during the pandemic period.

In 2018, the ADR for 4-star and 5-star hotels stood at RM124 per night and RM171 per night, respectively. The ADR for 5-star hotels increased sharply to RM433 per night in 2019, before declining to RM205 per night in 2020 and RM194 per night in 2021 following impact of the COVID-19 pandemic and movement restrictions. Supported by the reopening of borders in 2022 coupled with stronger tourism activity, the ADR for 4-star and 5-start hotels increased to RM260 per night and RM375 per night, respectively.

In the first five months of 2026, the ADR for 4-star and 5-star hotels stood at RM261 per night (2Q2025: RM250 per night) and RM382 per night (2Q2025: RM370 per night), respectively.

Putrajaya: Hotel Market

Supply Analysis: Existing Supply for All-Star Rating Hotels

As of 1Q2026, there are seven hotels in Putrajaya, collectively offering about 1,769 rooms. Six of the hotels offer more than 100 rooms, while only one hotel (14.3%) operates on a smaller scale with only 38 rooms (2.1%). Hotels in the 100–299 room category represent the largest share by property count, comprising four hotels (57.1%) with a total of 896 rooms (50.7%). Meanwhile, two hotels (28.6%) with more than 300 rooms account for 835 rooms (47.2%), underscoring the presence of large-scale, high-capacity developments.

Hotel Openings, 4Q2025 – 1H2026:

During the review period, there is no notable hotel opening in Putrajaya.

Supply Analysis: Existing Supply of 4-star and 5-Star Hotels

From 2018 to 3Q2025, there were modest movements in the supply of 4-star and 5-star hotels in Putrajaya. The number of 4-star hotels grew from none in 2018 to three in recent years, while there are 3 hotels in the 5-star category following a new addition since 2018.

The supply of 4-star hotel rooms, however, showed fluctuations during the review period. In 2019, the two new openings added 600 rooms, but the closure of one hotel in 2020 reduced supply to 453 rooms. The opening of two hotels in 2023 increased the cumulative supply to 1,053 rooms, and this figure has since remained unchanged.

In contrast, the 5-star segment displayed a more stable trajectory. Room supply declined from 421 in 2018 to 388 in 2019 before rebounding to 678 rooms in 2020, reflecting the closure of smaller hotels offset by addition of larger establishments. As of 1Q2026, the supply of both 4-star and 5-star hotels remained unchanged, with three (3) hotels in each category, offering 1,053 rooms and 678 rooms respectively.

Supply Analysis: Future Supply (Under Construction / Proposed or Planned)

As of 1Q2026, there are no known hotels under construction in Putrajaya. Meanwhile, there is a planned hotel (270 rooms) in the 100 to 299 rooms category.

Demand Analysis: Type of Hotel Guests

Tourism in Putrajaya, largely driven by domestic visitors, experienced a sharp downturn during the pandemic, with total hotel guests declining from 485,418 in 2019 to 194,274 in 2020 and further to 133,393 in 2021 due to travel restrictions and health measures.

The market rebounded strongly in 2022, with total hotel guests increasing to 455,444, supported by the recovery of both domestic and international segments. Growth momentum continued into 2023 and 2024 with Putrajaya receiving 659,728 and 777,420 guests, respectively.

In 2025, the number of hotel guests increased further to 789,050, made up of 222,220 foreign guests and 566,830 domestic guests. Domestic visitors remained the main contributor, accounting for approximately 72.0% of total hotel guests, while foreign visitors accounted for the remaining 28.0%.

Demand Analysis: Average Occupancy Rate

The average occupancy rate (AOR) for 4-star hotels in Putrajaya recorded a steady recovery, increasing from 41.2% in 2021 to 65.7% in 2025. In the first five months of 2026, the AOR moderated to 54.5%, compared to 61.1% in the first five months of 2025.

In contrast, the AOR for 5-star hotels showed some fluctuations between 2021 and 2024, ranging between 49.6% and 59.1%. A stronger recovery was observed in 2025, with the AOR improving to 64.2%. In the first five months of 2026, the AOR moderated to 54.2%, compared to 62.0% in the first five months of 2025.

Demand Analysis: Average Daily Rate

The average daily rate (ADR) for 4-star and 5-star hotels in Putrajaya demonstrated an overall upward trend between 2021 and 2025. During this period, the ADR for 4-star hotels increased from RM182 per night in 2021 to RM229 per night in 2025, while in the 5-star category, it posted a stronger increase from RM178 per night to RM350 per night.

In the first five months of 2026, the ADR for 4-star hotels improved to RM237 per night, compared to RM221 per night in 1Q-2Q2025. In contrast, the ADR for 5-star hotels declined to RM284 per night, compared to RM367 per night in the first five months of 2025.

Penang: Hotel Market

Supply Analysis: Existing Supply for All-Star Rating Hotels

The existing supply of hotels in Pulau Pinang are categorised based on total number of rooms. As of 1Q2026, the largest segment consists of hotels with over 300 rooms (10.3%, 26 hotels), followed closely by the 100–299 room category (19.4%, 49 hotels). The remaining distribution includes hotels with 20–49 rooms (39.1%, 99 hotels), 50–99 rooms (14.6%, 37 hotels) and 10–19 rooms (16.6%, 42 hotels).

Hotel Openings, 4Q2025 – 1H2026:

Pulau Pinang – Hotel Openings in 4Q2025

No.	Development Name	Star Rating (Classification)	Location	Opening Date	No. of Rooms
1	Capri by Fraser	5 (Upper Upscale)	Jalan Magazine	May 2026	248
2	1926 Heritage Hotel Penang, The Unlimited Collection	5 (Upper Upscale)	Jalan Burma	April 2026	78
3	Iconic Marjorie Hotel, A Tribute Portfolio Hotel	5 (Upper Upscale)	Jalan Sultan Azlan Shah	January 2026	298
4	Soori Penang	5 (Luxury)	Lebuh Aceh	January 2026	15

Source: Knight Frank Research

As of 1H2026, four (4) notable hotels had commenced operations on Penang Island, namely Capri by Fraser Penang, 1926 Heritage Hotel Penang, The Unlimited Collection, Iconic Marjorie Hotel, A Tribute Portfolio Hotel and Soori Penang.

Supply Analysis: Existing Supply of 4-star and 5-Star Hotels

From 2020 to 2025, Pulau Pinang witnessed a consistent uptick in the presence of both 4-star and 5-star hotels, with positive compound annual growth rates (CAGR) of 4.0% and 9.0%, respectively. This trend indicates a steady growth in the hospitality sector. Correspondingly, the number of rooms in both categories experienced growth, with CAGRs of 3.3% for 4-star category and 7.6% for 5-star category. As of 1Q2026, there are 20 hotels in the 5-star category that offer a total of 5,372 rooms and 28 hotels with 4-star rating (7,503 rooms).

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Supply Analysis: Future Supply (Under Construction / Proposed or Planned)

In the medium to longer term, the completion of 18 upcoming hotels (9 incoming and 9 planned) is set to inject around 3,415 rooms to the existing hospitality stock.

The following tabulates selected upcoming hotels in Pulau Pinang which are either under construction or are being proposed / planned. Five (5) notable hotels, offering a total of 1,396 guest rooms, are scheduled for completion by 2H2026. These hotels are mainly in the Upscale category.

Pulau Pinang - Selected Upcoming Hotels (Under Construction / Proposed), 2H2026

No.	Development Name	Star Rating (Classification)	Location	Operator	Expected Completion	No. of Rooms
1	JdV by Hyatt	5 (Upper Upscale)	Gelugor	Hyatt Hotels Corporation	2H2026	156
2	Galaxy Minyoun Penang The Light City Hotel	4 (Upscale)	Gelugor	Minyoun Hospitality		303
3	InterContinental Penang Resort	5 (Luxury)	Teluk Bahang	IHG Hotels & Resorts		355
4	Harris Sunshine Penang	4 (Upscale)	Ayer Itam	The Ascott Limited		289
5	Hompton Air-Port@Bayan Lepas	4 (Upscale)	Bayan Lepas	Hompton		293
					GRAND TOTAL	1,396

Source: Knight Frank Research
Note: Our preliminary classification, subject to change upon completion / opening.

Demand Analysis: Type of Hotel Guests

In 2019, domestic hotel guests continued to outnumber foreign guests. However, both segments declined significantly in 2020 and 2021 due to the COVID-19 pandemic, with foreign arrivals falling to just 11,000 in 2021 while domestic tourism proved relatively more resilient. Recovery began in 2022, led by a strong rebound in domestic guests, which increased to 5.07 million in 2024. Foreign guest arrivals recovered more gradually, reaching 3.18 million in 2024 and surpassing pre-pandemic levels for the first time. As a result, total hotel guest arrivals in Pulau Pinang reached a record high in 2024, reflecting the continued strength of domestic tourism and the recovery in international travel. The positive momentum continued into 2025, with domestic and foreign hotel guests increasing to 5.29 million and 3.47 million, respectively, representing year-on-year growth of 4.5% and 9.2%.

Demand Analysis: Average Occupancy Rate

The average occupancy rates (AOR) of 4-star and 5-star hotels in Pulau Pinang stood at 38.8% and 64.3%, respectively, in 2019, before declining sharply during the COVID-19 pandemic to 24.9% and 25.0% in 2021. Following the reopening of international borders in 2022, the tourism sector recovered steadily, with the AOR improving to 57.5% and 54.4% in 2022, 64.6% and 59.8% in 2023 and 67.1% and 65.4% in 2024 for 4-star and 5-star hotels, respectively. In 2025, the AOR stood at 66.5% for 4-star hotels and 65.9% for 5-star hotels. During the first five months of 2026 (5M2026), the AOR was recorded at 54.0% and 62.9%, respectively, compared with 61.7% and 62.5% in the corresponding period of 2025, indicating continued resilience in the hospitality sector despite a softer performance in the 4-star segment.

Demand Analysis: Average Daily Rate

In 2019, the average daily room rates (ADR) stood at RM184 for 4-star hotels and RM390 for 5-star hotels, before declining to RM133 and RM367, respectively, in 2020 following the onset of the COVID-19 pandemic. Despite continued travel restrictions in 2021, the ADR rebounded to RM202 for 4-star hotels and RM455 for 5-star hotels.

Following the reopening of international borders in 2022, the ADR increased further to RM275 for 4-star hotels and RM503 for 5-star hotels, before rising to RM300 and RM538, respectively, in 2023. In 2024, the ADR moderated marginally to RM299 for 4-star hotels and RM530 for 5-star hotels, before reaching RM304 and RM516, respectively, in 2025.

During the first five months of 2026 (5M2026), the ADR stood at RM278 for 4-star hotels and RM490 for 5-star hotels, compared with RM292 and RM524, respectively, in the corresponding period of 2025.

Market Outlook: Hotel Sector

The Ministry of Tourism, Arts and Culture (MOTAC) set an ambitious target for 2024 with the aim to attract 27.3 million international tourists and generate RM102.7 billion in tourism revenue. While the country recorded slightly over 25 million international tourist arrivals, falling short of the target, the figure still represented a significant year-on-year (y-o-y) increase of 24.2% from 20.14 million arrivals in 2023.

Malaysia's tourism sector continued to strengthen in 2025, supported by improved air connectivity, visa-friendly policies, strategic promotional campaigns and sustained demand from key regional source markets.

In 2026, Malaysia is targeting 47.0 million international tourist arrivals and RM147.1 billion in tourism receipts, with the Visit Malaysia 2026 (VM 2026) campaign expected to serve as a key catalyst for the tourism and hospitality sectors.

The VM 2026 roadmap is built around three core strategies: creating demand, increasing tourist traffic and prioritizing key markets. Key initiatives include branding campaigns, joint promotions and market segmentation. Target markets are divided into three tiers - Tier 1 includes China, India, Indonesia, Vietnam and Australia; Tier 2 focuses on South Korea, the Gulf Cooperation Council (GCC) countries and the United Kingdom; and Tier 3 targets Chinese Taipei, Germany, as well as emerging markets like Pakistan and Bangladesh.

The tourism sector will also focus on niche offerings, such as nature-based, experiential, medical, wellness, luxury, Muslim-friendly and bleisure (business and leisure) travel. Tourism Malaysia will continue collaborating with industry stakeholders and international partners to implement these strategies, strengthening the country's position as a top regional destination. Diversification efforts will also be supported by the Malaysia My Second Home (MM2H) programme, which aims to attract high-net-worth foreign nationals to reside long-term in Malaysia. This initiative is expected to benefit sectors like real estate, healthcare and education, reinforcing Malaysia's status as a preferred second-home destination.

In addition, Malaysia is on track to establish itself as a global healthcare hub by 2025 and 2026. The healthcare tourism sector generated RM2.25 billion in 2023, and in 2024, the country recorded 1.6 million healthcare travellers, contributing RM2.72 billion in revenue, which represents a 21% increase from the previous year.

Despite challenges such as global competition, economic fluctuations and geopolitical tensions, Malaysia's adaptability and focus on innovation will be key to sustaining tourism growth. Continued government support and collaboration with the private sector will be essential for overcoming obstacles and reaching the sector's growth targets.

With a focus on digital transformation, sustainability and cultural heritage, Malaysia is poised for substantial growth in 2026. The VM 2026 campaign will be a crucial milestone, driving further expansion and reaffirming Malaysia's status as a premier Southeast Asian destination.

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OFFICE SECTOR

Property Market Analysis: Selangor Office Market

The cumulative supply of office space in Selangor stood at 27.8 million sq. ft. as of 1Q2026, with no new completion during the review period. The most recent additions, completed in 2025, were Sunsuria Forum and Sunway Square Corporate Towers, which collectively contributed approximately 1.3 million sq. ft. of net lettable area (NLA).

Looking ahead, the supply pipeline is expected to gain momentum, with about 1.2 million sq. ft. of new office space scheduled for completion by end-2026, primarily driven by The Capitol in Bandar Utama.

Selangor – Future Supply of Office Space, 2026

Development / Building Name	Location	Expected Completion Year	Estimated NLA (sq ft)	Targeted Green Certification
The Capitol	Bandar Utama	2026	1,200,000	GreenRE
Total			1,200,000	

Source: Knight Frank Research

Occupancy levels in Selangor remained broadly stable in 1Q2026(p), easing marginally to 73.2% (2025: 73.6%). By sub-locality, occupancy in Petaling Jaya recorded a slight improvement to 76.6%, while in Subang Jaya, Shah Alam and Cyberjaya, occupancy levels moderated to 63.9%, 86.6% and 69.1%, respectively.

The average monthly rental rate for purpose-built office space in Selangor continued its upward trend, increasing to RM4.33 per sq. ft. in 1Q2026 (2025: RM4.26 per sq ft). Petaling Jaya and Subang Jaya registered modest rental growth to RM4.61 per sq. ft and RM4.69 per sq ft, respectively, while rental rates in Shah Alam and Cyberjaya remained unchanged at RM3.54 per sq. ft. and RM3.73 per sq ft, respectively.

Recent investment activity in Selangor included the sale of Menara UAC in Mutiara Damansara for RM95 million, reflecting a transacted price of RM807 per sq ft. In addition, the proposed acquisition of PFCC Towers 1, 2, 4 and 5 in Puchong for RM440 million (RM515 per sq ft) forms part of the asset injection into the proposed listing of IOIPG REIT.

Property Market Analysis: Subang Jaya Office Market

The cumulative office supply in Subang Jaya stood at 3.89 million sq. ft. as of 1Q2026, with no notable completion during the review period. By sub-locality, Bandar Sunway accounted for the largest share at 2.00 million sq. ft. (51.4%), followed by the Subang Jaya Commercial District with 1.10 million sq. ft. (31.8%) and Puchong with 0.79 million sq. ft. (22.8%).

Overall occupancy of selected purpose-built office spaces in Subang Jaya declined to 63.9% in 1Q2026 (2025: 67.8%), primarily reflecting the recent completion of Sunway Square Corporate Towers. Similarly, average occupancy for Grade A office spaces eased to 55.3% (2025: 60.1%). In contrast, occupancy for Grade B office spaces remained relatively stable at 77.7% (2025: 78.2%).

Meanwhile, the average rental rate for selected purpose-built offices rose to RM4.69 per sq. ft. in 1Q2026, up from RM4.53 per sq. ft. in 2025. Grade A and Grade B office rents strengthened to RM5.29 per sq. ft. per month and RM3.71 per sq. ft. per month, respectively (2025: RM5.17 and RM3.65 per sq. ft. per month).

Property Market Analysis: Putrajaya Office Market

The total supply of purpose-built office space in Putrajaya (excluding government buildings) stood at approximately 4.4 million sq. ft. as of 1Q2026, with no notable completions during the review period. Precinct 3 continued to account for the largest share of office stock, contributing 2.2 million sq. ft. (50.3% of total supply), followed by Precinct 2 with 1.4 million sq. ft. (31.9%). The remaining precincts collectively accounted for approximately 0.8 million sq ft, representing 17.8% of the total office inventory.

Looking ahead, the office market is expected to see a modest increase in supply, with three developments (total NLA of 0.6 million sq ft) scheduled for completion over the short to medium term.

Occupancy levels remained stable in 1Q2026, with the overall occupancy rate holding at 61.8%. On the investment front, the proposed acquisition of IOI City Towers in IOI Resort City for RM540 million during the review period, reflected a price of approximately RM550 per sq ft. The acquisition forms part of the asset injection into the proposed listing of IOIPG REIT.

Market Outlook: Office Sector

Malaysia's economy continued to expand 5.4% in 1Q2026 - easing from an earlier 6.2% in 4Q2025. Growth was supported by resilient domestic demand, sustained investment activity and firm export performance. While inflation edged higher to 1.6% (4Q2025: 1.3%) amid external cost pressures, labour market conditions remained stable, with unemployment declining to 2.9% (4Q2025: 3.0%). Against this backdrop, Bank Negara Malaysia has maintained its 2026 GDP growth forecast of 4.0% to 5.0%, reflecting expectations of continued economic expansion despite a more uncertain global environment.

Looking ahead, the Selangor office market is expected to remain relatively resilient, supported by its established business ecosystems, deep talent pool, cost competitiveness and diverse occupier base. New supply remains manageable in the near term, with approximately 1.2 million sq. ft. expected from the completion of The Capitol in Bandar Utama, allowing existing developments additional time to absorb recent additions.

Occupier demand is expected to remain focused on operational efficiency, workplace quality and accessibility. As occupiers continue to rationalise portfolios and optimise workplace strategies, demand is likely to gravitate towards well-connected, higher-specification assets within established commercial hubs such as Petaling Jaya, Bandar Sunway, Bandar Utama and Cyberjaya. This is expected to reinforce the ongoing divergence between prime and secondary buildings, with performance increasingly influenced by asset quality, ecosystem strength and locational advantages.

Policy initiatives are also expected to support long-term demand from digital economy and business services occupiers. Budget 2026 reinforces Malaysia's focus on attracting high-value investments, advancing the digital economy and strengthening the country's position as a regional services hub, providing a supportive backdrop for occupier expansion and investment activity.

Complementing these efforts, MDEC's Malaysia Digital Location Recognition (MDLR) framework introduces a clearer certification pathway for office developments targeting digital economy companies through the MD Nexus designation, with greater emphasis on digital infrastructure, business environment and operational readiness. At the same time, the New Incentive Framework (NIF) signals a shift towards a more outcome-based investment incentive structure, supporting future investment and expansion activities across priority sectors.

While the impact on office demand is expected to be gradual, these initiatives collectively strengthen Selangor's appeal as a destination for technology, digital and knowledge-based industries, particularly within established business and innovation hubs across the state.

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We are of the opinion that the Market Value(s) of the interest(s) in perpetuity in the Subject Properties, subject to the **Terms of Reference and bases/assumptions stated for the respective properties in this valuation certificate**, the proposed Hotel Master Lease Agreement (in respect of hotel properties) and the existing / committed tenancies entered to-date (in respect of retail and office properties) and the titles / forthcoming strata title(s) when issued, being free from all encumbrances, good, marketable and registrable, as at 31 May 2026 are as follows:-

No.	Reference No.	Identification of Property	Market Value
1.	An integrated commercial development forming part of the IOI Resort City, Putrajaya:		
	V/COR/26/0086(A)	IOI City Mall	RM5,150,000,000
	V/COR/26/0086(B)	Moxy Putrajaya	RM222,000,000
	V/COR/26/0086(C)	Le Méridien Putrajaya	RM343,000,000
	V/COR/26/0086(H)	IOI City Tower 1 & 2	RM551,000,000
2.	V/COR/26/0086(D)	Putrajaya Marriott Hotel, Putrajaya	RM266,000,000
3.	V/COR/26/0086(E)	W Kuala Lumpur, Kuala Lumpur	RM391,000,000
4.	V/COR/26/0086(F)	Courtyard by Marriott Penang, Pulau Pinang	RM166,000,000
5.	An integrated commercial development known as Puchong Financial Corporate Centre (PFCC), Selangor Darul Ehsan:		
	V/COR/26/0086(G)	Four Points by Sheraton Puchong	RM128,000,000
	V/COR/26/0086(I)	PFCC Tower 1, 2, 4 & 5	RM447,000,000
		Total Market Value	**RM7,664,000,000**

Signed for and on behalf of
Knight Frank Malaysia Sdn Bhd

Knight Frank Malaysia Sdn Bhd (200201017816 (565479-A))

JUSTIN CHEE TING HWANG
Registered Valuer, V-774
RICS Registered Valuer, 1235888
MRICS, MRISM, MPEPS

Date: 20 JUL 2026

Scan here to verify the content and authenticity of this certificate

Note: -

The above valuation is peer reviewed by Knight Frank Malaysia Sdn Bhd (Head Office), Mr. Ooi Hsien Yu (Registered Valuer, V-892).

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1.0 V/COR/26/0086(A) to (C) and (H) – IOI CITY MALL + MOXY PUTRAJAYA + LE MÉRIDIEN PUTRAJAYA + IOI CITY TOWER 1 & 2, PUTRAJAYA

Locality	Located within IOI Resort City, an integrated resort and township development in Putrajaya comprising residential dwellings, commercial offices, branded hotels, golf course and one of the country's largest shopping complex.
Legal Aspect	The official searches conducted on 25 June 2026 have revealed that the master title particulars and legal status of IOI Resort City remain unchanged as per our previous Valuation Report. During the review period and pursuant to the correspondence issued by Pejabat Daerah dan Tanah Sepang dated 21 January 2026 bearing Reference No. PTSEL/10/B/PPS/2025/6, we note that the subdivision of Lot 109708 has been approved, subject to the terms and conditions stated therein. Subsequently, vide a copy of the letter issued by Jurukur Jitu Runding dated 13 March 2026 in relation to the subdivision application, we further note that the necessary charges have been fully paid and is currently pending the issuance of the temporary title.

1.0(A) V/COR/26/0086(A) – IOI CITY MALL

1.1(A) IDENTIFICATION OF PROPERTY

Interest Valued / Type of Property	Legal interest in a four (4)-level shopping complex and a cinema ("ICM Phase 1") and an extended retail block comprising a five (5)-storey shopping complex with a sub-basement level and a cinema ("ICM Phase 2"), along with surface, basement and elevated car park level(s) ("ICM Car Parks"); within an integrated commercial development known as IOI City Mall, forming part of the IOI Resort City; sited on part of Parent Lot 10113 held under Master Title No. GRN 336712, Pekan Bukit Bisa and Parent Lot 109708 held under Master Title No. GRN 332361, Mukim Dengkil, both located within District of Sepang, Selangor Darul Ehsan.
Terms of Reference	**WE HAVE BEEN SPECIFICALLY INSTRUCTED BY THE CLIENT TO ASCERTAIN THE MARKET VALUE(S) OF THE SUBJECT PROPERTY BASED ON THE FOLLOWING BASES / ASSUMPTIONS AND LIMITATIONS STATED HERE BELOW: -** **I. PURSUANT TO THE DRAFT SALE AND PURCHASE AGREEMENT(S) TO BE ENTERED BETWEEN IOI CITY MALL SDN BHD / IOI CITY PARK SDN BHD ("VENDOR") AND MTRUSTEE BERHAD (AS TRUSTEE FOR IOIPG REIT) ("PURCHASER" / "MTRUSTEE" / "CLIENT"):** **A. THE PARENT LOTS WILL BE SUBDIVIDED, AMALGAMATED AND ISSUED WITH A SEPARATE INDIVIDUAL TITLE CONVEYING AN INTEREST IN PERPETUITY AND WHEN ISSUED, IS FREE FROM ALL ENCUMBRANCES AND RESTRICTIVE CONDITIONS, WITH CATEGORY OF LAND USE FOR "BUILDING" COVERING A NET LAND AREA MEASURING APPROXIMATELY 70.81 ACRES, ON WHICH THE SUBJECT PROPERTY IS ERECTED;** **B. THE SUBJECT PROPERTY WILL SUBSEQUENTLY BE STRATIFIED AND ISSUED WITH A SEPARATE BLOCK / INDIVIDUAL STRATA TITLE(S) FOR EACH RESPECTIVE BUILDINGS. THE AFORESAID SUBDIVISION AND STRATIFICATION WORKS WILL BE CARRIED OUT BY THE VENDOR AT ITS OWN COST, AS AGREED BETWEEN THE PARTIES IN THE DRAFT SALE AND PURCHASE AGREEMENT; AND**

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1.0(A) VICOR/26/0086(A) – IOI CITY MALL

1.1(A) IDENTIFICATION OF PROPERTY (CONT'D)

Terms of Reference

C. OUR VALUATION IS ON THE BASIS THAT THE SUBDIVISION OF THE MASTER TITLE(S) AND THE STRATIFICATION OF THE BUILDINGS WILL BE DULY COMPLETED IN ACCORDANCE WITH THE REQUIREMENTS OF THE RELEVANT AUTHORITIES AND THAT SEPARATE STRATA TITLE(S) WILL BE ISSUED IN DUE COURSE.

II. PURSUANT TO THE ABOVEMENTIONED DRAFT SALE AND PURCHASE AGREEMENT(S), THE SUBJECT PROPERTY WILL BE SOLD WITH LEGAL POSSESSION, SUBJECT TO THE EXISTING / COMMITTED TENANCIES; AND

III. PURSUANT TO THE UNDERTAKING LETTERS DATED 8 APRIL 2026 AND 16 JULY 2026 ENTERED BETWEEN IOI PROPERTIES GROUP BERHAD (BEING THE HOLDING COMPANY OF IOI CITY MALL SND BHD AND IOI CITY PARK SDN BHD ("VENDOR")) AND MTRUSTEE BERHAD (AS TRUSTEE FOR IOIPG MALAYSIA REAL ESTATE INVESTMENT TRUST) ("PURCHASER" / "MTRUSTEE" / THE "CLIENT"); ALL NECESSARY APPROVALS FOR THE CONVERSION OF THE COMMON AREAS AND CAR PARKING AREAS INTO ADDITIONAL / ENLARGED RETAIL AND STORAGE AREA(S) RESULTING TO A TOTAL NET LETTABLE AREA OF ABOUT 239,458.06 SQUARE METRES (2,577,505 SQUARE FEET), INCLUDING THE APPROVAL OF THE REVISED BUILDING PLANS / AS-BUILT DRAWINGS WILL BE OBTAINED FROM THE RELEVANT AUTHORITIES AT VENDOR'S COSTS AND EXPENSES; WITH ALL RELEVANT FEES (IF ANY) FULLY PAID AND THEREAFTER ISSUED WITH A CERTIFICATE OF COMPLETION AND COMPLIANCE.

"IF ANY PARTY WISHES TO RELY ON THE VALUATION BASED ON THE ASSUMPTIONS STATED ABOVE, THEN APPROPRIATE PROFESSIONAL ADVICE SHOULD BE SOUGHT SINCE THE VALUE(S) REPORTED IS BASED ON ASSUMPTIONS THAT ARE YET OR FULLY REALISED".

1.2(A) PROPERTY DESCRIPTION

Physical Aspect

As at the date of re-inspection, the physical state (including Gross Floor Area + car park facilities) of the IOI City Mall remained unchanged as per our previous valuation.

NLA / Occupancy

The tenancy schedule dated 31 May 2026 has revealed that there is a change in terms of NLA to 2,577,505 sq. ft. (Note) as compared to our previous Valuation Report at 2,583,506 sq. ft. with the actual average concluded gross rental rate increased from RM10.30 per square foot ("psf") to RM10.59 psf per month over the occupied NLA.

Note: The abovementioned total NLA include the reconfigured and additional retail lot(s) / kiosk(s) / storage(s). Vide the copies of Undertaking Letter dated 8 April 2026 and the Supplementary / Addendum Letter dated 16 July 2026; revealed that all necessary approvals for the conversion of use for the enlarged retail lot(s) / kiosk(s) and storage area(s) resulting a total net lettable area of about 239,458.06 square metres (2,577,505 square feet); including approval of the revised building plans / as-built drawings will be obtained from the relevant authorities; with all relevant fees (if any) fully paid and thereafter issued with a Certificate of Completion and Compliance. For the purpose of this valuation, we have included the aforesaid area resulting to an adopted total net lettable area of about 239,458.06 square metres (2,577,505 square feet) for IOI City Mall in our valuation.

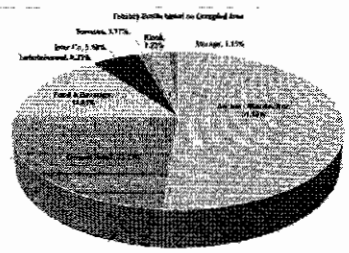
The current occupancy rate has increased from 97.0% to 97.9% due to the addition of new tenants. The current weighted average lease expiry ("WALE") stands at 2.35 years.

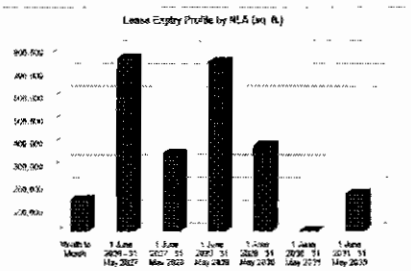
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1.0(A) V/COR/26/0086(A) – IOI CITY MALL

1.2(A) PROPERTY DESCRIPTION (CONT'D)

Tenancy Profile & Lease Expiry Profile





1.3(A) MARKET VALUE

Valuation Methodology

Similar to our previous valuation, in arriving at our opinion of the Market Value of the Subject Property, we have adopted the **Income Approach by Investment Method** as the primary approach and supported by the **Comparison Approach**.

Historical Performance

Historical Operating Performance of IOI City Mall for Financial Period(s) Ended ("FPE") 31 October 2025 and Unaudited FPE 31 May 2026

	FPE 31 Oct 2025 (4-month)	Unaudited FPE 31 May 2026 (11-month)
Average Total NLA	2,549,127 sq. ft.	2,559,099 sq. ft.
Average Occupancy	98%	97%
Total Gross Income (1)	RM154,340,000	RM437,389,000
Total Outgoings (2)	RM54,159,000	RM146,388,000
Net Property Income	RM100,181,000	RM291,001,000

Notes:

The above historical performance also incorporated the pro forma adjustment such as property management fees and expenses and non-cash item such as provision of doubtful debt.

(1) Total Gross Income consists of rental income, service and promotional charges, utilities recovery incomes, committed valet parking income, car park income, other related incomes, rental rebates and business income receivable from inter-co tenants.

(2) Total Outgoings include property taxes, insurance, repair and maintenance, utilities, car park expenses, other operating expenses, property management fees and cost of sales for inter-co tenants.

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1.0(A) VICOR/26/0086(A) – IOI CITY MALL

1.3(A) MARKET VALUE (CONT'D)

Reconciliation of Values

Method of Valuation	Derivation of Values
Income Approach by Investment Method	RM5,150,000,000
Comparison Approach	RM5,189,000,000

Market Value

RM5,150,000,000.

Income Approach by Investment Method

We have reassessed the Market Value of IOI City Mall with the updated details and have adopted the same parameters in the Income Approach as per our previous Valuation Report; save and except for the term rental committed (from RM10.30 psf to RM10.69 psf over the occupied NLA) due to the changes in NLA / renewed tenancies / additional take-up of vacant units.

Comparison Approach

During the review period, we identified one recent mall transaction within the Klang Valley, namely Setapak Central Mall.

Setapak Central Mall is a three (3)-storey shopping mall together with a basement carpark located within Setapak, Wilayah Persekutuan Kuala Lumpur. It was transacted at RM435,000,000 (analysed to be at RM845 psf) between Festiva Mall Sdn Bhd (Vendor) and Pacific Trustees Berhad, acting solely in its capacity as the trustee for and on behalf of KIP Real Estate Investment Trust (Purchaser). However, after reviewed and analysed the said transaction, we have not adopted it as comparable because it is a localised neighbourhood mall with relatively smaller NLA when compared to ICM, more localised catchment profiles and less diversified tenant mixes.

There is no recent transaction involving standalone car park assets were observed.

Therefore, we have relied on the same set of mall and car park transactions used in our previous valuation.

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1.0(B) VICOR/26/0086(B) – MOXY PUTRAJAYA

1.1(B) IDENTIFICATION OF PROPERTY

Interest Valued / Type of Property	A 4-star rated 480-room hotel known as Moxy Putrajaya together with other supporting amenities / facilities attached thereto, all forming part of an integrated commercial development known as IOI Resort City sited on part of Parent Lot 10113 held under Master Title No. GRN 336712, Pekan Bukit Bisa and Parent Lot 109708 held under Master Title No. GRN 332361, Mukim Dengkil, both located within District of Sepang, Selangor Darul Ehsan.
Terms of Reference	**WE HAVE BEEN SPECIFICALLY INSTRUCTED BY THE CLIENT TO ASCERTAIN THE MARKET VALUE OF THE SUBJECT PROPERTY BASED ON THE FOLLOWING BASES / ASSUMPTIONS AND LIMITATIONS STATED HERE BELOW: -** **PURSUANT TO THE DRAFT SALE AND PURCHASE AGREEMENT TO BE ENTERED BETWEEN IOI CITY HOTEL SDN BHD ("VENDOR") AND MTRUSTEE BERHAD (AS TRUSTEE FOR IOIPG REIT) ("PURCHASER" / "MTRUSTEE" / THE "CLIENT"):** **I. THE PARENT LOTS WILL BE SUBDIVIDED, AMALGAMATED AND ISSUED WITH A SEPARATE INDIVIDUAL TITLE CONVEYING AN INTEREST IN PERPETUITY AND WHEN ISSUED, IS FREE FROM ALL ENCUMBRANCES AND RESTRICTIVE CONDITIONS, WITH CATEGORY OF LAND USE FOR "BUILDING" COVERING A NET LAND AREA MEASURING APPROXIMATELY 70.81 ACRES, ON WHICH THE SUBJECT PROPERTY IS ERECTED;** **THE SUBJECT PROPERTY WILL SUBSEQUENTLY BE STRATIFIED AND ISSUED WITH A SEPARATE BLOCK / INDIVIDUAL STRATA TITLE(S) FOR EACH RESPECTIVE BUILDINGS. THE AFORESAID SUBDIVISION AND STRATIFICATION WORKS WILL BE CARRIED OUT BY THE VENDOR AT ITS OWN COST, AS AGREED BETWEEN THE PARTIES IN THE DRAFT SALE AND PURCHASE AGREEMENT; AND** **OUR VALUATION IS ON THE BASIS THAT THE SUBDIVISION OF THE MASTER TITLE(S) AND THE STRATIFICATION OF THE BUILDINGS WILL BE DULY COMPLETED IN ACCORDANCE WITH THE REQUIREMENTS OF THE RELEVANT AUTHORITIES AND THAT SEPARATE STRATA TITLE(S) WILL BE ISSUED IN DUE COURSE.** **II. THE SUBJECT PROPERTY IS SOLD WITH LEGAL POSSESSION, SUBJECT TO THE EXISTING HOTEL MANAGEMENT AGREEMENTS ENTERED INTO BY THE VENDOR WITH THE RELEVANT PARTIES FOR THE OPERATION AND MANAGEMENT OF THE HOTEL (INCLUDING OPERATING SERVICES AGREEMENT, INTERNATIONAL SERVICE AGREEMENT, SYSTEM LICENSE AGREEMENT AND DESIGN REVIEW AGREEMENT), WHICH WILL REMAIN IN FULL FORCE AND EFFECT;** **III. THE SUBJECT PROPERTY IS SOLD IN THE WORKING AND OPERATIONAL CONDITION AS REPRESENTED TO THE PURCHASER;** **IV. A HOTEL MASTER LEASE WILL BE ENTERED, WHEREBY IOI CITY HOTEL SDN BHD SHALL BE THE LESSEE AND MTRUSTEE SHALL BE THE LESSOR, SUBJECT TO TERMS AND CONDITIONS STATED IN THE SAID HOTEL MASTER LEASE AGREEMENT.** **THE VALUATION IS THEREFORE UNDERTAKEN AS RENTAL INCOME GENERATING PROPERTY SUBJECT TO THE TERMS AND CONDITIONS IN THE MASTER LEASE AGREEMENT.** **"IF ANY PARTY WISHES TO RELY ON THE VALUATION BASED ON THE ASSUMPTIONS STATED ABOVE, THEN APPROPRIATE PROFESSIONAL ADVICE SHOULD BE SOUGHT SINCE THE VALUE(S) REPORTED IS BASED ON ASSUMPTIONS THAT ARE YET OR FULLY REALISED".**

1.0(B) V/COR/26/0086(B) – MOXY PUTRAJAYA

1.2(B) PROPERTY DESCRIPTION

Physical Aspect

The physical state (including gross floor area + number and type of hotel rooms + facilities) remains unchanged as per our previous Valuation Report.

Occupancy Status

The historical average occupancy rates and average daily rates is scheduled below:

FYE / FPE	AOR	ADR
FYE 30 June 2024 [Note]	37.0%	RM298
FYE 30 June 2025	54.7%	RM295
FPE 31 October 2025	70.6%	RM300
FPE 31 May 2026	68.7%	RM292

Note: The FYE 30 June 2024 performance figures reflect operating results from the hotel's opening date as of 6 February 2024, and do not represent a full financial year.

Hotel Management Agreement / Framework Agreement

The terms for the Hotel Management Agreements / Framework Agreement remain unchanged as per our previous Valuation Report.

Hotel Master Lease Agreement

The proposed terms for the proposed Hotel Master Lease Agreement remain unchanged as per our previous Valuation Report.

1.3(B) MARKET VALUE

Valuation Methodology

Similar to our previous valuation, in arriving at our opinion of the Market Value of the Subject Property, we have adopted the **Income Approach by DCF Method** as the primary approach and supported by the **Comparison Approach**.

Reconciliation of Values

Method of Valuation	Derivation of Values
Income Approach by DCF Method (with Master Lease structure)	RM222,000,000
Comparison Approach	RM216,000,000

Market Value

RM222,000,000.

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1.0(B) VICOR/26/0056(B) – MOXY PUTRAJAYA

1.3(B) MARKET VALUE

Income Approach by DCF Method

We have reassessed the Market Value of Moxy Putrajaya with updated details and have adopted the same parameters in the Income Approach as per our previous Valuation Report; save and except for the projected AOR, ADR, departmental revenue, departmental expenses and undistributed operating expenses as delineated below and overleaf.

Summary of Parameters

Projected Occupancy

Year 1: 70.0% to Year 10: 83.0% (based on 480 hotel rooms)

The historical AOR of the selected CompSet as well as the provided forecasted operating performance of Moxy Putrajaya are as follows

Selected CompSet extracted from A-DATA [1]						
Item	Year 2022	Year 2023	Year 2024	Year 2025	Year 2026 [2]	2-year CAGR [3]
CompSet Historical Performance	28.9% - 74.5%	49.6% - 70.6%	45.8% - 76.0%	44.9% - 75.4%	47.7% - 69.5%	3.5%
Moxy Putrajaya – Historical Performance						
Item	FYE2023	FYE2024	FYE2025	FPE 31 October 2025	FPE 31 May 2026	2-year CAGR [3]
Historical Performance	-	37.0%	54.7%	70.6%	68.7%	47.8%
Moxy Putrajaya – Forecasted Operating Performance						
Item	Year 1	Year 2	Year 3	Year 4	Year 5	4-year CAGR
Hotel Forecast	70.2%	75.2%	80.6%	81.5%	82.5%	4.1%
Knight Frank's Projections [4]	70.0%	72.0%	77.0%	77.0%	82.0%	4.0%
Item	Year 6	Year 7	Year 8	Year 9	Year 10	9-year CAGR
Knight Frank's Projections [4]	83.0%	83.0%	83.0%	83.0%	83.0%	1.9%

Notes:

(1) The selected competitive set includes 4 to 5-star hotels such as Zenith Hotel Putrajaya, Pulse Grande Putrajaya, Movenpick Hotel & Convention Centre KLIA Sepang and One World Hotel

(2) Based on the available months in Year 2026 from January to June.

(3) 2-year CAGR from Year 2023 to Year 2025 (ADATA CompSet) and FYE2023 to FYE2025 (historical performance).

(4) The projected AOR for Year 1 has been revised upwards to 70.0% from 63.0% in the previous Valuation Report, after taking into consideration of the improvement in the hotel's actual AOR from 54.7% in FYE 2025 to 68.7% for the 11-month FPE 31 May 2026. Accordingly, the AOR is projected at a stabilised rate of 83.0% in Year 6 (previously 75.0% in Year 6), which is in line with the updated hotel forecast provided by the Client. The latest actual operating performance indicates that the hotel has continued to strengthen its market position and is progressing towards a more stabilised trading performance.

Knight Frank

1.0(B) VICOR26/0086(B) – MOXY PUTRAJAYA

1.3(B) MARKET VALUE

Income Approach by DCF Method

Summary of Parameters (Cont'd)

Projected Average Daily Rate (ADR)

Year 1 : RM310 to Year 10: RM345

The historical ADR and published room rates of the selected CompSet as well as the provided forecasted operating performance of Moxy Putrajaya are as follows:

Selected CompSet extracted from A-DATA [1]

Item	Year 2022	Year 2023	Year 2024	Year 2025	Year 2026 [2]	2-year CAGR [3]
CompSet Historical Performance	RM282 – RM358	RM322 – RM420	RM366 – RM441	RM347 – RM433	RM289 – RM439	1.3%
Published room rates from A-DATA OTAs (Online Travel Agent) forward pricing	–	–	–	RM303 – RM395	RM343 – RM476	–

Moxy Putrajaya – Historical Performance

Item	FYE202	FYE2024	FYE2025	FPE 31 October 2025	FPE 31 May 2026	2-year CAGR [3]
Historical Performance	-	RM298	RM295	RM300	RM292	-1.0%

Moxy Putrajaya – Forecasted Operating Performance

Item	Year 1	Year 2	Year 3	Year 4	Year 5	4-year CAGR
Hotel Forecast	RM310	RM316	RM324	RM331	RM337	2.2%
Knight Frank's Projections[4]	RM310	RM315	RM320	RM325	RM330	1.6%
Item	**Year 6**	**Year 7**	**Year 8**	**Year 9**	**Year 10**	**9-year CAGR**
Knight Frank's Projections[4]	RM335	RM340	RM345	RM345	RM345	1.2%

Notes:

(1) The selected competitive set includes 4 to 5-star hotels such as Zenith Hotel Putrajaya, Pulse Grande Putrajaya, Movenpick Hotel & Convention Centre KLIA Sepang and One World Hotel.
(2) Based on the available months in Year 2026 from January to June.
(3) 2-year CAGR from Year 2023 to Year 2025 (ADATA CompSet) and FYE2023 to FYE2025 (historical performance).
(4) The projected ADR for Year 1 has been revised downwards to RM310 from RM315 in the previous Valuation Report, after taking into consideration of the hotel's actual ADR from RM295 in FYE 2025 to RM292 for the 11-month FPE 31 May 2026, as well as the updated hotel forecast provided by the Client. Accordingly, the ADR is projected at a stabilised rate of RM345 from Year 8 onwards (previously RM345 in Year 5 to RM400 in Year 10).

Knight Frank

1.0(B) V/COR/26/0086(B) – MOXY PUTRAJAYA

1.3(B) MARKET VALUE

Income Approach by DCF Method

Summary of Parameters (Cont'd)

Departmental Revenue

Departmental Revenue	Historical Performance (% of Operating Revenue)		Knight Frank's Projection
	FYE2023 to FPE 31 October 2025	FPE 31 May 2026	
Food and Beverage	22.3% to 23.7%	24.8%	Year 1 - Year 10: 24.0%
Other Operated Departments	0.0% to 1.1%	0.002%	Year 1 - Year 10: 0.005%
Miscellaneous Income	0.0% to 2.2%	1.7%	Year 1 - Year 10: 1.5%

Similar to our previous Valuation Report, we have adopted the same revenue ratio for Food and Beverage department; whilst a higher projected revenue ratio of 1.5% is projected for the combination of Other Operated Departments and Miscellaneous Income as compared to our previous Valuation Report of 1.0% due to the latest hotel performance and projection. Our projection ratios (% of Operating Revenue) are aligned with the hotel and the operator's projection and further benchmarked against the industry average cost published in HTL 2023, 2024 and 2025 Report.

Departmental Expenses

Departmental Expenses	Historical Performance (% of Departmental Revenue)		Knight Frank's Projection
	FYE2023 to FPE 31 October 2025	FPE 31 May 2026	
Room	20.8% to 27.1%	21.1%	Year 1 - Year 10: 22.0%
Food and Beverage	78.9% to 104.0%	70.7%	Year 1 - Year 10: 70.0%
Other Operated Departments	22.2% to 2,695.9%	7,060.5%	Year 1 - Year 10: 50.0%
Miscellaneous Income	-	13.3%	Year 1 - Year 10: 25.0%

Similar to our previous Valuation Report, we have adopted a fixed rate over the respective departmental revenue throughout Year 1 to Year 10. In our latest projection, we have reduced the fixed rate for the Room expenses from 27.0% to 22.0% and Food and Beverage expenses from 72.0% to 70.0% after having reviewed the latest FPE 31 May 2026 performance which showed a reduced expenses margin as compared to FYE2025. A same fixed rate is adopted for Other Operated Departments expenses when compared to our previous Valuation Report; whilst an additional expense has been allocated for Miscellaneous Income at 25.0% following the latest hotel performance and projection. Our projection ratios (% of Departmental Revenue) are aligned with the HTL historical performance of the hotel and the projection.

Undistributed Operating Expenses

Undistributed Operating Expenses	Historical Performance (% of Operating Revenue)		Knight Frank's Projection
	FYE2023 to FPE 31 October 2025	FPE 31 May 2026	
Administrative & General	8.6% to 20.2%	9.2%	Year 1: 9.0% - Year 10: 8.5%
Information & Telecommunications System	2.3% to 4.7%	2.7%	Year 1: 3.0% - Year 10: 2.8%
Sales & Marketing	7.0% to 10.8%	7.0%	Year 1: 7.0% - Year 10: 6.0%
Property Operation & Maintenance	2.4% to 4.5%	2.5%	Year 1: 4.0% - Year 10: 3.0%
Utilities	6.5% to 19.6%	6.2%	Year 1: 8.0% - Year 10: 7.6%

Similar to our previous Valuation Report, we have adopted a fixed rate over GOR in Year 1 and project it with a 2.5% growth rate per annum; which was benchmarked against the general inflation rate (1.5% to 3.3%). In our latest projection, we have reduced the Year 1 undistributed operating expense ratios for Administrative & General from 10.0% to 9.0% and Utilities from 10.0% to 8.0%. Conversely, the ratios for Information & Telecommunication Systems and Sales & Marketing have been revised upwards from 2.0% to 3.0% and from 6.5% to 7.0% respectively, while the ratio for Property Operations and Maintenance has been maintained at 4.0% after having reviewed the latest FPE 31 May 2026 performance and updated hotel forecast provided by the Client.

Projected Base Management Fee, Incentive Fee, FF&E Reserves

% of Gross Operating Revenue or % of the Gross Operating Profit, remains unchanged in accordance with the HMA.

Capitalisation Rate: 6.50%

Remains unchanged as per our previous Valuation Report.

Discount Rate (PV): 9.00%

The discount rate has been revised from 9.50% to 9.00% in view of our latest cash flow projection which incorporates lower growth and escalation assumptions. The projection has considered the improved hotel operating performance observed from the latest 11-month actual results as at FPE 31 May 2026 together with the latest hotel projections provided to us. Accordingly, the projected operating performance for the initial years has been revised to reflect the latest actual performance, while more moderate growth and escalation assumptions have been adopted over the remaining projection period. The adopted discount rate remains appropriate reflecting the variable rent structure under the proposed master lease which is linked to the hotel's operating performance as well as the escalation assumptions adopted in the projection.

Comparison Approach

During the review period, no recent hotel transaction were observed. Therefore, we have relied on the same set of hotel transactions used in our previous valuation.

Knight Frank

1.0(C) V/COR/26/0086(C) – LE MERIDIEN PUTRAJAYA

1.1(C) IDENTIFICATION OF PROPERTY

Interest Valued / Type of Property	Legal interest in a 5-star rated 354-room hotel known as Le Méridien Putrajaya together with other supporting amenities / facilities attached thereto, within an integrated commercial development forming part of the IOI Resort City sited on part of Parent Lot 10113 held under Master Title No. GRN 336712, Pekan Bukit Besa, District of Sepang, Selangor Darul Ehsan.
Terms of Reference	**WE HAVE BEEN SPECIFICALLY INSTRUCTED BY THE CLIENT TO ASCERTAIN THE MARKET VALUE OF THE SUBJECT PROPERTY BASED ON THE FOLLOWING BASES / ASSUMPTIONS AND LIMITATIONS STATED HERE BELOW: -** **PURSUANT TO THE DRAFT SALE AND PURCHASE AGREEMENT(S) TO BE ENTERED BETWEEN IOI CITY HOTEL SDN BHD ("VENDOR") AND MTRUSTEE BERHAD (AS TRUSTEE FOR IOIPG REIT) ("PURCHASER" / "MTRUSTEE" / THE "CLIENT"):** **I. THE SUBJECT PROPERTY WILL BE STRATIFIED AND ISSUED WITH A SEPARATE BLOCK / INDIVIDUAL STRATA TITLE. THE AFORESAID STRATIFICATION WORKS WILL BE CARRIED OUT BY THE VENDOR AT ITS OWN COST, AS AGREED BETWEEN THE PARTIES IN THE DRAFT SALE AND PURCHASE AGREEMENT.** **OUR VALUATION IS ON THE BASIS THAT THE STRATIFICATION OF THE BUILDING WILL BE DULY COMPLETED IN ACCORDANCE WITH THE REQUIREMENTS OF THE RELEVANT AUTHORITIES AND THAT SEPARATE STRATA TITLE(S) WILL BE ISSUED IN DUE COURSE.** **II. THE SUBJECT PROPERTY IS SOLD WITH LEGAL POSSESSION, SUBJECT TO THE EXISTING HOTEL MANAGEMENT AGREEMENTS ENTERED INTO BY THE VENDOR WITH THE RELEVANT PARTIES FOR THE OPERATION AND MANAGEMENT OF THE HOTEL (INCLUDING OPERATING SERVICES AGREEMENT, INTERNATIONAL SERVICE AGREEMENT, SYSTEM LICENSE AGREEMENT AND DESIGN REVIEW AGREEMENT), WHICH WILL REMAIN IN FULL FORCE AND EFFECT;** **III. THE SUBJECT PROPERTY IS SOLD IN THE WORKING AND OPERATIONAL CONDITION AS REPRESENTED TO THE PURCHASER;** **IV. A HOTEL MASTER LEASE WILL BE ENTERED, WHEREBY IOI CITY HOTEL SDN BHD SHALL BE THE LESSEE AND MTRUSTEE SHALL BE THE LESSOR, SUBJECT TO TERMS AND CONDITIONS STATED IN THE SAID HOTEL MASTER LEASE AGREEMENT.** **THE VALUATION IS THEREFORE UNDERTAKEN AS RENTAL INCOME GENERATING PROPERTY SUBJECT TO THE TERMS AND CONDITIONS IN THE MASTER LEASE AGREEMENT.** **"IF ANY PARTY WISHES TO RELY ON THE VALUATION BASED ON THE ASSUMPTIONS STATED ABOVE, THEN APPROPRIATE PROFESSIONAL ADVICE SHOULD BE SOUGHT SINCE THE VALUE(S) REPORTED IS BASED ON ASSUMPTIONS THAT ARE YET OR FULLY REALISED".**

Knight Frank

1.0(C) V/COR/26/0086(C) – LE MÉRIDIEN PUTRAJAYA

1.2(C) PROPERTY DESCRIPTION

Physical Aspect

The physical state (including gross floor area + number and type of hotel rooms – facilities) remains unchanged as per our previous Valuation Report.

Occupancy Status

The historical average occupancy rates and average daily rates is scheduled below:

FYE / FPE	AOR	ADR
FYE 30 June 2023	78.1%	RM417
FYE 30 June 2024	88.0%	RM485
FYE 30 June 2025	75.0%	RM488
FPE 31 October 2025	79.2%	RM472
FPE 31 May 2026	81.1%	RM469

Hotel Management Agreement / Framework Agreement

The terms for the Hotel Management Agreements / Framework Agreement remain unchanged as per our previous Valuation Report.

Hotel Master Lease Agreement

The proposed terms for the proposed Hotel Master Lease Agreement remain unchanged as per our previous Valuation Report.

1.3(C) MARKET VALUE

Valuation Methodology

Similar to our previous valuation, in arriving at our opinion of the Market Value of the Subject Property, we have adopted the **Income Approach by DCF Method** as the primary approach and supported by the **Comparison Approach.**

Reconciliation of Values

Method of Valuation	Derivation of Values
Income Approach by DCF Method (with Master Lease structure)	RM343,000,000
Comparison Approach	RM345,000,000

Market Value

RM343,000,000.

Knight Frank

1.0(C) V/COR/26/0086(C) – LE MÉRIDIEN PUTRAJAYA

1.3(C) MARKET VALUE

Income Approach by DCF Method

We have reassessed the Market Value of Le Méridien Putrajaya with updated details and have adopted the same parameters in the Income Approach as per our previous Valuation Report; save and except for the projected AOR and ADR as delineated below and overleaf.

Summary of Parameters

Projected Occupancy

Year 1: 81.5% to Year 10: 85.0% (based on 354 hotel rooms)

The historical AOR of the selected CompSet as well as the provided forecasted operating performance of Le Méridien Putrajaya are as follows

Selected CompSet extracted from A-DATA [1]						
Item	Year 2022	Year 2023	Year 2024	Year 2025	Year 2026 [2]	2-year CAGR [3]
CompSet Historical Performance	25.0% - 62.5%	34.8% - 80.4%	35.5% - 64.7%	40.6% - 73.7%	27.4% - 63.7%	10.9%
Le Méridien Putrajaya – Historical Performance						
Item	FYE2023	FYE2024	FYE2025	FPE 31 October 2025	FPE 31 May 2026	2-year CAGR [3]
Historical Performance	78.1%	86.0%	75.0%	79.2%	81.1%	-2.0%
Le Méridien Putrajaya – Forecasted Operating Performance						
Item	Year 1	Year 2	Year 3	Year 4	Year 5	4-year CAGR
Hotel Forecast	82.0%	83.5%	84.3%	84.9%	85.8%	1.1%
Knight Frank's Projections [4]	81.5%	83.0%	84.0%	80.0%	81.0%	-0.2%
Item	Year 6	Year 7	Year 8	Year 9	Year 10	9-year CAGR
Knight Frank's Projections [4]	83.0%	84.0%	85.0%	85.0%	85.0%	0.5%

Notes:

(1) The selected competitive set includes 4 to 5-star hotels such as Zenith Hotel Putrajaya, Putrajaya Marriott Hotel, Movenpick Hotel & Convention Centre KLIA Sepang and Sunway Resort Hotel.
(2) Based on the available months in Year 2026 from January to June.
(3) 2-year CAGR from Year 2023 to Year 2025 (ADATA CompSet) and FYE2023 to FYE2025 (historical performance).
(4) The projected AOR for Year 1 has been revised upwards to 81.5% from 78.0% in the previous Valuation Report, after taking into consideration of the hotel's actual AOR from 75.0% in FYE 2025 to 81.1% for the 11-month FPE 31 May 2026, as well as the updated hotel forecast provided by the Client. Accordingly, the AOR has been projected to stabilise at 85.0% from Year 8 onwards (previously 83.0% in Year 8 onwards)

Knight Frank

1.0(C) VICOR26/0086(C) – LE MERIDIEN PUTRAJAYA

1.3(C) MARKET VALUE

Income Approach by DCF Method

Summary of Parameters (Cont'd)

Projected Average Daily Rate (ADR)

Year 1 : RM500 to Year 10: RM630

The historical ADR and published room rates of the selected CompSet as well as the provided forecasted operating performance of Le Méridien Putrajaya are as follows:

Selected CompSet extracted from A-DATA (1)

Item	Year 2022	Year 2023	Year 2024	Year 2025	Year 2026 (2)	2-year CAGR (3)
CompSet Historical Performance	RM297 – RM529	RM399 – RM580	RM445 – RM511	RM398 – RM623	RM475 – RM699	1.3%
Published room rates from A-DATA OTAs (Online Travel Agent) forward pricing	–	–	–	RM303 – RM395	RM453 – RM622	–

Le Méridien Putrajaya – Historical Performance

Item	FYE202	FYE2024	FYE2025	FPE 31 October 2025	FPE 31 May 2026	2-year CAGR (3)
Historical Performance	RM417	RM485	RM489	RM472	RM469	8.3%

Le Méridien Putrajaya – Forecasted Operating Performance

Item	Year 1	Year 2	Year 3	Year 4	Year 5	4-year CAGR
Hotel Forecast	RM503	RM538	RM554	RM571	RM588	4.0%
Knight Frank's Projections (4)	RM500	RM520	RM540	RM560	RM570	3.3%
Item	**Year 6**	**Year 7**	**Year 8**	**Year 9**	**Year 10**	**9-year CAGR**
Knight Frank's Projections (4)	RM585	RM600	RM610	RM620	RM630	2.6%

Notes:

(1) The selected competitive set includes 4 to 5-star hotels such as Zenith Hotel Putrajaya, Putrajaya Marriott Hotel, Movenpick Hotel & Convention Centre KLIA Sepang and Sunway Resort Hotel.
(2) Based on the available months in Year 2026 from January to June.
(3) 2-year CAGR from Year 2023 to Year 2025 (ADATA CompSet) and FYE2023 to FYE2025 (historical performance).
(4) The projected ADR for Year 1 has been revised downwards to RM500 from RM520 in the previous Valuation Report, after taking into consideration of the hotel's actual ADR from RM489 in FYE 2025 to RM469 for the 11-month FPE 31 May 2026, as well as the updated hotel forecast provided by the Client. Accordingly, the ADR has been projected to stabilise at RM630 in Year 10, as compared with RM645 in Year 10 in the previous Valuation Report.

Knight Frank

1.0(C) V/COR/26/0086(C) – LE MERIDIEN PUTRAJAYA

1.3(C) MARKET VALUE

Income Approach by DCF Method

Summary of Parameters (Cont'd)

Departmental Revenue

Departmental Revenue	Historical Performance (% of Operating Revenue)		Knight Frank's Projection
	FYE2023 to FPE 31 October 2025	FPE 31 May 2026	
Food and Beverage	39.2% to 44.3%	43.2%	Year 1 - Year 10: 43.0%
Other Operated Departments	0.002% to 0.007%	0.005%	Year 1 - Year 10: 0.005%
Miscellaneous Income	1.0% to 1.9%	1.5%	Year 1 - Year 10: 2.0%

Similar to our previous Valuation Report, we have adopted the same revenue ratio for Food and Beverage department and Other Operated Departments; whilst a higher projected revenue ratio of 2.0% is projected for the Miscellaneous Income as compared to our previous Valuation Report of 1.9% following the latest hotel performance and projection. Our projection ratios (% of Operating Revenue) are aligned with the hotel and the projection and further benchmarked against the industry average cost published in HTL 2023, 2024 and 2025 Report.

Departmental Expenses

Departmental Expenses	Historical Performance (% of Departmental Revenue)		Knight Frank's Projection
	FYE2023 to FPE 31 October 2025	FPE 31 May 2026	
Room	19.4% to 26.8%	22.3%	Year 1 - Year 10: 23.0%
Food and Beverage	64.2% to 68.0%	62.0%	Year 1 - Year 10: 65.0%
Other Operated Departments	1,667% to 532.7%	0.0%	Year 1 - Year 10: 60.0%
Miscellaneous Income	28.5% - 56.1%	43.3%	Year 1 - Year 10: 45.0%

Similar to our previous Valuation Report, we have adopted a fixed rate over the respective departmental revenue throughout Year 1 to Year 10. In our latest projection we have maintained the same fixed rate adopted in our previous Valuation Report after having reviewed the latest hotel performance. Our projection ratios (% of Departmental Revenue) are aligned with the HTL, historical performance of the hotel and the projection.

Undistributed Operating Expenses

Undistributed Operating Expenses	Historical Performance (% of Operating Revenue)		Knight Frank's Projection
	FYE2023 to FPE 31 October 2025	FPE 31 May 2026	
Administrative & General	6.4% to 9.0%	7.8%	Year 1: 7.5% - Year 10: 7.1%
Information & Telecommunications System	1.4% to 1.6%	1.4%	Year 1: 1.5% - Year 10: 1.4%
Sales & Marketing	4.7% to 5.8%	5.4%	Year 1: 6.0% - Year 10: 5.7%
Property Operation & Maintenance	3.4% to 4.0%	4.0%	Year 1: 4.0% - Year 10: 3.8%
Utilities	7.0% to 7.8%	8.6%	Year 1: 8.0% - Year 10: 7.6%

Similar to our previous Valuation Report, we have adopted a fixed rate over GOR in Year 1 and project it with a 2.5% growth rate per annum; which was benchmarked against the general inflation rate (1.5% to 3.3%). In our latest projection, we have maintained the same fixed rate adopted in our previous Valuation Report after having reviewed the latest hotel performance. Our projection ratios (% of Operating Revenue) are aligned with the HTL, historical performance of the hotel and the operator's projection.

Projected Base Management Fee, Incentive Fee, FF&E Reserves

% of Gross Operating Revenue or % of the Gross Operating Profit, in accordance with the HMA.

Capitalisation Rate: 6.50%

Remains unchanged as per our previous Valuation Report.

Discount Rate (PV): 9.00%

Remains unchanged as per our previous Valuation Report.

Comparison Approach

During the review period, no recent hotel transaction were observed. Therefore, we have relied on the same set of hotel transactions used in our previous valuation.

Knight Frank

1.0(D) V/COR/26/0086(H) – IOI CITY TOWER 1 & 2

1.1(D) IDENTIFICATION OF PROPERTY

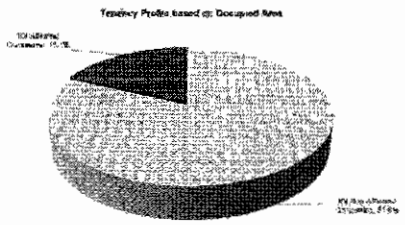
Interest Valued / Type of Property	Legal interest in two (2) blocks of thirty-one (31)-storey office buildings together with seven (7) surface car park bays each known as IOI City Tower 1 ("ICT 1") and IOI City Tower 2 ("ICT 2") respectively; within an integrated commercial development forming part of the IOI Resort City; both sited on part of Parent Lot 10113 held under Master Title No. GRN 336712, Pekan Bukit Bisa, District of Sepang, Selangor Darul Ehsan.
Terms of Reference	**WE HAVE BEEN SPECIFICALLY INSTRUCTED BY THE CLIENT TO ASCERTAIN THE MARKET VALUE(S) OF THE SUBJECT PROPERTY BASED ON THE FOLLOWING BASES / ASSUMPTIONS AND LIMITATIONS STATED HERE BELOW: -** **PURSUANT TO THE DRAFT SALE AND PURCHASE AGREEMENT(S) TO BE ENTEREO BETWEEN IOI CITY TOWER ONE SDN BHD / IOI CITY TOWER TWO SDN BHD ("VENDOR") AND MTRUSTEE BERHAD (AS TRUSTEE FOR IOIPG REIT) ("PURCHASER" / "MTRUSTEE"/ THE "CLIENT"):** **I. THE SUBJECT PROPERTY WILL BE STRATIFIED AND ISSUED WITH A SEPARATE BLOCK / INDIVIDUAL STRATA TITLE(S) FOR EACH RESPECTIVE BUILDINGS. THE AFORESAID STRATIFICATION WORKS WILL BE CARRIED OUT BY THE VENDOR AT ITS OWN COST, AS AGREED BETWEEN THE PARTIES IN THE DRAFT SALE AND PURCHASE AGREEMENT; AND** **OUR VALUATION IS ON THE BASIS THAT THE STRATIFICATION OF THE BUILDINGS WILL BE DULY COMPLETED IN ACCORDANCE WITH THE REQUIREMENTS OF THE RELEVANT AUTHORITIES AND THAT SEPARATE STRATA TITLE(S) WILL BE ISSUED IN DUE COURSE.** **II. THE SUBJECT PROPERTY WILL BE SOLD WITH LEGAL POSSESSION, SUBJECT TO THE EXISTING / COMMITTED TENANCIES; AND** **"IF ANY PARTY WISHES TO RELY ON THE VALUATION BASED ON THE ASSUMPTIONS STATED ABOVE, THEN APPROPRIATE PROFESSIONAL ADVICE SHOULD BE SOUGHT SINCE THE VALUE(S) REPORTED IS BASED ON ASSUMPTIONS THAT ARE YET OR FULLY REALISED".**
Physical Aspect	As at the date of re-inspection, the physical state(s) of the ICT 1 and ICT 2 (including Gross Floor Area and car park facilities) remained unchanged as per our previous valuation.
NLA / Occupancy	The tenancy schedule dated 31 May 2026 has revealed that the NLA of the respective tower remained unchanged as per previous valuation; with the current occupancy rate increased from 86.4% to 91.4% due to the addition of new tenants. The current WALE stands at 2.24 years.

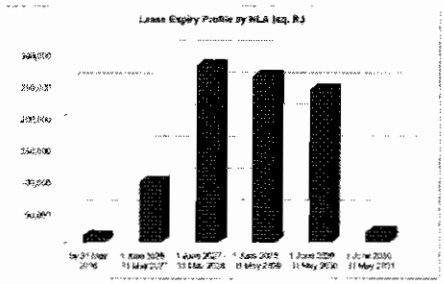
Knight Frank

1.0(D) VCOR26/0086(H) – IOI CITY TOWER 1 & 2

1.2(D) PROPERTY DESCRIPTION (CONT'D)

Tenancy Profile & Lease Expiry Profile





1.3(D) MARKET VALUE

Valuation Methodology

Similar to our previous valuation, in arriving at our opinion of the Market Value of the Subject Property, we have adopted the **Income Approach by Investment Method** as the primary approach and supported by the **Comparison Approach.**

Historical Performance

Historical Operating Performance of IOI City Towers for FPE 31 October 2025 and Unaudited FPE 31 May 2026

	FPE 31 Oct 2025 (4-month)	Unaudited FPE 31 May 2026 (11-month)
Average Total NLA	987,117 sq. ft.	982,517 sq. ft.
Average Occupancy	55%	61%
Total Gross Income [1]	RM10,411,000	RM31,391,000
Total Outgoings [2]	RM5,436,000	RM14,210,000
Net Property Income	RM4,975,000	RM17,181,000

Notes:

The above historical performance also incorporated pro forma adjustments excluding other inter-related income, entertainment expenses as well as non-cash items such as provisions for doubtful debts, bank charges, compensation and penalties and has incorporated certain pro forma adjustments relating to property management fees and expenses.

(1) Total Gross Income consists of rental income, utilities recovery incomes, car park income, other related incomes and miscellaneous income.

(2) Total Outgoings include property taxes, insurance, repair and maintenance, utilities, other operating expenses and property management fees.

Knight Frank

1.0(D) V/COR/26/0086(H) – IOI CITY TOWER 1 & 2

1.3(D) MARKET VALUE (CONT'D)

Reconciliation of Values

Building(s)	Method of Valuation	Derivation of Values
ICT 1	Income Approach by Investment Method	RM272,000,000
	Comparison Approach	RM278,000,000
ICT 2	Income Approach by Investment Method	RM279,000,000
	Comparison Approach	RM285,000,000

Market Value

Building(s)	Market Value(s)
ICT 1	**RM272,000,000**
ICT 2	**RM279,000,000**
Total	RM551,000,000

Income Approach by Investment Method

We have reassessed the Market Value of ICT 1 and ICT 2 with the updated details and have adopted the same parameters in the Income Approach as per our previous valuation; save and except for the average term gross rental of ICT 1 is at RM4.05 psf per month and ICT 2 is at RM4.67 psf per month over the occupied NLA due to the renewed tenancies / additional take-up of vacant units and the term outgoings have revised to RM1.30 psf per month over the occupied NLA, benchmarked against the latest 11-month historical operating expenses.

Comparison Approach

During the review period, no new office building transaction was recorded within Klang Valley. However, there is an announced transaction after the date of valuation namely Menara Ambank; of which the details of the aforesaid transaction is outlined below for reference only.

Menara AmBank is a 46-storey purpose-built office building with 7 levels of podium carpark, located along Jalan Yap Kwan Seng, Kuala Lumpur. It was transacted at RM331,000,000 (analysed to be at RM730 psf) between Maybank Trustees Berhad (Vendor) and AmBank (M) Berhad, a wholly-owned subsidiary of AMMB Holdings Berhad (Purchaser).

There is no recent transaction involving standalone car park assets were observed.

Therefore, we have relied on the same set of office building and car park transactions used in our previous valuation.

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Knight Frank

2.0(D) V/COR/26/0086(D) – PUTRAJAYA MARRIOTT HOTEL

2.1(D) IDENTIFICATION OF PROPERTY

Interest Valued / Type of Property	Legal interest in a 5-star rated 488-room hotel known as Putrajaya Marriott Hotel together with other supporting amenities / facilities attached thereto sited on part of Parent Lot 8 held under Master Title No. Geran 332489, Pekan Bukit Bisa, District of Sepang, Selangor Darul Ehsan.
Terms of Reference	**WE HAVE BEEN SPECIFICALLY INSTRUCTED BY THE CLIENT TO ASCERTAIN THE MARKET VALUE OF THE SUBJECT PROPERTY BASED ON THE FOLLOWING BASES / ASSUMPTIONS AND LIMITATIONS STATED HERE BELOW: -** **PURSUANT TO THE DRAFT SALE AND PURCHASE AGREEMENT TO BE ENTERED BETWEEN RESORT VILLA DEVELOPMENT SDN BHD ("VENDOR") AND MTRUSTEE BERHAD (AS TRUSTEE FOR IOIPG MALAYSIA REAL ESTATE INVESTMENT TRUST) ("PURCHASER" / "MTRUSTEE" / THE "CLIENT");** **I. THE SUBJECT PROPERTY IS SOLD WITH LEGAL POSSESSION, SUBJECT TO THE EXISTING HOTEL MANAGEMENT AGREEMENTS ENTERED INTO BY THE VENDOR WITH THE RELEVANT PARTIES FOR THE OPERATION AND MANAGEMENT OF THE HOTEL (INCLUDING OPERATING SERVICES AGREEMENT, INTERNATIONAL SERVICE AGREEMENT, SYSTEM LICENSE AGREEMENT AND DESIGN REVIEW AGREEMENT), WHICH WILL REMAIN IN FULL FORCE AND EFFECT;** **II. THE SUBJECT PROPERTY IS SOLD IN THE WORKING AND OPERATIONAL CONDITION AS REPRESENTED TO THE PURCHASER;** **III. A HOTEL MASTER LEASE WILL BE ENTERED, WHEREBY RESORT VILLA DEVELOPMENT SDN BHD SHALL BE THE LESSEE AND MTRUSTEE SHALL BE THE LESSOR, SUBJECT TO TERMS AND CONDITIONS STATED IN THE SAID HOTEL MASTER LEASE AGREEMENT.** **THE VALUATION IS THEREFORE UNDERTAKEN AS RENTAL INCOME GENERATING PROPERTY SUBJECT TO THE TERMS AND CONDITIONS IN THE MASTER LEASE AGREEMENT;** **IV. THE PARENT LOT WILL BE SUBDIVIDED AND ISSUED WITH A SEPARATE INDIVIDUAL TITLE COVERING AN AREA MEASURING APPROXIMATELY 46,243 SQUARE METRES, ON WHICH THE SUBJECT PROPERTY IS ERECTED;** **THE SUBJECT PROPERTY WILL SUBSEQUENTLY BE STRATIFIED AND ISSUED WITH A SEPARATE STRATA TITLE(S). THE AFORESAID SUBDIVISION AND STRATIFICATION WORKS WILL BE CARRIED OUT BY THE VENDOR AT ITS OWN COST, AS AGREED BETWEEN THE PARTIES IN THE DRAFT SALE AND PURCHASE AGREEMENT.** **OUR VALUATION IS ON THE BASIS THAT THE SUBDIVISION OF THE PARENT TITLE AND THE STRATIFICATION OF THE BUILDING WILL BE DULY COMPLETED IN ACCORDANCE WITH THE REQUIREMENTS OF THE RELEVANT AUTHORITIES AND THAT SEPARATE STRATA TITLE(S) WILL BE ISSUED IN DUE COURSE.** **V. PURSUANT TO THE UNDERTAKING LETTERS DATED 8 APRIL 2026 AND 16 JULY 2026 ENTERED BETWEEN RESORT VILLA DEVELOPMENT SDN BHD ("VENDOR"), IOIPG REIT MANAGEMENT SDN BHD (AS MANAGEMENT COMPANY FOR IOIPG MALAYSIA REAL ESTATE INVESTMENT TRUST) AND MTRUSTEE BERHAD (AS TRUSTEE FOR IOIPG MALAYSIA REAL ESTATE INVESTMENT TRUST), ALL NECESSARY APPROVAL FOR THE EXTENSION AND / OR RENOVATION OF THE GARDEN BALLROOM AREA, THE ZEST RESTAURANT AND TUSCANY AREA ALONG WITH FOUR (4) MEETING ROOMS INCLUDING THE APPROVAL OF THE AMENDED BUILDING PLAN WILL BE OBTAINED FROM THE RELEVANT AUTHORITIES AT VENDOR'S COSTS AND EXPENSES; WITH ALL RELEVANT FEES (IF ANY) FULLY PAID AND THEREAFTER ISSUED WITH A CERTIFICATE OF COMPLETION AND COMPLIANCE.** **"IF ANY PARTY WISHES TO RELY ON THE VALUATION BASED ON THE ASSUMPTION(S) AS STATED ABOVE, THEN APPROPRIATE PROFESSIONAL ADVICE SHOULD BE SOUGHT SINCE THE VALUE(S) REPORTED ARE BASED ON ASSUMPTION(S) THAT ARE NOT YET OR FULLY REALISED".**

2.0(D) V/COR/26/0086(D) – PUTRAJAYA MARRIOTT HOTEL

2.2(D) PROPERTY DESCRIPTION

Locality

Strategically located within IOI Resort City, an integrated resort and township development in Putrajaya comprising residential dwellings, commercial offices, branded hotels, golf course and one of the country's largest retail mall.

Legal Aspect

The official search conducted on 25 June 2026 have revealed that the master title particulars and legal status of Putrajaya Marriott Hotel remain unchanged as per our previous Valuation Report.

Physical Aspect

The physical state (including gross floor area + number and type of hotel rooms + facilities) remains unchanged as per our previous Valuation Report. However, during our site inspection, we noted that part of the ground floor, comprising four (4) meeting rooms, had recently been renovated and refurbished. We were informed that the necessary approval for the aforesaid renovation had been obtained from the local authority under reference no. MPSepang 600-35/3/1373(4) dated 3 June 2025. We were further informed that the Certificate of Completion and Compliance for the said renovation is currently in progress and is expected to be issued in Q3 2026.

Occupancy Status

The historical average occupancy rates and average daily rates is scheduled below:

FYE / FPE	AOR	ADR
FYE 30 June 2023	42.4%	RM295
FYE 30 June 2024	58.0%	RM313
FYE 30 June 2025	55.3%	RM365
FPE 31 October 2025	61.2%	RM357
FPE 31 May 2026	57.4%	RM351

Hotel Management Agreement / Framework Agreement

The terms for the Hotel Management Agreements / Framework Agreement remain unchanged as per our previous Valuation Report.

Hotel Master Lease Agreement

The proposed terms for the proposed Hotel Master Lease Agreement remain unchanged as per our previous Valuation Report.

2.3(D) MARKET VALUE

Valuation Methodology

Similar to our previous valuation, in arriving at our opinion of the Market Value of the Subject Property, we have adopted the **Income Approach by DCF Method** as the primary approach and supported by the **Comparison Approach**.

Reconciliation of Values

Method of Valuation	Derivation of Values
Income Approach by DCF Method (with Master Lease structure)	RM268,000,000
Comparison Approach	RM256,000,000

Market Value

RM266,000,000.

Knight Frank

2.0(D) V/COR/26/0086(D) – PUTRAJAYA MARRIOTT HOTEL

2.3(D) MARKET VALUE

Income Approach by DCF Method

We have reassessed the Market Value of Putrajaya Marriott Hotel with updated details and have adopted the same parameters in the Income Approach as per our previous Valuation Report; save and except for the projected AOR, ADR, departmental revenue, departmental expenses and undistributed operating expenses as delineated below and overleaf.

Summary of Parameters

Projected Occupancy

Year 1: 60.0% to Year 10: 70.0% (based on 487 available rooms)

The presidential suite located at level 13 has been closed and has not been marketed as a saleable room; hence we have adopted the existing available hotel rooms of 487 rooms throughout the DCF period.

The historical AOR of the selected CompSet as well as the provided forecasted operating performance of Putrajaya Marriott Hotel are as follows

Selected CompSet extracted from A-DATA [1]

Item	Year 2022	Year 2023	Year 2024	Year 2025	Year 2026 [2]	2-year CAGR [3]
CompSet Historical Performance	28.9% - 74.5%	49.8% - 70.6%	45.8% - 76.0%	44.9% - 75.4%	47.7% - 69.5%	3.5%

Putrajaya Marriott Hotel – Historical Performance

Item	FYE2023	FYE2024	FYE2025	FPE 31 October 2025	FPE 31 May 2026	2-year CAGR [3]
Historical Performance	42.4%	59.0%	55.3%	61.2%	57.4%	14.2%

Putrajaya Marriott Hotel – Forecasted Operating Performance

Item	Year 1	Year 2	Year 3	Year 4	Year 5	4-year CAGR
Hotel Forecast	60.0%	62.1%	63.8%	65.3%	67.1%	2.8%
Knight Frank's Projections [4]	60.0%	63.0%	66.0%	68.0%	70.0%	3.9%
Item	**Year 6**	**Year 7**	**Year 8**	**Year 9**	**Year 10**	**9-year CAGR**
Knight Frank's Projections [4]	70.0%	70.0%	70.0%	70.0%	70.0%	1.7%

Notes:

(1) The selected competitive set includes 4 to 5-star hotels such as Zenith Hotel Putrajaya, Pullse Grande Putrajaya, Movenpick Hotel & Convention Centre KLIA Sepang and One World Hotel.
(2) Based on the available months in Year 2026 from January to June.
(3) 2-year CAGR from Year 2023 to Year 2025 (ADATA CompSet) and FYE2023 to FYE2025 (historical performance).
(4) The projected AOR for has been maintained after reviewing the latest operating performance and the updated occupancy projections provided by the Client, which aligns with our previous Valuation Report

Knight Frank

2.0(D) V/COR/26/0086(D) – PUTRAJAYA MARRIOTT HOTEL

2.3(D) MARKET VALUE

Income Approach by DCF Method

Summary of Parameters (Cont'd)

Projected Average Daily Rate (ADR)

Year 1 : RM385 to Year 10: RM430

The historical ADR and published room rates of the selected CompSet as well as the provided forecasted operating performance of Putrajaya Marriott Hotel are as follows:

Selected CompSet extracted from A-DATA (1)

Item	Year 2022	Year 2023	Year 2024	Year 2025	Year 2026 (2)	2-year CAGR (3)
CompSet Historical Performance	RM292 – RM358	RM322 – RM426	RM366 – RM441	RM347 – RM433	RM209 – RM439	1.3%
Published room rates from A-DATA OTAs (Online Travel Agent) forward pricing	–	–	–	RM303 – RM395	RM343 – RM476	–

Putrajaya Marriott Hotel – Historical Performance

Item	FYE202	FYE2024	FYE2025	FPE 31 October 2025	FPE 31 May 2026	2-year CAGR (3)
Historical Performance	RM295	RM313	RM385	RM357	RM351	11.2%

Putrajaya Marriott Hotel – Forecasted Operating Performance

Item	Year 1	Year 2	Year 3	Year 4	Year 5	5-year CAGR
Hotel Forecast	RM395	RM399	RM405	RM410	RM414	1.2%
Knight Frank's Projections	RM385	RM390	RM395	RM400	RM405	1.3%
Item	**Year 6**	**Year 7**	**Year 8**	**Year 9**	**Year 10**	**5-year CAGR**
Knight Frank's Projections	RM410	RM415	RM420	RM425	RM430	1.2%

Notes:

(1) The selected competitive set includes 4 to 5-star hotels such as Zenith Hotel Putrajaya, Pulse Grande Putrajaya, Movenpick Hotel & Convention Centre KLIA Sepang and One World Hotel.
(2) Based on the available months in Year 2026 from January to June.
(3) 2-year CAGR from Year 2023 to Year 2025 (ADATA CompSet) and FYE2023 to FYE2025 (historical performance).
(4) The projected ADR has been revised upwards to RM385 from RM380 in Year 1, after reviewing the updated room rates projections provided by the Client. Nevertheless, the ADR growth has been revised downwards, resulting in ADR of RM430 in Year 10 as compared to our previous Valuation Report of RM470 in Year 10.

Knight Frank

2.0(D) V/COR/26/0086(D) – PUTRAJAYA MARRIOTT HOTEL

2.3(D) MARKET VALUE

Income Approach by DCF Method

Summary of Parameters (Cont'd)

Departmental Revenue

Departmental Revenue	Historical Performance (% of Operating Revenue)		Knight Frank's Projection
	FYE2023 to FPE 31 October 2025	FPE 31 May 2026	
Food and Beverage	46.4% to 55.3%	48.4%	Year 1: 49.5% Year 2 – Year 10: 50.0%
Other Operated Departments	0.6% to 1.3%	0.8%	Year 1 - Year 10: 1.0%
Miscellaneous Income	0.6% to 1.0%	0.8%	Year 1 - Year 10: 0.5%

Similar to our previous Valuation Report, we have adopted the same revenue ratio for Other Operated Departments and Miscellaneous Income. In the previous valuation, room revenue accounted for approximately 55.0% of Gross Operating Revenue, while Food & Beverage revenue accounted for approximately 43.6%. In the current valuation, the revenue mix has been revised to reflect a more balanced contribution, with room revenue at approximately 49.0% and Food & Beverage revenue at approximately 49.5% in Year 1. From Year 2 onwards, Food & Beverage revenue is projected to contribute approximately 50.0% of GOR, while room revenue is projected at approximately 48.5%. This revised revenue mix is considered reasonable having regard to the hotel's latest operating performance and the Lessee's revised projection positioning as a resort / conference hotel within IOI Resort City and the expected improvement in MICE, banquet and catering-related demand. Our projection ratios (% of Operating Revenue) are aligned with the hotel and the operator's projection and further benchmarked against the industry average cost published in HTL 2023, 2024 and 2025 Report.

Departmental Expenses

Departmental Expenses	Historical Performance (% of Departmental Revenue)		Knight Frank's Projection
	FYE2023 to FPE 31 October 2025	FPE 31 May 2026	
Room	25.8% to 38.7%	27.0%	Year 1 - Year 10: 25.0%
Food and Beverage	58.0% to 60.6%	57.8%	Year 1 - Year 10: 62.0%
Other Operated Departments	37.8% to 141.5%	117.0%	Year 1 - Year 10: 70.0%
Miscellaneous Income	0.0%	0.0%	Year 1 - Year 10: 0.0%

Similar to our previous Valuation Report, we have adopted a fixed rate over the respective departmental revenue throughout Year 1 to Year 10. In our latest projection, we have reduced the fixed rate for the Room expenses from 26.0% to 25.0% and Food and Beverage expenses from 65.0% to 62.0% after having reviewed the latest FPE 31 May 2026 performance which indicates improved cost control and operating efficiency. However, a higher fixed rate has been allocated for Other Operated Departments at 70.0% as compared to our previous Valuation Report of 60.0% following the latest hotel performance and projection. Our projection ratios (% of Departmental Revenue) are aligned with the HTL, historical performance of the hotel and the operator's projection. We have adopted a fixed rate over the respective departmental revenue throughout Year 1 to Year 10.

Undistributed Operating Expenses

Undistributed Operating Expenses	Historical Performance (% of Operating Revenue)		Knight Frank's Projection
	FYE2023 to FPE 31 October 2025	FPE 31 May 2026	
Administrative & General	4.5% to 12.3%	8.2%	Year 1: 8.0% - Year 10: 7.5%
Information & Telecommunications System	2.0% to 3.9%	2.3%	Year 1: 2.2% - Year 10: 2.1%
Sales & Marketing	5.7% to 7.4%	6.7%	Year 1: 7.0% - Year 10: 6.0%
Property Operation & Maintenance	4.3% to 7.4%	3.9%	Year 1: 4.0% - Year 10: 3.8%
Utilities	8.5% to 17.2%	9.3%	Year 1: 9.0% - Year 10: 8.5%

Similar to our previous Valuation Report, we have adopted a fixed rate over GOR in Year 1 and project it with a 2.5% growth rate per annum, which was benchmarked against the general inflation rate (1.5% to 3.3%). In our latest projection, we have reduced the Year 1 undistributed operating expense ratios for Administrative & General from 9.0% to 8.0% and Utilities from 10.5% to 9.0%. Conversely, the ratios for Information & Telecommunication Systems and Sales & Marketing have been revised upwards from 2.0% to 2.2% and from 6.0% to 7.0% respectively, while the ratio for Property Operations and Maintenance has been maintained at 4.0% after having reviewed the latest FPE 31 May 2026 performance and hotel projection.

Projected Base Management Fee, Incentive Fee, FF&E Reserves

% of Gross Operating Revenue or % of the Gross Operating Profit, in accordance with the HMA.

Capitalisation Rate: 6.50%

Remains unchanged as per our previous Valuation Report.

Discount Rate (PV): 9.00%

The discount rate has been revised from 9.50% to 9.00% in view of our latest cash flow projection which incorporates lower growth and escalation assumptions. The projection has considered the improved hotel operating performance observed from the latest 11-month actual results during FPE 31 May 2026 together with the latest hotel projections provided to us. Accordingly, the projected operating performance for the initial years has been revised to reflect with the latest actual performance, while more moderate growth and escalation assumptions have been adopted over the remaining projection period. The adopted discount rate remains appropriate reflecting the variable rent structure under the proposed master lease which is linked to the hotel's operating performance as well as the escalation assumptions adopted in the projection.

Comparison Approach

During the review period, no recent hotel transaction were observed. Therefore, we have relied on the same set of hotel transactions used in our previous valuation.

Knight Frank

3.0(E) V/COR/26/0086(E) – W KUALA LUMPUR

3.1(E) IDENTIFICATION OF PROPERTY

Interests Valued / Type of Property

- Legal interest / interest in perpetuity in a 5-star rated hotel known as W Kuala Lumpur, presently comprising 150 rooms together with other supporting facilities / amenities attached thereto, held under:

  a) Strata Title No. Geran 51952/M1/1/1, Parcel No. 1, Storey No. 1, Building No. M1 together with Accessory Parcel No(s). A1 to A3 (inclusive), A344 to A346 (inclusive), A366, A367, A432, A499, A570, A641, A642, A701, A702, A719, A720, A723, A725 and A727 ("**Parcel 1**");

  b) Strata Title No. Geran 51952/M1/2/2, Parcel No. 2, Storey No. 2, Building No. M1 together with Accessory Parcel No(s). A91 to A93 (inclusive), A189, A190, A286, A340 to A343 (inclusive), A347 to A365 (inclusive), A368 to A430 (inclusive), A433 to A498 (inclusive), A500 to A569 (inclusive), A571 to A640 (inclusive), A643, A644, A655 to A699 (inclusive), A703, A704, A721 and A722 ("**Parcel 2**"); and

  c) Strata Title No. Geran 51952/ M1/13/3, Parcel No. 3, Storey No. 13, Building No. M1 together with Accessory Parcel No(s). A431, A724 and A726 ("**Parcel 3**").

  all sited on Parent Lot 194 Seksyen 58, Bandar Kuala Lumpur, District of Kuala Lumpur, Wilayah Persekutuan Kuala Lumpur.

- Legal interest in the unexpired 20-year contractual rights to use and occupy the additional improvement area created from the existing void area measuring approximately 3,649 square feet located on Level 13 of W Kuala Lumpur, which will form part of the additional 9 rooms currently under renovation and are scheduled for completion by January 2027 ("**Additional Improvement Area**"); in which the total room inventory of W Kuala Lumpur will increase to 159 rooms for a period of 20 years and thereafter reconfigured to 156 rooms upon expiry of the 20-year term of the lease.

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Knight Frank

3.0(E) V/COR/26/0086(E) – W KUALA LUMPUR

3.1(E) IDENTIFICATION OF PROPERTY

Terms of Reference

WE HAVE BEEN SPECIFICALLY INSTRUCTED BY THE CLIENT TO ASCERTAIN THE MARKET VALUE OF THE SUBJECT PROPERTY BASED ON THE FOLLOWING BASES / ASSUMPTIONS AND LIMITATIONS STATED HERE BELOW: -

BASED ON THE DRAFT SALE AND PURCHASE AGREEMENTS (IN RESPECT OF MAIN PARCEL(S) 1, 2, 3 AND THE ADDITIONAL IMPROVEMENT AREA FORMING PART OF SUBJECT PROPERTY – HOTEL) TO BE ENTERED BETWEEN IOI BUSINESS HOTEL SDN BHD ("VENDOR" OF MAIN PARCELS 1 AND 3 AND THE ADDITIONAL IMPROVEMENT AREA), FLORA DEVELOPMENT SDN BHD ("VENDOR" OF MAIN PARCEL 2) AND MTRUSTEE BERHAD (AS TRUSTEE FOR IOIPG MALAYSIA REAL ESTATE INVESTMENT TRUST) ("PURCHASER" / "MTRUSTEE" / THE "CLIENT");

I. THE SUBJECT PROPERTY IS SOLD WITH LEGAL POSSESSION, SUBJECT TO THE EXISTING HOTEL MANAGEMENT AGREEMENTS ENTERED INTO BY THE VENDOR WITH THE RELEVANT PARTIES FOR THE OPERATION AND MANAGEMENT OF THE HOTEL (INCLUDING OPERATING SERVICES AGREEMENT, SYSTEM LICENSE AGREEMENT, CENTRALISED SERVICES AGREEMENT AND DEVELOPMENT CONSULTING SERVICES AGREEMENT), WHICH WILL REMAIN IN FULL FORCE AND EFFECT;

II. THE SUBJECT PROPERTY IS SOLD IN THE WORKING AND OPERATIONAL CONDITION AS REPRESENTED TO THE PURCHASER;

III. A HOTEL MASTER LEASE WILL BE ENTERED, WHEREBY IOI BUSINESS HOTEL SDN. BHD. SHALL BE THE LESSEE AND MTRUSTEE SHALL BE THE LESSOR, SUBJECT TO TERMS AND CONDITIONS STATED IN THE SAID HOTEL MASTER LEASE AGREEMENT.

THE VALUATION IS THEREFORE UNDERTAKEN AS RENTAL INCOME GENERATING PROPERTY SUBJECT TO THE TERMS AND CONDITIONS IN THE MASTER LEASE AGREEMENT;

IV. A DRAFT LEASE AGREEMENT WILL BE ENTERED FOR THE ADDITIONAL IMPROVEMENT AREA MEASURING ABOUT 3,649 SQUARE FEET CREATED FROM THE VOID AREA ON LEVEL 13, WHEREBY IOI BUSINESS HOTEL SDN BHD (VENDOR) SHALL BE THE LESSEE, MTRUSTEE (PURCHASER) SHALL BE THE LESSEE'S NOMINEE AND PERBADANAN PENGURUSAN MENARA TR SHALL BE THE LESSOR, SUBJECT TO TERMS AND CONDITIONS STATED IN THE SAID DRAFT LEASE AGREEMENT.

NOTWITHSTANDING THE ABOVE, AS PART OF THE TERMS AND CONDITIONS OF THE DRAFT SALE AND PURCHASE AGREEMENT, THE VENDOR IS REQUIRED TO PROCURE THE VOID AREA LEASE FROM PERBADANAN PENGURUSAN MENARA TR AND THEREAFTER EXERCISING THE VOID AREA TRANSFER / ASSIGNMENT / NOMINATION RIGHT TO BE GRANTED TO THE PURCHASER. THIS PROPOSED TRANSFER / ASSIGNMENT / NOMINATION OF RIGHTS IS ON THE BASIS THAT THE VOID AREA LEASE IS INITIALLY OBTAINED BY THE VENDOR AND WILL SUBSEQUENTLY BE NOMINATED OR TRANSFERRED TO THE PURCHASER AS THE SUCCESSOR OWNER UPON THE SIGNING OR COMPLETION OF THE SALE AND PURCHASE AGREEMENT; AND

THE VALUATION THEREFORE HAS TAKEN INTO CONSIDERATION OF THE CONTRACTUAL RIGHTS TO USE AND OCCUPY THE ADDITIONAL IMPROVEMENT AREA BY THE PURCHASER.

Knight Frank

3.0(E) V/COR/26/0086(E) – W KUALA LUMPUR

3.1(E) IDENTIFICATION OF PROPERTY

Terms of Reference

PURSUANT TO THE UNDERTAKING LETTERS DATED 8 APRIL 2026 AND 16 JULY 2026 ENTERED BETWEEN IOI PROPERTIES GROUP BERHAD (BEING THE HOLDING COMPANY OF IOI BUSINESS HOTEL SDN BHD ("VENDOR")) AND MTRUSTEE BERHAD (AS TRUSTEE FOR IOIPG MALAYSIA REAL ESTATE INVESTMENT TRUST) ("PURCHASER" / "MTRUSTEE" / THE "CLIENT"):

V. RENOVATION / REFURBISHMENT WORKS (VENDOR-FUNDED)

PURSUANT TO THE PROJECT BRIEF (DATED 18 DECEMBER 2025) AND THE PLANNING APPROVAL LETTER (REF: DBKL.JPRB.6171/94 BHG.1(58) DATED 2 OCTOBER 2025) ISSUED BY KUALA LUMPUR CITY HALL AND THE CORRESPONDING APPROVED PLANS, THE FOLLOWING RENOVATION, IMPROVEMENT AND REFURBISHMENT WORKS ARE TO BE CARRIED OUT:

(i) CONVERSION OF USE TO THE NEW RESTAURANT, NAMELY "HOJA" ALONG WITH THE REFURBISHMENT OF GYMNASIUM (LEVEL 12); AND

(ii) ADDITIONAL 9 HOTEL ROOMS (WITH AN ADDITIONAL IMPROVEMENT AREA MEASURING ABOUT 3,649 SQUARE FEET ("VOID AREA") IN ADDITION TO THE TOTAL STRATA FLOOR AREA) ALONG WITH THE REFURBISHMENT OF SPA CENTRE, NAMELY "AWAY SPA" (LEVEL 13).

THE WORKS ARE FULLY FUNDED AND TO BE COMPLETED IN GOOD WORKMANSHIP AND IN ACCORDANCE WITH THE PROJECT BRIEF AND APPROVED PLANS BY THE VENDOR AT ITS OWN COST (TARGET COMPLETION BY JANUARY 2027) WITH ALL RELEVANT FEES (IF ANY) PAID AND A CERTIFICATE OF COMPLETION AND COMPLIANCE (CCC) ISSUED THEREAFTER AND NO DEDUCTION HAS BEEN MADE FOR THESE COSTS IN OUR VALUATION MODEL.

OUR VALUATION IS ON THE BASIS THAT THE RENOVATION, IMPROVEMENT AND REFURBISHMENT WORKS COMPLY WITH THE REQUIREMENTS OF MINISTRY OF TOURISM, ARTS AND CULTURE (MOTAC) AND ALL APPLICABLE 5-STAR HOTEL CLASSIFICATION STANDARDS, AND ARE IN ACCORDANCE WITH THE DESIGN CONCEPT REQUIRED BY W HOTELS; AND

VI. ADDITIONAL IMPROVEMENT AREA

PURSUANT TO THE DRAFT LEASE AGREEMENT TO BE ENTERED BETWEEN IOI BUSINESS HOTEL SDN BHD (LESSEE), MTRUSTEE (LESSEE'S NOMINEE) AND PERBADANAN PENGURUSAN MENARA TR (LESSOR), THE ADDITIONAL IMPROVEMENT AREA CREATED FROM THE EXISTING VOID AREA MEASURING APPROXIMATELY 3,649 SQUARE FEET WILL BE LEASED TO IOI BUSINESS HOTEL SDN BHD.

IN OUR VALUATION, WE HAVE CONSIDERED THE LEASE TERMS OF THE ADDITIONAL IMPROVEMENT AREA OF 20 YEARS.

"IF ANY PARTY WISHES TO RELY ON THE VALUATION BASED ON THE ASSUMPTION(S) AS STATED ABOVE, THEN APPROPRIATE PROFESSIONAL ADVICE SHOULD BE SOUGHT SINCE THE VALUE(S) REPORTED ARE BASED ON ASSUMPTION(S) THAT ARE NOT YET OR FULLY REALISED".

3.2(E) PROPERTY DESCRIPTION

Locality

Strategically located along Jalan Ampang within Seksyen 58 of Bandar Kuala Lumpur, accommodating office buildings, shopping complexes / retail malls and international / business class hotels. The world-renowned Kuala Lumpur City Centre ("KLCC") development is situated approximately 300 metres due south-east of W Kuala Lumpur.

Knight Frank

3.0(E) V/COR/26/0086(E) – W KUALA LUMPUR

3.2(E) PROPERTY DESCRIPTION

Legal Aspect

The official searches conducted on 27 June 2026 have revealed that the strata title particulars and legal status of W Kuala Lumpur remain unchanged as per our previous Valuation Report.

Physical Aspect

The physical state (including gross floor area + number and type of hotel rooms + facilities) remains unchanged as per our previous Valuation Report.

As at the date of re-inspection, we note that the renovation, improvement and refurbishment works carried out to Level 12 (new restaurant, namely "Hoja" along with the refurbishment of gymnasium) and Level 13 (additional 9 hotel rooms along with the refurbishment of spa centre, namely "Away Spa") are ongoing.

Subsequent to the motion to authorise the Perbadanan Pengurusan Menara TR (MC) to grant the Void Area Lease (consisting of the Letter of Intent and the draft Lease Agreement) which was unanimously approved during the Annual General Meeting (AGM) held on 24 June 2026, we note that the Letter of Intent has been signed by the Chairman, on behalf of the MC on 7 July 2026.

Occupancy Status

The historical average occupancy rates and average daily rates is scheduled below:

FYE / FPE	AOR	ADR
FYE 30 June 2023 [Note]	75.0%	RM826
FYE 30 June 2024 [Note]	83.9%	RM993
FYE 30 June 2025	81.7%	RM1,116
FPE 31 October 2025	85.0%	RM1,125
FPE 31 May 2026	78.8%	RM1,123

Note: The ACR and ADR for FYE 2023 and FYE 2024 are prior to the acquisition by IOI Business Hotel Sdn Bhd.

Hotel Management Agreement / Framework Agreement

The terms for the Hotel Management Agreements / Framework Agreement remain unchanged as per our previous Valuation Report.

Hotel Master Lease Agreement

The proposed terms for the proposed Hotel Master Lease Agreement remain unchanged as per our previous Valuation Report.

3.3(E) MARKET VALUE

Valuation Methodology

Similar to our previous valuation, in arriving at our opinion of the Market Value of the Subject Property, we have adopted the **Income Approach by DCF Method** as the primary approach and supported by the **Comparison Approach.**

Reconciliation of Values

Subject Property	Method of Valuation	Derivation of Values
Parcel 1 and Parcel 3 + additional improvement area	Income Approach by DCF Method (with Master Lease structure)	RM380,000,000
	Comparison Approach	RM378,000,000
Parcel 2 (Car Parks)	Income Approach by DCF Method (with Master Lease structure)	RM11,000,000
	Comparison Approach	RM10,500,000

Knight Frank

3.0(E) V/COR/26/0086(E) – W KUALA LUMPUR

3.3(E) MARKET VALUE

Market Value

Subject Property	Market Value(s)
Parcel 1 and Parcel 3 + additional improvement area	**RM380,000,000**
Parcel 2 (Car Parks)	**RM11,000,000**
Total	RM391,000,000

Income Approach by DCF Method

We have reassessed the Market Value of W Kuala Lumpur with updated details and have adopted the same parameters in the Income Approach as per our previous Valuation Report; save and except for the projected AOR, ADR, departmental revenue, departmental expenses and undistributed operating expenses as delineated below and overleaf.

Summary of Parameters

Projected Occupancy

Year 1: 80.0% (based on 150 available hotel rooms for 7 months + 159 available hotel rooms for 5 months)

The renovation and improvement works of the additional 9 hotel rooms on Level 13 is scheduled to be completed by January 2027; hence we have adopted the available hotel rooms at an average of 154 rooms in Year 1 (June 2026 to May 2027), contributed by 7 months (June to December 2026) at 150 rooms + 5 months (January to May 2027) at 159 rooms.

Year 2: 81.0% to Year 10: 82.0% (based on 159 available hotel rooms)

The hotel is fully operated at its full capacity of 159 available rooms.

The renovation, improvement and refurbishment works will be carried out and undertaken by IOI Business Hotel Sdn. Bhd. (Vendor) at its own cost, hence we have not included capital expenditure (CAPEX) in our projection.

The historical Average Occupancy Rate (AOR) of the selected CompSet as well as the provided forecasted operating performance of W Kuala Lumpur are as follows:

Selected CompSet extracted from A-DATA [1]

Item	Year 2022	Year 2023	Year 2024	Year 2025	Year 2026 [2]	2-year CAGR [3]
CompSet Historical Performance	21.8% - 78.0%	43.6% - 67.2%	40.6% - 69.5%	43.3% - 76.1%	46.4% - 77.5%	3.4%

W Kuala Lumpur – Historical Performance

Item	FYE2023 [4]	FYE2024 [4]	FYE2025	FPE 31 October 2025	FPE 31 May 2026	2-year CAGR [3]
Historical Performance	75.0%	83.9%	81.7%	85.0%	78.8%	4.4%

W Kuala Lumpur – Forecasted Operating Performance

Item	Year 1	Year 2	Year 3	Year 4	Year 5	4-year CAGR
Hotel Forecast	81.2%	81.5%	81.7%	81.9%	82.0%	0.2%
Knight Frank's Projections [5]	80.0%	81.0%	82.0%	82.0%	82.0%	0.6%
Item	**Year 6**	**Year 7**	**Year 8**	**Year 9**	**Year 10**	**9-year CAGR**
Knight Frank's Projections [5]	82.0%	82.0%	82.0%	82.0%	82.0%	0.3%

Notes:

(1) The selected competitive set includes 4 to 5-star hotels such as Banyan Tree Kuala Lumpur, Four Seasons Hotel Kuala Lumpur, Grand Hyatt Kuala Lumpur and Mandarin Oriental Kuala Lumpur.
(2) Based on the available months in Year 2026 from January to June.
(3) 2-year CAGR from Year 2023 to Year 2025 (ADATA CompSet) and FYE2023 to FYE2025 (historical performance).
(4) The historical operating performance in FYE 2023 and FYE 2024 are prior to the acquisition by IOI Business Hotel Sdn Bhd.

Knight Frank

3.0(E) V/COR/26/0086(E) – W KUALA LUMPUR

3.3(E) MARKET VALUE

Income Approach by DCF Method

(5) The projected AOR has been revised to a stabilised rate of 82% in Year 3 as compared to a stabilised rate of 83% in Year 4 in the previous Valuation Report, after taking into consideration of the hotel's actual AOR at 81.7% in FYE 2025 and 78.8% for the 11-month FPE 31 May 2026, which is in line with the updated hotel forecast provided by the Client as well.

Summary of Parameters (Cont'd)

Projected Average Daily Rate (ADR)

Year 1 : RM1,170

The hotel undergo renovation and improvement works of the additional 9 hotel rooms on Level 13.

Year 2: RM1,210 to Year 10: RM1,470

The hotel is fully operated at its full capacity of 159 available rooms.

The historical ADR and published room rates of the selected CompSet as well as the provided forecasted operating performance of W Kuala Lumpur are as follows:

Selected CompSet extracted from A-DATA [1]

Item	Year 2022	Year 2023	Year 2024	Year 2025	Year 2026 [2]	2-year CAGR [3]
CompSet Historical Performance	RM652 – RM1,236	RM868 – RM1,065	RM1,024 – RM1,337	RM936 – RM1,330	RM907 – RM1,066	6.9%
Published room rates from A-DATA OTAs (Online Travel Agent) forward pricing	–	–	–	RM1,009 – RM1,481	RM1,020 – RM1,300	–

W Kuala Lumpur – Historical Performance

Item	FYE2023 [4]	FYE2024 [4]	FYE2025	FPE 31 October 2025	FPE 31 May 2026	2-year CAGR [3]
Historical Performance	RM926	RM993	RM1,118	RM1,125	RM1,123	16.3%

W Kuala Lumpur – Forecasted Operating Performance

Item	Year 1	Year 2	Year 3	Year 4	Year 5	4-year CAGR
Hotel Forecast	RM1,172	RM1,207	RM1,255	RM1,293	RM1,332	3.2%
Knight Frank's Projections [5]	RM1,170	RM1,210	RM1,250	RM1,290	RM1,330	3.3%
Item	Year 6	Year 7	Year 8	Year 9	Year 10	5-year CAGR
Knight Frank's Projections [5]	RM1,360	RM1,390	RM1,420	RM1,445	RM1,470	2.6%

Notes:

(1) The selected competitive set includes 4 to 5-star hotels such as Banyan Tree Kuala Lumpur, Four Seasons Hotel Kuala Lumpur, Grand Hyatt Kuala Lumpur and Mandarin Oriental Kuala Lumpur

(2) Based on the available months in Year 2026 from January to June

(3) 2-year CAGR from Year 2023 to Year 2025 (ADATA CompSet) and FYE2023 to FYE2025 (historical performance).

(4) The historical operating performance in FYE 2023 and FYE 2024 are prior to the acquisition by IOI Business Hotel Sdn Bhd.

(5) After taking into consideration of the hotel's actual ADR at RM1,118 in FYE 2025 and RM1,123 for the 11-month FPE 31 May 2026, the projected ADR has been revised to RM1,170 in Year 1 with gradual increase to RM1,470 in Year 10, as compared to RM1,200 in Year 1 and RM1,510 in Year 10 in the previous Valuation Report, which is in line with the updated hotel forecast provided by the Client.

Knight Frank

3.0(E) V/COR/26/0086(E) – W KUALA LUMPUR

Income Approach by DCF Method

Summary of Parameters (Cont'd)

Departmental Revenue

Departmental Revenue	Historical Performance (% of Operating Revenue)		Knight Frank's Projection
	FYE2023 to FPE 31 October 2025	FPE 31 May 2026	
Food and Beverage	50.2% to 56.1%	52.0%	Year 1 - Year 10: 52.0%
Other Operated Departments	1.8% to 2.1%	1.6%	Year 1 - Year 10: 1.6%
Miscellaneous Income	0.65% to 1.5%	0.7%	Year 1 - Year 10: 0.6%

We have adopted higher revenue ratios for Food and Beverage department at 52.0% (previously 50.0%), Other Operated Departments at 1.6% (previously 1.5%) and Miscellaneous Income at 0.6% (previously 0.3%) following the latest hotel performance (11-month FPE 31 May 2026) and updated hotel forecast provided by the Client. Our projection ratios (% of Operating Revenue) are aligned with the hotel and the operator's projection and further benchmarked against the industry average cost published in HTL 2023, 2024 and 2025 Report

Departmental Expenses

Departmental Revenue	Historical Performance (% of Departmental Revenue)		Knight Frank's Projection
	FYE2023 to FPE 31 October 2025	FPE 31 May 2026	
Room	18.8% to 22.1%	19.0%	Year 1 - Year 10: 20.0%
Food and Beverage	65.3% to 66.3%	65.5%	Year 1 - Year 10: 65.0%
Other Operated Departments	49.3% to 66.3%	55.2%	Year 1 - Year 10: 55.0%
Miscellaneous Income	2.7% to 6.8%	3.0%	Year 1 - Year 10: 3.5%

Similar to our previous Valuation Report, we have adopted a fixed rate over the respective departmental revenue throughout Year 1 to Year 10. In our latest projection, we have maintained the same fixed rate adopted in our previous Valuation Report for Room, Food and Beverage and Other Operated Departments; whilst a higher projected rate of 3.5% is adopted for Miscellaneous Income as compared to our previous Valuation Report of 3.0% to be in line with the updated hotel forecast provided by the Client. Our projection ratios (% of Departmental Revenue) are aligned with the HTL, historical performance of the hotel and the operator's projection. We have adopted a fixed rate over the respective departmental revenue throughout Year 1 to Year 10

Undistributed Operating Expenses

Departmental Revenue	Historical Performance (% of Operating Revenue)		Knight Frank's Projection
	FYE2023 to FPE 31 October 2025	FPE 31 May 2026	
Administrative & General	7.6% to 9.1%	7.8%	Year 1: 8.5% - Year 10: 7.5%
Information & Telecommunications System	1.3% to 2.0%	1.4%	Year 1: 1.5% - Year 10: 1.4%
Sales & Marketing	7.2% to 8.0%	8.6%	Year 1: 9.0% - Year 10: 8.4%
Property Operation & Maintenance	3.1% to 4.7%	3.3%	Year 1: 3.5% - Year 10: 3.3%
Utilities	3.2% to 5.3%	3.4%	Year 1: 4.5% - Year 10: 4.2%

After having reviewed the latest FPE 31 May 2026 performance as well as the updated hotel forecast provided to us by the Client, we have revised downwards on the Year 1 undistributed operating expense ratios for Administrative & General (from 9.0% to 8.5%), Property Operation & Maintenance (from 4.0% to 3.5%) and Utilities (from 5.5% to 4.5%). Accordingly, the ratio for Sales & Marketing has been revised upwards from 8.5% to 9.0% whilst the ratio for Information & Telecommunications System remains the same at 1.5%. Our projection ratios (% of Operating Revenue) are aligned with the HTL, historical performance of the hotel and the operator's projection. We have adopted a fixed rate over GOR in Year 1 and project it with a 2.5% growth rate per annum; which was benchmarked against the general inflation rate (1.8% to 3.3%)

Projected Base Management Fee, Incentive Fee, FF&E Reserves

% of Gross Operating Revenue or % of the Gross Operating Profit; in accordance with the HMA

Capitalisation Rate: 8.25% and 8.75%

Remains unchanged as per our previous Valuation Report

Discount Rate (PV): 8.75% and 9.25%

Remains unchanged as per our previous Valuation Report

Comparison Approach

During the review period, no recent hotel and standalone car park transaction were observed. Therefore, we have relied on the same set of hotel and standalone car park transactions used in our previous valuation.

Knight Frank

4.0(F) VICOR/26/0086(F) – COURTYARD BY MARRIOTT PENANG

4.1(F) IDENTIFICATION OF PROPERTY

Interest Valued / Type of Property	A 4-star rated 199-room hotel known as Courtyard by Marriott Penang together with other supporting facilities / amenities attached thereto, held under Strata Title No. Geran 163313/M1/B2/1; sited on Parent Lot 10015, Bandar George Town, Seksyen 13, District of Timor Laut, Pulau Pinang.
Terms of Reference	**WE HAVE BEEN SPECIFICALLY INSTRUCTED BY THE CLIENT TO ASCERTAIN THE MARKET VALUE OF THE SUBJECT PROPERTY BASED ON THE FOLLOWING BASES / ASSUMPTIONS AND LIMITATIONS STATED HERE BELOW: -** **PURSUANT TO THE DRAFT SALE AND PURCHASE AGREEMENT TO BE ENTERED BETWEEN IOI BUSINESS HOTEL SDN BHD ("VENDOR") AND MTRUSTEE BERHAD (AS TRUSTEE FOR IOIPG MALAYSIA REAL ESTATE INVESTMENT TRUST) ("PURCHASER" / "MTRUSTEE" / THE "CLIENT"):** **I. THE SUBJECT PROPERTY IS SOLD WITH LEGAL POSSESSION, SUBJECT TO THE EXISTING HOTEL MANAGEMENT AGREEMENTS ENTERED INTO BY THE VENDOR WITH THE RELEVANT PARTIES FOR THE OPERATION AND MANAGEMENT OF THE HOTEL (INCLUDING MANAGEMENT AGREEMENT, OPERATING SERVICES AGREEMENT, SYSTEM LICENSE AGREEMENT, CENTRALISED SERVICES AGREEMENT AND TECHNICAL SERVICES AGREEMENT), WHICH WILL REMAIN IN FULL FORCE AND EFFECT;** **II. THE SUBJECT PROPERTY IS SOLD IN THE WORKING AND OPERATIONAL CONDITION AS REPRESENTED TO THE PURCHASER;** **III. A HOTEL MASTER LEASE WILL BE ENTERED, WHEREBY IOI BUSINESS HOTEL SDN BHD SHALL BE THE LESSEE AND MTRUSTEE SHALL BE THE LESSOR, SUBJECT TO TERMS AND CONDITIONS STATED IN THE SAID HOTEL MASTER LEASE AGREEMENT.** **THE VALUATION IS THEREFORE UNDERTAKEN AS RENTAL INCOME GENERATING PROPERTY SUBJECT TO THE TERMS AND CONDITIONS IN THE HOTEL MASTER LEASE AGREEMENT.** **"IF ANY PARTY WISHES TO RELY ON THE VALUATION BASED ON THE ASSUMPTION(S) AS STATED ABOVE, THEN APPROPRIATE PROFESSIONAL ADVICE SHOULD BE SOUGHT SINCE THE VALUE(S) REPORTED ARE BASED ON ASSUMPTION(S) THAT ARE NOT YET OR FULLY REALISED"**

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4.0(F) VICOR/26/0086(F) – COURTYARD BY MARRIOTT PENANG

4.2(F) PROPERTY DESCRIPTION

Locality

Strategically located along Jalan Macalister within George Town, Pulau Pinang and is located approximately 1 kilometre due north-east of KOMTAR.

Legal Aspect

The official search conducted on 25 June 2026 have revealed that the strata title particulars and legal status of Courtyard by Marriot Penang remain unchanged as per our previous Valuation Report.

Physical Aspect

The physical state (including gross floor area + number and type of hotel rooms + facilities) remains unchanged as per our previous Valuation Report.

We note that the renovation, improvement and refurbishment works carried out to the back of house area located on Level 1 and swimming pool deck and gymnasium areas located on Level 11 were completed with Certificate of Completion and Compliance (CCC) issued dated 12 February 2026.

Occupancy Status

The historical average occupancy rates and average daily rates is scheduled below:

FYE / FPE	AOR	ADR
FYE 30 June 2023 Note	79.9%	RM428
FYE 30 June 2024 Note	86.2%	RM450
FYE 30 June 2025	81.4%	RM453
FPE 31 October 2025	80.7%	RM440
FPE 31 May 2026	76.5%	RM431

Note: The AOR and ADR for FYE 2023 and FYE 2024 are prior to the acquisition by IOI Business Hotel Sdn Bhd.

Hotel Management Agreement / Framework Agreement

The terms for the Hotel Management Agreements / Framework Agreement remain unchanged as per our previous Valuation Report.

Hotel Master Lease Agreement

The proposed terms for the proposed Hotel Master Lease Agreement remain unchanged as per our previous Valuation Report.

4.3(F) MARKET VALUE

Valuation Methodology

Similar to our previous valuation, in arriving at our opinion of the Market Value of the Subject Property, we have adopted the **Income Approach by DCF Method** as the primary approach and supported by the **Comparison Approach.**

Reconciliation of Values

Method of Valuation	Derivation of Values
Income Approach by DCF Method (with Master Lease structure)	RM166,000,000
Comparison Approach	RM177,000,000

Market Value

RM166,000,000.

Knight Frank

4.0(F) V/COR/26/0056(F) – COURTYARD BY MARRIOTT PENANG

4.3(F) MARKET VALUE

Income Approach by DCF Method

We have reassessed the Market Value of Courtyard by Marriott Penang with updated details and have adopted the same parameters in the Income Approach as per our previous Valuation Report; save and except for the projected AOR, ADR, departmental revenue, departmental expenses and undistributed operating expenses as delineated below and overleaf.

Summary of Parameters

Projected Occupancy

Year 1: 81.0% to Year 10: 83.00%

We have projected a gradual increase in AOR from 81.0% in Year 1 to 83.0% in Year 4 based on the existing available hotel rooms of 190 rooms.

The historical Average Occupancy Rate (AOR) of the selected CompSet as well as the provided forecasted operating performance of Courtyard by Marriott Penang are as follows:

Selected CompSet extracted from A-DATA (1)

Item	Year 2022	Year 2023	Year 2024	Year 2025	Year 2026 (2)	2-year CAGR (3)
CompSet Historical Performance	41.8% – 76.0%	49.3% – 78.3%	53.7% – 76.3%	46.2% – 74.2%	32.1% - 82.3%	1.9%

Courtyard by Marriott Penang – Historical Performance

Item	FYE2023 (4)	FYE2024 (4)	FYE2025	FPE 31 October 2025	FPE 31 May 2026	2-year CAGR (3)
Historical Performance	79.9%	86.2%	81.4%	80.7%	78.5%	0.9%

Courtyard by Marriott Penang – Forecasted Operating Performance

Item	Year 1	Year 2	Year 3	Year 4	Year 5	4-year CAGR
Hotel Forecast	81.0%	82.0%	82.5%	83.0%	83.0%	0.6%
Knight Frank's Projections (5)	81.0%	82.0%	82.5%	83.0%	83.0%	0.6%
Item	**Year 6**	**Year 7**	**Year 8**	**Year 9**	**Year 10**	**9-year CAGR**
Knight Frank's Projections (5)	83.0%	83.0%	83.0%	83.0%	83.0%	0.3%

Notes:

(1) The selected competitive set includes 4 to 5-star hotels such as JEN Penang Georgetown by Shangri-La, Lexis Suites Penang, PARKROYAL Penang Resort and The Prestige Hotel Penang.
(2) Based on the available months in Year 2026 from January to June.
(3) 2-year CAGR from Year 2023 to Year 2025 (ADATA CompSet) and FYE2023 to FYE2025 (historical performance).
(4) The historical operating performance in FYE 2023 and FYE 2024 are prior to the acquisition by IOI Business Hotel Sdn Bhd.
(5) After taking into consideration of the hotel's actual AOR at 81.4% in FYE 2025 and 78.5% for the 11-month FPE 31 May 2026, the projected AOR has been revised downwards to 81% in Year 1 with a gradual increase to a stabilised rate of 83% in Year 4 as compared to our previous Valuation Report (63% in Year 1 with a gradual increase to a stabilised rate of 85% in Year 3). The latest projected AOR is also in line with the updated hotel forecast provided by the Client.

Knight Frank

4.0(F) V/COR/26/0056(F) – COURTYARD BY MARRIOTT PENANG

4.3(F) MARKET VALUE

Income Approach by DCF Method

Summary of Parameters (Cont'd)

Projected Average Daily Rate (ADR)

Year 1 : RM460 to Year 10: RM660

We have projected a gradual increase in ADR from RM460 in Year 1 to RM660 in Year 10 based on the existing available hotel rooms of 199 rooms.

The historical ADR and published room rates of the selected CompSet as well as the provided forecasted operating performance of Courtyard by Marriott Penang are as follows:

Selected CompSet extracted from A-DATA [1]

Item	Year 2022	Year 2023	Year 2024	Year 2025	Year 2026 [2]	2-year CAGR [3]
CompSet Historical Performance	RM376 – RM537	RM425 – RM553	RM416 – RM526	RM358 – RM701	RM404 – RM598	2.1%
Published room rates from A-DATA OTAs (Online Travel Agent) forward pricing	–	–	–	RM439 – RM643	RM442 – RM602	–

Courtyard by Marriott Penang – Historical Performance

Item	FYE2023 [4]	FYE2024 [4]	FYE2025	FPE 31 October 2025	FPE 31 May 2026	2-year CAGR [3]
Historical Performance	RM428	RM459	RM453	RM440	RM431	2.9%

Courtyard by Marriott Penang – Forecasted Operating Performance

Item	Year 1	Year 2	Year 3	Year 4	Year 5	4-year CAGR
Hotel Forecast	RM474	RM507	RM532	RM548	RM564	4.5%
Knight Frank's Projections [5]	RM460	RM490	RM520	RM540	RM560	5.0%
Item	**Year 6**	**Year 7**	**Year 8**	**Year 9**	**Year 10**	**5-year CAGR**
Knight Frank's Projections [5]	RM580	RM600	RM620	RM640	RM660	4.1%

Notes:

(1) The selected competitive set includes 4 to 5-star hotels such as JEN Penang Georgetown by Shangri-La, Lexis Suites Penang, PARKROYAL Penang Resort and The Prestige Hotel Penang.
(2) Based on the available months in Year 2026 from January to June.
(3) 2-year CAGR from Year 2023 to Year 2025 (ADATA CompSet) and FYE2023 to FYE2025 (historical performance)
(4) The historical operating performance in FYE 2023 and FYE 2024 are prior to the acquisition by IOI Business Hotel Sdn Bhd.
(5) In the updated hotel forecast provided to us by the Client, although the updated Year 1 ADR of RM474 is marginally higher than the previous forecast of RM467, the subsequent ADR growth trajectory is more conservative, resulting in a lower projected ADR of RM564 by Year 5 compared with RM587 previously. This represents a 4-year CAGR of approximately 4.5%, compared with approximately 5.8% under the previous forecast. Accordingly, we have remained our projected ADR in Year 1 at RM460 and increase to RM660 in Year 10, as compared to RM670 in Year 10 in the previous Valuation Report.

Since the previous Valuation Report, the competitive environment within the Penang hotel market has intensified following the opening, reopening and fuller market positioning of several branded and lifestyle-oriented hotels (i.e. Capri by Fraser Penang, 1926 Heritage Hotel Penang, Soori Penang, Iconic Marjorie Hotel Penang, The Millen Penang, M Social Resort Penang and Fifth Avenue Hotel). The softer operating performance was mainly attributable to the prevailing competitive environment, resulting in greater pricing pressure. Although the degree of direct competition differs among the respective hotels due to their location and market positioning, the overall increase in available and newly repositioned accommodation has resulted in a wider distribution of room supply across the market and greater competition for occupancy and room rates.

We also noted that the updated hotel projections provided by the Lessee have been revised downward to reflect the latest operating performance and prevailing market conditions. Having considered the foregoing, we adopted lower occupancy assumptions and moderated the 10-year ADR growth rate from 4.3% to 4.1%, resulting in lower projected cash flows in this assessment.

Knight Frank

4.0(F) V/COR/26/0086(F) – COURTYARD BY MARRIOTT PENANG

4.3(F) MARKET VALUE

Income Approach by DCF Method

Summary of Parameters (Cont'd)

Departmental Revenue

Departmental Revenue	Historical Performance (% of Operating Revenue)		Knight Frank's Projection
	FYE2023 to FPE 31 October 2025	FPE 31 May 2026	
Food and Beverage	14.1% to 16.5%	14.8%	Year 1 - Year 10: 16.0%
Other Operated Departments	0.4% to 1.0%	0.2%	Year 1 - Year 10: 0.001%
Miscellaneous Income	0.1% to 0.8%	0.9%	Year 1 - Year 10: 1.8%

Similar to our previous Valuation Report, we have adopted the same revenue ratio for Food and Beverage department, whilst a lower projected revenue ratio of 0.001% is projected for Other Operated Departments and a higher ratio of 1.8% is projected for Miscellaneous Income as compared to our previous Valuation Report of 0.7% and 0.3% respectively, which is in line with the updated hotel forecast provided by the Client. This is due to the additional car park income recorded under Miscellaneous Income since March 2026 as well as the reclassification of laundry revenue from Other Operated Departments to Miscellaneous Income since January 2026, resulting in higher ratio for Miscellaneous Income and much lower ratio for Other Operated Departments. Our projection ratios (% of Operating Revenue) are aligned with the hotel and the operator's projection and further benchmarked against the industry average cost published in HTL 2023, 2024 and 2025 Report.

Departmental Expenses

Departmental Revenue	Historical Performance (% of Departmental Revenue)		Knight Frank's Projection
	FYE2023 to FPE 31 October 2025	FPE 31 May 2026	
Room	18.3% to 20.7%	19.8%	Year 1 - Year 10: 19.0%
Food and Beverage	82.2% to 97.8%	81.5%	Year 1 - Year 10: 80.0%
Other Operated Departments	4.0% to 107.6%	0.0%	Year 1 - Year 10: 0.0%
Miscellaneous Income	0.0% to 0.0%	0.0%	Year 1 - Year 10: 10.0%

Similar to our previous Valuation Report, we have adopted a fixed rate over the respective departmental revenue throughout Year 1 to Year 10. In our latest projection, we have reduced the fixed rate for the Room expenses from 20.0% to 19.0% and Other Operated Departments expenses from 80.0% to 0.0%; whilst an additional expense has been allocated for Miscellaneous Income at 10.0% after having reviewed the latest FPE 31 May 2026 performance and the updated hotel forecast provided by the Client. Our projection ratios (% of Departmental Revenue) are aligned with the HTL, historical performance of the hotel and the operator's projection. We have adopted a fixed rate over the respective departmental revenue throughout Year 1 to Year 10.

Undistributed Operating Expenses

Departmental Revenue	Historical Performance (% of Operating Revenue)		Knight Frank's Projection
	FYE2023 to FPE 31 October 2025	FPE 31 May 2026	
Administrative & General	11.4% to 13.8%	12.8%	Year 1: 13.0% Year 10: 10.2%
Information & Telecommunications System	2.2% to 3.1%	3.2%	Year 1: 3.5% - Year 10: 3.0%
Sales & Marketing	8.1% to 8.5%	9.4%	Year 1: 7.3% - Year 10: 5.9%
Property Operation & Maintenance	4.3% to 5.4%	5.4%	Year 1: 5.0% - Year 10: 4.2%
Utilities	6.1% to 9.0%	7.1%	Year 1: 9.0% - Year 10: 7.6%

Our projection ratios (% of Operating Revenue) are aligned with the HTL, historical performance of the hotel and the operator's projection. We have adopted a fixed rate over GOR in Year 1 and project it with a 2.5% growth rate per annum, which was benchmarked against the general inflation rate (1.5% to 3.3%). In our latest projection, we have revised upwards on the Year 1 undistributed operating expense ratios for Administrative & General (from 11.5% to 12.0%), Information & Telecommunications System (from 2.5% to 3.5%), Property Operation & Maintenance (from 4.5% to 5.0%) and Utilities (from 8.5% to 9.0%), after having reviewed the latest FPE 31 May 2026 performance. Conversely, the ratio for Sales & Marketing has been revised downwards from 8.5% to 7.0% in view of a ratio of 8.7% is projected under the updated hotel forecast provided to us by the Client.

Projected Base Management Fee, Incentive Fee, FF&E Reserves

% of Gross Operating Revenue or % of the Gross Operating Profit; in accordance with the HMA.

Capitalisation Rate: 6.00%

Remains unchanged as per our previous Valuation Report

Discount Rate (PV): 9.00%

Remains unchanged as per our previous Valuation Report.

Comparison Approach

During the review period, no recent hotel transaction were observed. Therefore, we have relied on the same set of hotel transactions used in our previous valuation.

Knight Frank

5.0 V/COR/26/0086(G) & (I) – FOUR POINTS BY SHERATON PUCHONG + PFCC TOWER 1, 2, 4 & 5, PUCHONG

Locality	Puchong Financial Corporate Centre (PFCC) is strategically located within Bandar Puteri Puchong, sited off the western (right) side of Damansara – Puchong Expressway (LDP), travelling from Puchong towards Bandar Sunway. Geographically, the Kuala Lumpur city centre is located approximately 18 kilometres due north-east of the PFCC.
Legal Aspect	The official search conducted on 25 June 2026 have revealed that the master title particulars and legal status of PFCC remain unchanged as per our previous Valuation Report.

5.0(G) V/COR/26/0086(G) – FOUR POINTS BY SHERATON PUCHONG

5.1(G) IDENTIFICATION OF PROPERTY

Interest Valued / Type of Property	A 4-star rated 249-room hotel known as Four Points by Sheraton Puchong together with other supporting facilities / amenities attached thereto, all forming part of an integrated commercial development known as Puchong Financial Corporate Centre (PFCC) sited on Parent Lot 112580 held under Title No. Geran 328167, Mukim and District of Petaling, Selangor Darul Ehsan.
Terms of Reference	**WE HAVE BEEN SPECIFICALLY INSTRUCTED BY THE CLIENT TO ASCERTAIN THE MARKET VALUE(S) OF THE SUBJECT PROPERTY BASED ON THE FOLLOWING BASES / ASSUMPTIONS AND LIMITATIONS STATED HERE BELOW: -** **PURSUANT TO THE DRAFT SALE AND PURCHASE AGREEMENT TO BE ENTERED BETWEEN IOI BUSINESS HOTEL SDN BHD ("VENDOR") AND MTRUSTEE BERHAD (AS TRUSTEE FOR IOIPG MALAYSIA REAL ESTATE INVESTMENT TRUST) ("PURCHASER" / "MTRUSTEE" / THE "CLIENT"):** **I. THE SUBJECT PROPERTY IS SOLD WITH LEGAL POSSESSION, SUBJECT TO THE EXISTING HOTEL MANAGEMENT AGREEMENTS ENTERED INTO BY THE VENDOR WITH THE RELEVANT PARTIES FOR THE OPERATION AND MANAGEMENT OF THE HOTEL (INCLUDING MANAGEMENT AGREEMENT, OPERATING SERVICES AGREEMENT, SYSTEM LICENSE AGREEMENT, CENTRALISED SERVICES AGREEMENT AND TECHNICAL SERVICES AGREEMENT), WHICH WILL REMAIN IN FULL FORCE AND EFFECT;** **II. THE SUBJECT PROPERTY IS SOLD IN THE WORKING AND OPERATIONAL CONDITION AS REPRESENTED TO THE PURCHASER;** **III. A HOTEL MASTER LEASE WILL BE ENTERED, WHEREBY IOI BUSINESS HOTEL SDN BHD SHALL BE THE LESSEE AND MTRUSTEE SHALL BE THE LESSOR, SUBJECT TO TERMS AND CONDITIONS STATED IN THE SAID HOTEL MASTER LEASE AGREEMENT.** **THE VALUATION IS THEREFORE UNDERTAKEN AS RENTAL INCOME GENERATING PROPERTY SUBJECT TO THE TERMS AND CONDITIONS IN THE HOTEL MASTER LEASE AGREEMENT.**

Knight Frank

5.0(G) V/COR/26/0086(G) – FOUR POINTS BY SHERATON PUCHONG

5.1(G) IDENTIFICATION OF PROPERTY

Terms of Reference

PURSUANT TO THE UNDERTAKING LETTERS DATED 8 APRIL 2026 AND 16 JULY 2026 ENTERED BETWEEN IOI PROPERTIES GROUP BERHAD (BEING THE HOLDING COMPANY OF IOI BUSINESS HOTEL SDN BHD ("VENDOR")) AND MTRUSTEE BERHAD (AS TRUSTEE FOR IOIPG MALAYSIA REAL ESTATE INVESTMENT TRUST) ("PURCHASER" / "MTRUSTEE" / THE "CLIENT"):

IV. RENOVATION / REFURBISHMENT WORKS (VENDOR-FUNDED)

(I) PURSUANT TO THE PROPOSED BUILDING PLANS (REF: SA1968/BP/FPHS/SP/1/JBPM DATED 15 OCTOBER 2024), THE APPLICATION FOR CONVERSION OF USE TO THE EXISTING EVENT SPACE "THE HERON" (LEVEL 2) HAS BEEN SUBMITTED TO THE RELEVANT AUTHORITIES FOR APPROVAL; AND

(ii) PURSUANT TO THE CONTINENT DESIGN REVIEW AND APPROVED BUILDING PLANS BEARING REFERENCE NO. MBSJ.BGN.BP5.600-1/12/5/155(13) DATED 16 FEBRUARY 2026, RENOVATION, IMPROVEMENT AND REFURBISHMENT WORKS ARE TO BE CARRIED OUT TO PART OF THE GROUND FLOOR HOTEL LOBBY AREA AND ALL OF THE HOTEL ROOMS.

THE WORKS ARE FULLY FUNDED AND TO BE COMPLETED IN GOOD WORKMANSHIP AND IN ACCORDANCE WITH THE CONTINENT DESIGN REVIEW AND PROPOSED BUILDING PLANS BY THE VENDOR AT ITS OWN COST (TARGET COMPLETION BY JANUARY 2027) WITH ALL RELEVANT FEES (IF ANY) PAID AND A CERTIFICATE OF COMPLETION AND COMPLIANCE (CCC) ISSUED THEREAFTER AND NO DEDUCTION HAS BEEN MADE FOR THESE COSTS IN OUR VALUATION MODEL.

OUR VALUATION IS ON THE BASIS THAT THE APPROVAL IS GRANTED BY THE RELEVANT AUTHORITIES FOR THE CONVERSION OF USE AND THAT THE RENOVATION, IMPROVEMENT AND REFURBISHMENT WORKS COMPLY WITH THE REQUIREMENTS OF MINISTRY OF TOURISM, ARTS AND CULTURE (MOTAC) AND ALL APPLICABLE 4-STAR HOTEL CLASSIFICATION STANDARDS, AND ARE IN ACCORDANCE WITH THE DESIGN CONCEPT REQUIRED BY FOUR POINTS BY SHERATON.

"IF ANY PARTY WISHES TO RELY ON THE VALUATION BASED ON THE ASSUMPTION(S) AS STATED ABOVE, THEN APPROPRIATE PROFESSIONAL ADVICE SHOULD BE SOUGHT SINCE THE VALUE(S) REPORTED ARE BASED ON ASSUMPTION(S) THAT ARE NOT YET OR FULLY REALISED"

5.2(G) PROPERTY DESCRIPTION

Physical Aspect

The physical state (including gross floor area + number and type of hotel rooms + facilities) remains unchanged as per our previous Valuation Report.

We were made to understand that the application for the conversion of use to the existing event space "The Heron" on Level 2 remains status quo.

As at the date of re-inspection, we note that the renovation, improvement and refurbishment works are of the following status:

- the Approved Building Plans bearing reference no. MBSJ.BGN.BP5.600-1/12/5/155(13) dated 16 February 2026 in relation to the works carried out to the back of house area located on Ground Floor is issued and the said works had been completed. We were further informed that the Certificate of Completion and Compliance for the said renovation is currently in progress and is expected to be issued in Q3 2026.

Knight Frank

5.0(G) V/COR/26/0086(G) – FOUR POINTS BY SHERATON PUCHONG

5.2(G) PROPERTY DESCRIPTION

Physical Aspect (Cont'd)

- the works carried out to part of the Ground Floor hotel lobby area and the hotel rooms located on Levels 12, 13 and 14 had been completed; whilst the remaining works to the hotel rooms located on Levels 3 to 11 are ongoing.

Occupancy Status

The historical average occupancy rates and average daily rates is scheduled below:

FYE / FPE	AOR	ADR
FYE 30 June 2023	67.0%	RM304
FYE 30 June 2024	69.8%	RM328
FYE 30 June 2025	73.1%	RM336
FPE 31 October 2025	69.8%	RM353
FPE 31 May 2026	69.1%	RM336

Hotel Management Agreement / Framework Agreement

The terms for the Hotel Management Agreements / Framework Agreement remain unchanged as per our previous Valuation Report.

Hotel Master Lease Agreement

The proposed terms for the proposed Hotel Master Lease Agreement remain unchanged as per our previous Valuation Report.

5.3(G) MARKET VALUE

Valuation Methodology

Similar to our previous valuation, in arriving at our opinion of the Market Value of the Subject Property, we have adopted the **Income Approach by DCF Method** as the primary approach and supported by the **Comparison Approach.**

Reconciliation of Values

Method of Valuation	Derivation of Values
Income Approach by DCF Method (with Master Lease structure)	RM128,000,000
Comparison Approach	RM140,000,000

Market Value

RM128,000,000.

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5.0(G) V/COR/26/0086(G) – FOUR POINTS BY SHERATON PUCHONG

5.3(G) MARKET VALUE

Income Approach by DCF Method

We have reassessed the Market Value of Four Points by Sheraton Puchong with updated details and have adopted the same parameters in the Income Approach as per our previous Valuation Report; save and except for the projected AOR, ADR, departmental revenue, departmental expenses and undistributed operating expenses as delineated below and overleaf.

Summary of Parameters

Projected Occupancy

Year 1: 59.4%

We were made to understand by the Client that the refurbishment works for the hotel rooms is ongoing with the same target completion by January 2027, with an estimation of approximately 24 hotel rooms undergo refurbishment each month.

Hence, we have projected the following:-

- a lower AOR at 60.0% over the remaining 225 available rooms (24 rooms undergo refurbishment works in a month) in the first 8 months of Year 1 (June 2026 to January 2027).
- a higher AOR at 70.0% over the full inventory of 249 rooms in the remaining 4 months of Year 1 (February to May 2027).
- the total numbers of room sold / occupied in Year 1 (53,991) is then analysed over the actual total number of rooms nights available (90,885), deriving at a an average AOR of 59.4%.

Year 2: 70.0% to Year 10: 75.0%

The aforesaid works are completed and the hotel is fully operated at its full inventory of 249 available rooms.

The renovation, improvement and refurbishment works will be carried out and undertaken by IOI Business Hotel Sdn. Bhd. (Vendor) at its own cost, hence we have not included capital expenditure (CAPEX) in our projection.

The historical AOR of the selected CompSet as well as the provided forecasted operating performance of Four Points by Sheraton Puchong are as follows:

Selected CompSet extracted from A-DATA [1]

Item	Year 2022	Year 2023	Year 2024	Year 2025	Year 2026 [2]	2-year CAGR [3]
CompSet Historical Performance	26.2% – 73.9%	47.1% – 77.3%	57.4% – 78.7%	48.7% – 76.5%	52.9% – 70.9%	2.6%

Four Points by Sheraton Puchong – Historical Performance

Item	FYE2023	FYE2024	FYE2025	FPE 31 October 2025	FPE 31 May 2026	2-year CAGR [3]
Historical Performance	67.0%	69.8%	73.1%	69.8%	69.1%	4.4%

Four Points by Sheraton Puchong – Forecasted Operating Performance

Item	Year 1	Year 2	Year 3	Year 4	Year 5	4-year CAGR
Hotel Forecast	64.9%	70.7%	72.5%	73.9%	74.8%	3.6%
Knight Frank's Projections [4]	59.4%	70.0%	72.0%	73.0%	74.0%	5.6%
Item	**Year 6**	**Year 7**	**Year 8**	**Year 9**	**Year 10**	**9-year CAGR**
Knight Frank's Projections [4]	75.0%	75.0%	75.0%	75.0%	75.0%	2.6%

Notes:

(1) The selected competitive set includes 4 to 5-star hotels such as Sunway Lagoon Hotel, Le Meridien Petaling Jaya Hotel, M Resort & Hotel Kuala Lumpur and One World Hotel.
(2) Based on the available months in Year 2026 from January to June.
(3) 2-year CAGR from Year 2023 to Year 2025 (ADATA CompSet) and FYE2023 to FYE2025 (historical performance).
(4) The projected AOR in Year 1 has been revised upwards from 55.9% to 59.4% due to the schedule completion of refurbishment works of the hotel room. Subsequently, the AOR of 70% has been projected in Year 2 after the completion of the refurbishment works with a slight moderation in increment toward 74% in Year 5; whereas the projected AOR from Year 5 to Year 10 has been maintained at a stabilised rate of 75% after reviewing the latest operating performance and the revised occupancy projections provided by the Client, which aligns with our previous Valuation Report.

Knight Frank

5.0(G) V/COR/26/0086(G) – FOUR POINTS BY SHERATON PUCHONG

5.3(G) MARKET VALUE

Income Approach by DCF Method

Summary of Parameters (Cont'd)

Projected Average Daily Rate (ADR)

Year 1 : RM355 to Year 2: RM390

The ADR in Year 2 is projected with a higher increase by RM35 from Year 1 after the renovation, improvement and refurbishment works are fully completed.

Year 3: RM410 to Year 10: RM510

The ADR in Year 3 is then projected with a gradual growth by RM20 (from Year 3 to Year 6) and RM10 (from Year 7 onwards).

The historical ADR and published room rates of the selected CompSet as well as the provided forecasted operating performance of Four Points by Sheraton Puchong are as follows:

Selected CompSet extracted from A-DATA [1]

Item	Year 2022	Year 2023	Year 2024	Year 2025	Year 2026 [2]	2-year CAGR [3]
CompSet Historical Performance	RM255 – RM366	RM351 – RM390	RM381 – RM387	RM364 – RM399	RM346 – RM397	1.8%
Published room rates from A-DATA OTAs (Online Travel Agent) forward pricing	–	–	–	RM403 – RM472	RM379 – RM477	–

Four Points by Sheraton Puchong – Historical Performance

Item	FYE2023	FYE2024	FYE2025	FPE 31 October 2025	FPE 31 May 2026	2-year CAGR [3]
Historical Performance	RM304	RM328	RM336	RM353	RM336	5.2%

Four Points by Sheraton Puchong – Forecasted Operating Performance

Item	Year 1	Year 2	Year 3	Year 4	Year 5	4-year CAGR
Hotel Forecast	RM367	RM393	RM421	RM442	RM459	5.7%
Knight Frank's Projections [4]	RM355	RM390	RM410	RM430	RM450	6.1%
Item	**Year 6**	**Year 7**	**Year 8**	**Year 9**	**Year 10**	**9-year CAGR**
Knight Frank's Projections [4]	RM470	RM480	RM490	RM500	RM510	4.1%

Notes:

(1) The selected competitive set includes 4 to 5-star hotels such as Sunway Lagoon Hotel, Le Meridien Petaling Jaya Hotel, M Resort & Hotel Kuala Lumpur and One World Hotel.
(2) Based on the available months in Year 2026 from January to June.
(3) 2-year CAGR from Year 2025 to Year 2025 (ADATA CompSet) and FYE2023 to FYE2025 (historical performance).
(4) The projected ADR for has been maintained after reviewing the latest operating performance and the revised occupancy projections provided by the Client, which aligns with our previous Valuation Report.

Departmental Revenue

Departmental Revenue	Historical Performance (% of Operating Revenue)		Knight Frank's Projection
	FYE2023 to FPE 31 October 2025	FPE 31 May 2026	
Food and Beverage	22.0% to 29.7%	26.7%	Year 1 28.5%; Year 2 – Year 10: 26.0%
Other Operated Departments	0.003% to 0.01%	0.005%	Year 1 – Year 10: 0.005%
Miscellaneous Income	1.0% to 1.6%	1.0%	Year 1 – Year 10: 1.0%

Knight Frank

5.0(G) VICOR/26/0086(G) - FOUR POINTS BY SHERATON PUCHONG

5.3(G) MARKET VALUE

Income Approach by DCF Method

Summary of Parameters (Cont'd)

Departmental Revenue (Cont'd)

We noted that the revenue for Food and Beverage department has been impacted during the 11-month period under FPE 31 May 2026 which recorded lower at 26.7% (with an absolute sum of RM6.9 million) due to the refurbishment works being carried out for the ground floor hotel lobby area.

We have thus revised the revenue ratio for Food and Beverage department in Year 1 (approximately RM7.7 million / 28.5% of GOR) following the completion of the said refurbishment works. Subsequently the revenue is revised approximately RM8.9 million / 26% of GOR from Year 2 onwards following the completion of the refurbishment works for all hotel rooms. The projection is in line with the hotel forecast provided to us by the Client.

The revenue ratios for Other Operated Departments at 0.005% (previously 0.01%) and Miscellaneous Income maintained at 1.0% due to the latest hotel performance (11-month FPE 31 May 2026) and updated hotel forecast provided by the Client.

Our projection ratios (% of Operating Revenue) are aligned with the hotel and the operator's projection and further benchmarked against the industry average cost published in HTL 2023, 2024 and 2025 Report.

Departmental Expenses

Departmental Revenue	Historical Performance (% of Departmental Revenue)		Knight Frank's Projection
	FYE2023 to FPE 31 October 2025	FPE 31 May 2026	
Room	21.1% to 21.5%	22.4%	Year 1 - Year 10: 22.0%
Food and Beverage	74.7% to 87.5%	80.5%	Year 1 - Year 10: 75.0%
Other Operated Departments	0.0% to -20,188.7%	-4,395.6%	Year 1 - Year 10: 0.0%
Miscellaneous Income	12.6% to 16.1%	12.0%	Year 1 - Year 10: 14.5%

Similar to our previous Valuation Report, we have adopted a fixed rate over the respective departmental revenue throughout Year 1 to Year 10. In our latest projection, we have increased the fixed rate for the Room expenses from 20.5% to 22.0% and reduced the for Other Operated Departments expenses from 15.0% to 14.5%, whilst the expense for Food and Beverage has been maintained at 75.0% after having reviewed the latest FPE 31 May 2026 performance and the updated hotel forecast provided by the Client. Our projection ratios (% of Departmental Revenue) are aligned with the HTL, historical performance of the hotel and the operator's projection. We have adopted a fixed rate over the respective departmental revenue throughout Year 1 to Year 10.

Undistributed Operating Expenses

Departmental Revenue	Historical Performance (% of Operating Revenue)		Knight Frank's Projection
	FYE2023 to FPE 31 October 2025	FPE 31 May 2026	
Administrative & General	11.0% to 12.3%	11.3%	Year 1: 12.5% - Year 10: 8.0%
Information & Telecommunications System	2.1% to 2.9%	2.9%	Year 1: 3.5% - Year 10: 2.5%
Sales & Marketing	7.2% to 7.9%	7.7%	Year 1: 9.5% - Year 10: 6.8%
Property Operation & Maintenance	3.5% to 5.0%	3.6%	Year 1: 4.0% - Year 10: 2.8%
Utilities	8.2% to 10.4%	8.4%	Year 1: 11.0% - Year 10: 7.8%

Our projection ratios (% of Operating Revenue) are aligned with the HTL, historical performance of the hotel and the operator's projection. We have adopted a fixed rate over GOR in Year 1 and project it with a 2.5% growth rate per annum; which was benchmarked against the general inflation rate (1.5% to 3.3%). In our latest projection, we have revised downwards on the Year 1 undistributed operating expense ratios for Administrative & General (from 15.5% to 12.5%), Information & Telecommunications System (from 3.5% to 3.0%), Sales & Marketing (from 10.0% to 9.5%), Property Operation & Maintenance (from 5.0% to 4.0%) and Utilities (from 11.5% to 11.0%), which is in line with the latest FPE 31 May 2026 performance (at an absolute sum of approximately RM11mil for the total undistributed operating expenses) as well as the updated hotel forecast provided by the Client.

Projected Base Management Fee, Incentive Fee, FF&E Reserves

% of Gross Operating Revenue or % of the Gross Operating Profit, in accordance with the HMA.

Capitalisation Rate: 6.75%

Remains unchanged as per our previous Valuation Report

Discount Rate (PV): 9.75%

Remains unchanged as per our previous Valuation Report

Comparison Approach

During the review period, no recent hotel transaction were observed. Therefore, we have relied on the same set of hotel transactions used in our previous valuation.

Knight Frank

5.0(I) V/COR/26/0086(I) – PFCC TOWER 1, 2, 4 & 5

5.1(I) IDENTIFICATION OF PROPERTY

Interest Valued / Type of Property

Development Component	Type of Property
PFCC Tower 1 & 2	Two (2) blocks of twelve (12)-storey office tower and twenty (20)-storey office tower including a two (2)-storey commercial podium.
PFCC Tower 4 & 5	Two (2) blocks of eighteen (18)-storey office tower and twenty-one (21)-storey office tower, which both include a three (3)-storey commercial podium, along with three (3) basement car park levels and a mezzanine floor designated for motorcycle parking areas.

all forming part of an integrated commercial development known as Puchong Financial Corporate Centre (PFCC) sited on Parent Lot 112580 held under Master Title No. Geran 328167, Mukim and District of Petaling, Selangor Darul Ehsan.

Terms of Reference

WE HAVE BEEN SPECIFICALLY INSTRUCTED BY THE CLIENT TO ASCERTAIN THE MARKET VALUE OF THE SUBJECT PROPERTY BASED ON THE FOLLOWING BASES / ASSUMPTIONS AND LIMITATIONS STATED HERE BELOW: -

I. PURSUANT TO THE DRAFT SALE AND PURCHASE AGREEMENT TO BE ENTERED BETWEEN FLORA DEVELOPMENT SDN BHD ("VENDOR") AND MTRUSTEE BERHAD (AS TRUSTEE FOR IOIPG MALAYSIA REAL ESTATE INVESTMENT TRUST) ("PURCHASER" / "MTRUSTEE" / THE "CLIENT"), THE SUBJECT PROPERTY IS SOLD WITH LEGAL POSSESSION, SUBJECT TO THE EXISTING TENANCIES.

II. PURSUANT TO THE UNDERTAKING LETTERS DATED 8 APRIL 2026 AND 16 JULY 2026 ENTERED BETWEEN IOI PROPERTIES GROUP BERHAD (BEING THE HOLDING COMPANY OF FLORA DEVELOPMENT SDN BHD ("VENDOR")), IOIPG REIT MANAGEMENT SDN BHD (AS MANAGEMENT COMPANY FOR IOIPG MALAYSIA REAL ESTATE INVESTMENT TRUST) AND MTRUSTEE BERHAD (AS TRUSTEE FOR IOIPG MALAYSIA REAL ESTATE INVESTMENT TRUST), ALL NECESSARY APPROVALS FOR: -

(a) CONVERSION OF USE TO ENLARGED RETAIL AREAS ON GROUND LEVEL OF PFCC TOWER 1, 2, 4 AND 5;

(b) CONVERSION OF USE TO ENLARGED RETAIL AREAS ON LEVEL 1 OF PFCC TOWER 4 AND 5;

(c) CONVERSION TO OFFICE AREAS ON LEVEL 2 OF PFCC TOWER 2;

(d) RECONFIGURATION AND/OR CONVERSION OF CAR PARKING AREA(S) INTO ADDITIONAL SUPPORTING FACILITIES; AND

(e) CONVERSION OF USE TO REDUCED RETAIL AREA ON GROUND LEVEL OF PFCC TOWER 2;

RESULTING TO A TOTAL NET LETTABLE AREA OF ABOUT 78,997 SQUARE METRES (850,321 SQUARE FEET), INCLUDING THE APPROVAL OF THE REVISED BUILDING PLANS / AS-BUILT DRAWINGS WILL BE OBTAINED FROM THE RELEVANT AUTHORITIES AT VENDOR'S COSTS AND EXPENSES; WITH ALL RELEVANT FEES (IF ANY) FULLY PAID AND THEREAFTER ISSUED WITH A CERTIFICATE OF COMPLETION AND COMPLIANCE.

"IF ANY PARTY WISHES TO RELY ON THE VALUATION BASED ON THE ASSUMPTION(S) AS STATED ABOVE, THEN APPROPRIATE PROFESSIONAL ADVICE SHOULD BE SOUGHT SINCE THE VALUE(S) REPORTED ARE BASED ON ASSUMPTION(S) THAT ARE NOT YET OR FULLY REALISED"

Knight Frank

5.0(i) V/COR/26/0086(I) PFCC TOWER 1, 2, 4 & 5

5.2(i) PROPERTY DESCRIPTION

Physical Aspect

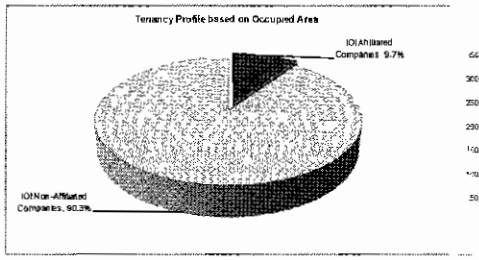
As at the date of re-inspection, the physical state(s) of the PFCC Tower 1, 2, 4 & 5 (including Gross Floor Area + car park facilities) remained unchanged as per our previous valuation; save for the retail unit located on Ground Level, which has been reduced to accommodate a smaller retail lot and a new lobby area. We have been informed that an application has been submitted to Majlis Bandaraya Subang Jaya (MBSJ), with full approval expected by Q3 2026. The reconfiguration is scheduled to commence at the end of July 2026. In addition, the office units located on Level(s) 16 and 17 of PFCC Tower 2 are now being marketed as fully fitted units.

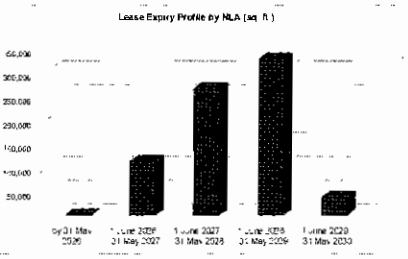
NLA / Occupancy

The tenancy schedule dated 31 May 2026 has revealed that there is a reduction in terms of NLA to 850,321 sq. ft. as compared to our previous Valuation Report at 854,977 sq. ft. due to reconfiguration of retail and office lots with the actual average concluded gross rental rate increased for retail lots from RM5.34 psf to RM5.44 psf per month and office lots from RM4.18 psf to RM4.24 psf per month over the occupied NLA.

The current occupancy rate has increased from 82.8% to 87.9% due to the addition of new tenants. The current weighted average lease expiry ("**WALE**") stands at 1.96 years.

Tenancy Profile & Lease Expiry Profile





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Knight Frank

5.0(I) V/COR/26/0086(I) – PFCC TOWER 1, 2, 4 & 5

5.3(I) MARKET VALUE

Valuation Methodology

Similar to our previous valuation, in arriving at our opinion of the Market Value of the Subject Property, we have adopted the **Income Approach by Investment Method** as the primary approach and supported by the **Comparison Approach**.

Historical Performance

Historical Operating Performance of PFCC Tower 1, 2, 4 & 5 for FPE 31 October 2025 and Unaudited FPE 31 May 2026

	FPE 31 Oct 2025 (4-month)	Unaudited FPE 31 May 2026 (11-month)
Average Total NLA	851,750 sq. ft.	853,803 sq. ft.
Average Occupancy	67%	74%
Total Gross Income (1)	RM11,892,000	RM35,799,000
Total Outgoings (2)	RM5,614,000	RM16,963,000
Net Property Income	RM6,278,000	RM18,836,000

Notes:

The above historical performance also incorporated pro forma adjustments excluding other income, entertainment expenses, as well as non-cash items such as provisions for doubtful debts, bank charges, compensation and penalties.

(1) Total Gross Income consists of rental income, utilities recovery incomes, car park income, other related incomes and miscellaneous income.

(2) Total Outgoings include property taxes, insurance, repair and maintenance, utilities, car park expenses, other operating expenses and property management fees.

Reconciliation of Values

Method of Valuation	Derivation of Values
Income Approach by Investment Method	RM447,000,000
Comparison Approach	RM459,000,000

Market Value

RM447,000,000.

Income Approach by Investment Method

We have reassessed the Market Value of PFCC Tower 1, 2, 4 & 5 with the updated details and have adopted the same parameters in the Income Approach as per our previous valuation; save and except for the term rental committed for retail lot at RM5.44 psf per month and office lots at RM4.24 psf per month over the occupied NLA due to the reduction in NLA / renewed tenancies / additional take-up of vacant units.

Comparison Approach

During the review period, no new office building transaction was recorded within Klang Valley. However, there is an announced transaction after the date of valuation namely Menara Ambank; of which the details of the aforesaid transaction is outlined below for reference only.

Menara AmBank is a 46-storey purpose-built office building with 7 levels of podium carpark, located along Jalan Yap Kwan Seng, Kuala Lumpur. It was transacted at RM331,000,000 (analysed to be at RM730 psf) between Maybank Trustees Berhad (Vendor) and AmBank (M) Berhad, a wholly-owned subsidiary of AMMB Holdings Berhad (Purchaser).

There is no recent transaction involving standalone car park assets were observed.

Therefore, we have relied on the same set of office building and car park transactions used in our previous valuation.

Jones Lang Wootton
Proprietor: Singham Sulaiman Sdn. Bhd.
Registration No.: 198101012087 (78217-X)

Chartered Surveyors
Registered Valuers
Registered Estate Agents
Registered Property Managers
Research and Property Consultants
Asset Managers
Project Coordinators

8th Floor,
Bangunan Getah Asli (Menara),
148 Jalan Ampang,
50450 Kuala Lumpur
Tel: +603 2161 2522
Fax: +603 2161 8060
Email: jonestang@jlwmalaysia.com
www.jlwmalaysia.com

Our Ref : CON/8/2025

12 October 2026

The Board of Directors
IOIPG REIT MANAGEMENT SDN BHD
Level 3A, IOI City Tower 2
Lebuh IRC, IOI Resort City
62505 Putrajaya
Wilayah Persekutuan Putrajaya
Malaysia

Dear Sirs,

INDEPENDENT PROPERTY MARKET REPORT (IPMR) FOR THE INITIAL PUBLIC OFFERING OF IOIPG MALAYSIA REAL ESTATE INVESTMENT TRUST (IOIPG REIT) ON THE MAIN MARKET OF BURSA MALAYSIA SECURITIES BERHAD

Jones Lang Wootton has been appointed to prepare an Independent Property Market Report (IPMR) for inclusion in the Prospectus, in conjunction with the initial public offering (IPO) and listing of IOIPG REIT on the Main Market of Bursa Malaysia Securities Berhad.

The objective of this report is to provide an independent overview of the relevant property markets in Malaysia, including the office, retail, and hospitality sectors, with a primary focus on Kuala Lumpur, Putrajaya, Selangor, and Penang. The IPMR also examines key macroeconomic indicators, as well as the supply and demand dynamics of the relevant property sectors. In addition, it outlines key market drivers, risks and challenges, competitive overview and provides an assessment of market prospects and outlook.

This report has been prepared based on our experience in the property market, supported by a combination of primary research, market data, and industry benchmarks. It also incorporates information obtained from third-party sources generally regarded as authoritative and reliable. This information has not necessarily been independently verified by Jones Lang Wootton.

Johor Bahru
Lot 19.02, Level 19, Public Bank Tower, 19 Jalan Wong Ah Fook, 80000 Johor Bahru
Tel: +607 224 9937 Fax: +607 224 9936 Email: johor@jlwmalaysia.com

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Jones Lang Wootton

Proprietor: Singham Sulaiman Sdn. Bhd.
Registration No.: 198101012087 (78217-X)

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For and on behalf of
JONES LANG WOOTTON
(Proprietor: Singham Sulaiman Sdn Bhd)

AZLINA A RAHMAN
EXECUTIVE DIRECTOR

About Jones Lang Wootton (Proprietor: Singham Sulaiman Sdn Bhd)

Established in 1974, Jones Lang Wootton's fully integrated services encompass valuation and advisory, real estate agency and advisory, research and consultancy, property management, facilities management and asset management. Jones Lang Wootton is registered with the Board of Valuers, Appraisers, Estate Agents and Property Managers, Malaysia and regulated by the Royal Institution of Chartered Surveyors (RICS) for the provision of surveying services.

About the Partner-in-Charge

Azlina A Rahman is the Executive Director of Jones Lang Wootton and has over 30 years of experience in the property market. She has been actively involved in property market related consultancy reports for both local and foreign clients, eovering all market sectors in various parts of the country. She possesses a wide range of expertise which includes: undertaking property market analysis and forecasting, feasibility studies, development appraisals, undertaking cash flow analysis, and market surveys. She has also undertaken due diligence projects to assess project marketability and financial viability on behalf of investors. She holds a Baehelor of Science (Hons) Land Management, University of Reading, United Kingdom.

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Registration No.: 198101012087 (78217-X)

Chartered Surveyors
Registered Valuers
Registered Estate Agents
Registered Property Managers
Research and Property Consultants
Asset Managers
Project Coordinators

8th Floor,
Bangunan Getah Asli (Menara),
148 Jalan Ampang,
50450 Kuala Lumpur
Tel: +603 2161 2522
Fax: +603 2161 8060
Email: joneslang@jlwmalaysia.com
www.jlwmalaysia.com

INDEPENDENT PROPERTY MARKET REPORT

FOR A PORTFOLIO OF 9 PROPERTIES LOCATED IN

KUALA LUMPUR, PUTRAJAYA, PUCHONG AND PENANG

Prepared for	:	IOIPG REIT Management Sdn Bhd
Our Ref.	:	CON/8/2025
Date	:	12 October 2026

Johor Bahru
Lot 19.02, Level 19, Public Bank Tower, 19 Jalan Wong Ah Fook, 80000 Johor Bahru
Tel: +607 224 8937 Fax: +607 224 9936 Email: johor@jlwmalaysia.com

VEPM(2) 0078

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Independent Property Market Report for a Portfolio of 9 Properties Located in Kuala Lumpur, Putrajaya, Puchong and Penang

1.0 TERMS OF REFERENCE

Jones Lang Wootton (JLW) was commissioned by IOIPG REIT Management Sdn Bhd (the Client) to provide an Independent Property Market Report (IMR) for the specific purpose of inclusion into IOIPG Malaysia Real Estate Investment Trust's (IOIPG REIT) Prospectus, in connection with IOIPG REIT's proposed Initial Public Offering (IPO) and listing on the Main Market of Bursa Malaysia Securities Berhad (Bursa Malaysia).

The properties that will form the IOIPG REIT are as follows:

No.	Location	Building	Type
1	Putrajaya	IOI City Mall	Retail Property
2	Putrajaya	Putrajaya Marriott Hotel	Hotel Properties
3	Putrajaya	Le Méridien Putrajaya	
4	Putrajaya	Moxy Putrajaya	
5	Puchong	Four Points by Sheraton Puchong	
6	Kuala Lumpur	W Kuala Lumpur	
7	Penang	Courtyard by Marriott Penang	
8	Putrajaya	IOI City Towers (Tower 1, 2)	Office Properties
9	Puchong	PFCC Towers (Tower 1, 2, 4, 5)	

The market review will incorporate the following:

- A brief **economic overview** of Malaysia, Selangor, Kuala Lumpur, Putrajaya and Penang, including economic indicators such as Gross Domestic Product (GDP), employment, lending rates, employment, demographic / population and tourism market indicators.

- A **property market overview** of the retail, office and hotel sectors in Kuala Lumpur, Putrajaya, Selangor and Penang, where the subject properties are located. This included the overview of supply and demand, market indicators (pricing and rental) and the market outlook of the respective property sectors.

- A **review of the REIT portfolio** in terms of location, Strength, Weakness, Opportunity, and Threat (SWOT) analysis, performance analysis (rental and occupancy rate), benchmarking / comparative analysis and market outlook of the portfolio. (Note: JLW will not undertake any studies on technical and structural aspects of this property. JLW assumes that the necessary due diligence would have been undertaken by the Client to ensure that this building is in a good state of repair and well managed ensuring its sustainability).

Having made the necessary investigations and analysis we are pleased to submit our report.

2.0 MALAYSIA ECONOMIC OVERVIEW AND OUTLOOK

2.1 Key Economic Indicators

Table 2.1 : Malaysia Economic Overview

Malaysia	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025
Real GDP at constant 2015 Prices (RM' million)	1,176,941	1,229,312	1,300,769	1,363,766	1,423,952	1,346,249	1,390,862	1,516,503	1,570,774	1,651,873	1,736,953
Real GDP Growth (%)	5.1%	4.4%	5.8%	4.8%	4.4%	-5.5%	3.3%	9.0%	3.6%	5.2%	5.2%
GDP per Capita at Constant 2015 Prices (RM)	37,739	38,861	40,620	42,115	43,783	41,490	42,696	46,307	48,943	48,392	50,740
GDP per Capita at Current Prices (RM)	37,739	39,505	42,854	44,706	46,513	43,717	47,541	54,893	54,606	56,722	59,167
Consumer Price Index (2010=100)	112.8	115.2	119.5	121.4	121.5	120.1	123.1	127.2	130.4	132.8	134.6
Inflation Rate (%)	2.1%	2.1%	3.7%	1.0%	0.7%	-1.2%	2.5%	3.3%	2.5%	1.8%	1.4%
Overnight Policy Rate (average)	3.25%	3.13%	3.00%	3.25%	3.08%	2.06%	1.75%	2.17%	2.92%	3.00%	2.86%
Exchange Rate, RM1.00 to US$ (average)	0.2574	0.2416	0.2327	0.2460	0.2414	0.2381	0.2413	0.2276	0.2192	0.2191	0.2465
Labour Market											
Labour Force ('000 person)	14,518	14,668	14,980	15,280	15,562	15,406	15,533	15,770	16,367	16,904	17,086
Employed ('000 person)	14,068	14,164	14,477	14,776	15,073	14,719	14,825	15,155	15,813	16,369	16,581
Unemployed ('000 person)	450	504	503	504	508	687	708	615	553	534	507
Unemployment Rate (%)	3.1%	3.4%	3.4%	3.3%	3.3%	4.5%	4.6%	3.9%	3.4%	3.2%	3.0%
Domestic Aggregate Demand at Constant 2015 Prices (RM' million)											
Private Consumption	635,099	672,260	718,702	776,054	835,714	802,747	817,103	910,364	952,397	1,000,999	1,052,570
Private Investment	198,150	206,977	225,594	235,343	239,027	210,653	216,502	232,219	242,719	272,595	298,263
Public Consumption	154,021	155,840	164,450	170,030	172,659	179,721	190,210	200,948	207,806	217,563	231,867
Public Investment	106,274	105,213	105,499	100,249	89,506	70,522	62,740	66,121	71,738	79,721	87,896
Net Foreign Direct Investment (FDI) Inflows (RM' million)											
Manufacturing	17,238	12,140	6,271	15,000	7,237	7,016	29,541	50,146	5,469	8,280	2,645
Services	13,841	23,919	20,931	15,378	16,981	5,383	11,970	23,496	35,359	35,613	59,459
Mining and Quarrying	7,108	8,209	11,083	-344	5,058	1,964	5,836	1,567	1,391	5,041	3,013
Construction	1,190	3,025	1,957	686	2,136	-667	74	187	-1,837	-2,410	788
Agriculture	0	-268	177	21	279	-415	722	21	21	166	31
Malaysian Direct Investment Abroad Income (RM' million)											
Manufacturing	1,300	1,036	2,746	1,888	887	2,250	25,135	4,506	2,106	3,512	2,563
Services	8,870	11,165	14,577	17,903	19,378	12,566	20,163	26,525	23,621	33,652	25,350
Mining and Quarrying	6,327	7,397	6,424	6,489	7,059	1,582	8,429	17,738	10,745	5,323	7,831
Construction	512	82	55	-234	-34	126	775	1,203	1,215	942	1,339
Agriculture	1,389	1,078	1,788	885	2,400	1,344	4,320	3,763	3,192	1,992	2,865

NA - Not Available
Source: Department of Statistic Malaysia (DOSM), Bank Negara Malaysia (BNM)

2.1.1 Economic Outlook

Gross Domestic Product (GDP)

The Malaysian economy recorded a GDP growth of 5.2% in 2025 compared with 5.2% in 2024 and 3.6% recorded in 2023. The Malaysian economy expanded by 4.0% per annum over the last 10-year period as real GDP grew from RM1,176,941 million in 2015 to RM1,736,953 million in 2025.

Malaysia's GDP grew by 6.0% in 2Q26 higher than 5.4% growth recorded in 1Q26. The Services sector continued to be the main contributor to economic expansion, while the remaining sectors posted positive growth, except for the Agriculture sector, which contracted during the quarter. As a result, the country's GDP for the first half of 2026 (1H26) was 5.7% higher than the 4.5% growth recorded in the corresponding period in 2025 (1H25).

Bank Negara Malaysia expected the economic growth for 2026 to remain within the earlier forecast range of between 4.0% and 5.0% (as reported in August 2026).

Table 2.1.1 : Malaysia: Economic Growth by Sectors (Y.O.Y)

Sector	Annual Change (%)									
	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025
Agriculture	-3.7%	5.9%	0.1%	1.9%	-2.4%	-0.3%	1.3%	0.4%	3.4%	2.2%
Mining & Quarrying	2.2%	0.4%	-2.2%	-0.6%	-9.7%	0.9%	3.5%	0.5%	1.2%	0.6%
Manufacturing	4.4%	6.0%	5.0%	3.8%	-2.7%	9.5%	8.2%	0.7%	4.2%	4.5%
Construction	7.4%	6.7%	4.2%	0.4%	-19.3%	-5.2%	5.1%	5.9%	17.6%	12.2%
Services	5.7%	6.3%	6.9%	6.2%	-5.2%	2.2%	11.3%	5.2%	5.4%	5.4%
GDP	**4.4%**	**5.8%**	**4.8%**	**4.4%**	**-5.5%**	**3.3%**	**9.0%**	**3.6%**	**5.2%**	**5.2%**

Source: Department of Statistic Malaysia (DOSM)

Inflation Rate

The annual inflation rate for 2025 was recorded at 1.4%, marking a three year consecutive decline in inflation since 2022 (3.3%). This was contributed by a slower incline of Housing, Water, Electricity, Gas Other Fuels at 1.6% (2024: 3.0%), Health at 1.2% (2024: 1.8%), Recreation, Sport Culture at 1.1% (2024: 1.8%), Transport at 0.4% (2024: 1.0%), and Furnishings, Household Equipment Routine Household Maintenance at 0.2% (2024: 0.7%)

According to Bank Negara Malaysia, inflation is expected to remain moderate, averaging between 1.5% and 2.5% in 2026. The stronger exchange rate could provide some support in containing import prices. Domestic policy measures will also help mitigate the pass-through of global cost pressures to domestic prices. However, the inflation outlook remains dependent on external risks. Upside risks could stem from prolonged supply disruptions and trade policy uncertainty, including higher input costs from elevated global commodity prices which could be amplified by the conflict in the Middle East and weather disruptions.

Sectors that are more sensitive to import prices, such as food, could face stronger cost pressures, which could lead to price increment.

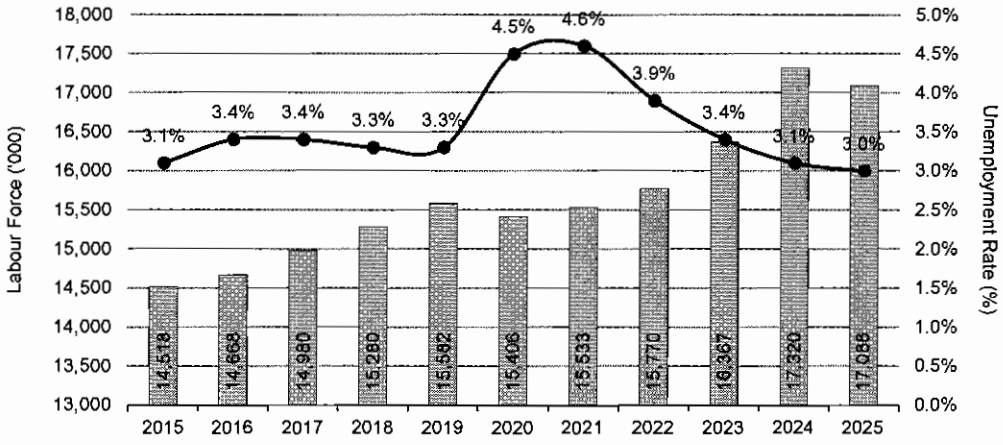
Bank Negara Malaysia (BNM) has maintained its Overnight Policy Rate (OPR) at 2.75% in September 2026, since the reduction of OPR by 25 basis points to 2.75% on 9th July 2025. The economic growth is likely to be underpinned by resilient domestic demand, moderating inflationary pressures, sustained technological investment, and supportive fiscal and monetary policy frameworks. However, the recent conflict in the Middle East has raised uncertainty in the global economy. The impact on the global economy will depend on the length and severity of the conflict.

Employment

Prior to the COVID-19 pandemic, unemployment rate has been stable at around 3.3% and 3.4%, before spiking to 4.5% and 4.6% during COVID-19 pandemic in 2020 and 2021. As the economy recovered, unemployment rate has been on a downward trend, declining from 3.9% in 2022 to 3.1% in 2024 and 3.0% in 2025. As at July 2026, the unemployment rate remained at 3.0%.

Total labour force increased from 14.518 million in 2015 to 17.088 million in 2025, registering a compound annual growth rate (CAGR) of 1.6% or an average of 0.257 million new labour per annum.

Chart 2.1.1 : Labour Force & Unemployment Rate



Source: Department of Statistics Malaysia (DOSM)

2.2 Household Income & Spending Trend

2.2.1 Median Gross Monthly Household Income

Table 2.2.1 : Median Gross Monthly Household Income, 2014-2024

	2014	2016	2019	2022	2024	CAGR (2014 - 2024)
Malaysia	**RM4,585**	**RM5,228**	**RM5,873**	**RM6,338**	**RM7,017**	**4.3%**
Selangor	RM6,214	RM7,225	RM8,210	RM9,983	RM10,726	5.6%
Kuala Lumpur	RM7,620	RM9,073	RM10,549	RM10,234	RM10,802	3.6%
Putrajaya	RM7,512	RM8,275	RM9,983	RM10,056	RM10,769	3.7%
Penang	RM4,702	RM5,409	RM6,169	RM6,502	RM7,386	4.6%

Source. Department of Statistics

The median household income of Malaysia increased from RM4,585 in 2014 to RM7,017 in 2024, representing a CAGR of 4.3%. During the same period, Selangor, Kuala Lumpur, Putrajaya and Penang also recorded increases in median gross monthly household income.

In 2024, Kuala Lumpur recorded the highest median household income with RM10,802, followed by Putrajaya (RM10,769), Selangor (RM10,726) and Penang (RM7,386), all surpassed the national average median household income of RM7,017.

Of the 5 states, Selangor recorded the highest CAGR of 5.6% for the 10-year period, followed by Penang (4.6%), Putrajaya (3.7%) and Kuala Lumpur (3.6%).

2.2.2 Median Monthly Household Expenditure

Table 2.2.2 : Median Monthly Household Expenditure, 2014-2024

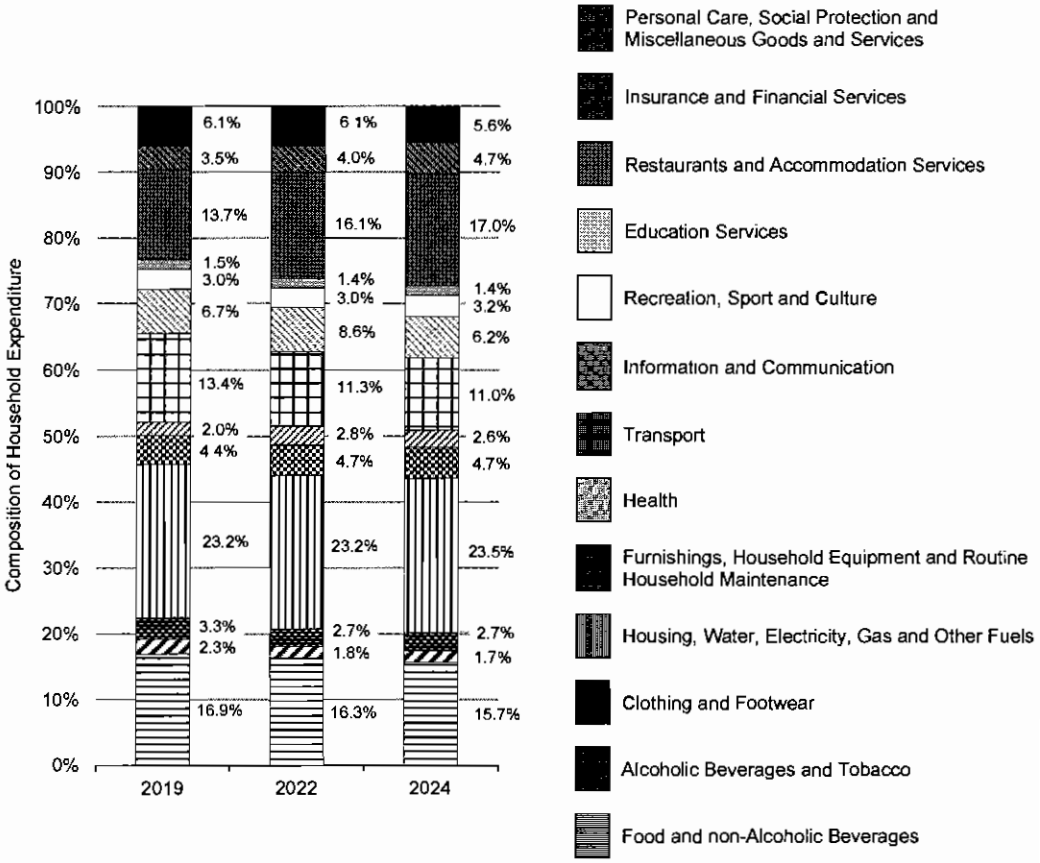
	2014	2016	2019	2022	2024	CAGR (2014 - 2024)
Malaysia	**RM2,946**	**RM3,314**	**RM3,683**	**RM4,282**	**RM4,758**	**4.9%**
Selangor	RM3,836	RM4,356	RM4,874	RM5,747	RM6,251	5.0%
Kuala Lumpur	RM4,665	RM5,199	RM5,719	RM6,232	RM6,789	3.8%
Putrajaya	RM4,801	RM5,153	RM6,486	RM6,644	RM7,885	5.1%
Penang	RM3,088	RM3,399	RM3,809	RM4,481	RM4,860	4.6%

Source: Department of Statistics

The national's median household expenditure increased from RM2,946 in 2014 to RM4,758 in 2024, recording a CAGR of 4.9%. In 2024, Putrajaya recorded the highest median monthly household expenditure with RM7,885, followed by Kuala Lumpur with RM6,789, Selangor with RM6,251 and Penang with RM4,860.

Between 2014 and 2024, Putrajaya recorded the highest CAGR of 5.1%, followed by Selangor with 5.0%, Penang with 4.6% and Kuala Lumpur with 3.8%.

Chart 2.2.2 : Consumption of Household Expenditure



Note: 100% = Mean Monthly Household Consumption Expenditure.
Source: Department of Statistics

According to the Household Income Survey Report 2024 by the Department of Statistics Malaysia, the largest share of household mean monthly consumption expenditure was on Housing, Water, Electricity, Gas and Other Fuels (23.5%), followed by Restaurants and Accommodation Services (17.0%), Food and Non-Alcoholic Beverages (15.7%), and Transport (11.0%). Collectively, these categories accounted for 67.2% of Malaysia's mean monthly household consumption.

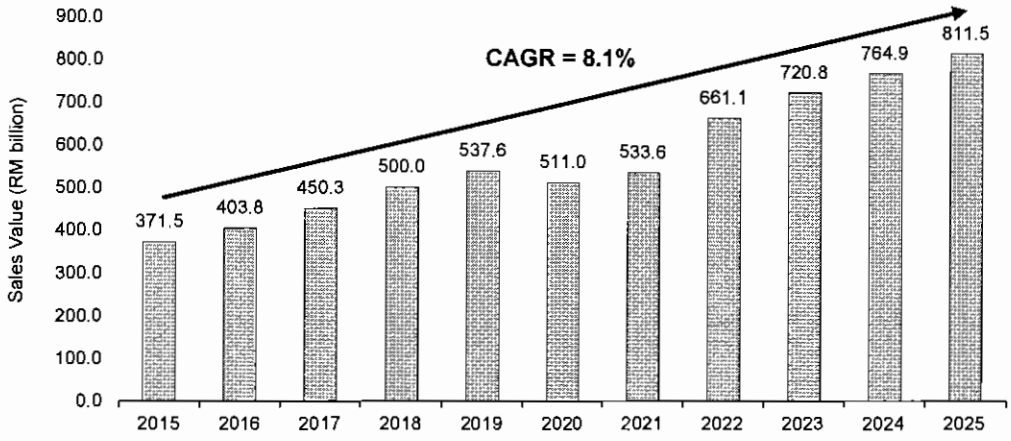
Expenditure on Housing, Water, Electricity, Gas and Other Fuels continued to dominate the household spending, increasing slightly by 0.3 percentage point, from 23.2% in 2019 to 23.5% in 2024.

Notably, spending on Restaurants and Accommodation Services recorded the highest growth among all the other expenditure for the 5-year period, with an increment of 3.3 percentage points from 13.7% in 2019 to 17.0% in 2024. In contrast, expenditure on Food and Non-Alcoholic Beverages reduced by 1.2 percentage points for the same period, from 16.9% in 2019 to 15.7% in 2024.

The survey revealed that urban households spent most of their consumption on Housing, Water, Electricity, Gas and Other Fuels (24.1%), followed by Restaurants and Accommodation Services (17.4%), and Food and Non-Alcoholic Beverages (14.4%). Meanwhile, in rural households, they spent majority of their consumption on Food and non-Alcoholic Beverages (23.0%), followed by Housing, Water, Electricity, Gas and Other Fuels (20.3%) and Restaurants and Accommodation Services (14.9%).

2.2.3 Retail Trade Sales

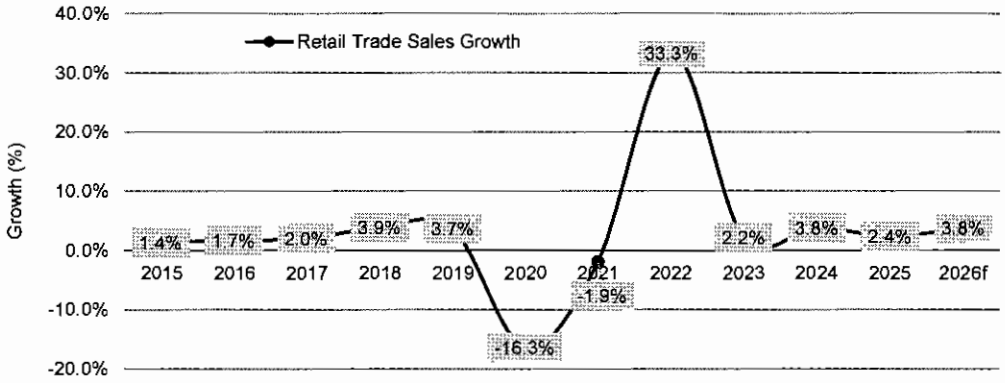
Chart 2.2.3 : Malaysia Retail Trade Sector Sales Value, 2015-2025



Source: Department of Statistics

Between 2015 and 2025, Malaysia's retail trade sales value experienced substantial growth, increasing from RM371.5 billion in 2015 to RM811.5 billion in 2025, representing a 118.4% rise and a CAGR of 8.1%. This growth was primarily driven by strong domestic consumption, supported by vibrant economy, festive spending, and an expanding middle class population. Between January and July 2026, the retail trade sector sales were RM498 billion.

2.2.4 Retail Sales Growth



f - forecast
Note: 2025 is estimated for full year
Source: Malaysia Retailers Association (MRA)

Malaysia's retail sales growth has generally been increasing since 2015 to 2019 but plummeted to -16.3% in 2020 due to the COVID-19 pandemic. In 2022, retail trade saw a recovery as it substantially grew to 33.3%, driven by the reopening of retail businesses after a full year of lockdown.

The lifting of the Movement Control Order in October 2021 marked the transition to the endemic phase, though consumer footfall initially lagged due to lingering health concerns. Confidence gradually returned in early 2022, supported by government cash handouts and the Employees Provident Fund's special one-off RM10,000 withdrawal facility, which spurred footfall and accelerated the retail sales growth in 2022 due to "revenge spending", especially as the nation celebrated its first festive seasons, Chinese New Year and Hari Raya as restriction-free in two years.

In 2023, retail sales growth moderated as consumers became more cautious with their spending amid rising living costs. In 2024, retail sales growth recorded y-o-y growth of 3.8% (+1.6 percentage point vs 2023), underpinned by a resilient labour market, as reflected in lower unemployment rate, and supporting government policies aimed at boosting private consumption. These included increases in the minimum wage, increased civil service salaries, the introduction of the EPF Account 3 withdrawal, and *Sumbangan Tunai Rahmah* (monthly RM100) / *Sumbangan Asas Rahmah* (RM100 one off) cash assistance for targeted household items. In 2025, retail sales growth slowed to 2.4% due to cautious household spending amid the rising cost of living.

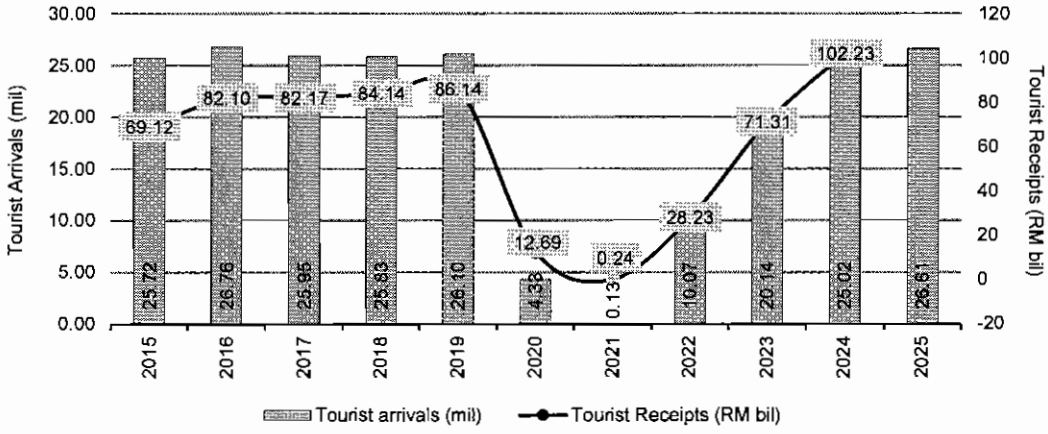
The substantial growth in the median household income as depicted in Table 2.2.1, has led to an increase in disposable income, resulting in the notable shifts in consumer spending behaviour toward the food and beverages (F&B) sector. In recent years, the F&B sector has dominated the retail mall tenancy, particularly in the form of cafes and restaurants. This trend accelerated post COVID-19 pandemic, as consumers increasingly view cafés and restaurants as preferred venues for socializing with friends and spending time with family after prolonged lockdowns.

Consequently, shopping malls have evolved from traditional retail and dining venues into comprehensive experiential destinations that cater to a broad demographic. Most large-scale malls now feature an extensive range of social, entertainment, educational, and leisure facilities, including sports centres, indoor playgrounds, swimming academies, cycling studios, arts and crafts workshops, indoor theme parks, multifunctional event spaces, and even indoor petting zoos. These diversified offerings position malls as preferred destinations for shoppers of all age group, specifically for families with young children, providing a holistic and engaging experience beyond conventional shopping activities.

2.3 Tourism Indicators

2.3.1 Tourist Arrivals and Receipts

Chart 2.3.1 : Malaysia Tourist Arrivals & Tourist Receipts, 2015-2025



Note: Information on tourism receipts for 2025 is yet to be made public
Source: Tourism Malaysia

Prior to COVID-19, the number of tourist arrivals fluctuated between 2015 and 2019 but remained consistently above 25 million annually. In 2019, tourist arrivals reached 26.10 million, and tourist receipts totaled RM86.14 billion, marking the highest receipts recorded during these periods.

Due to the COVID-19 pandemic, both tourist arrivals and receipts dropped to an all-time low in 2020 and 2021. Recovery began in 2022, with notable improvements in both indicators, and the momentum continued through the end of 2024. Tourist arrivals and receipts have gradually increased since the reopening of international borders in 2022.

In 2024, Malaysia recorded 25.02 million tourist arrivals, a significant year-on-year (y-o-y) increase of 24% from 20.14 million arrivals in 2023. Although arrivals improved in 2024, they have yet to surpass pre-COVID levels. Nevertheless, tourist receipts reached an all-time high of RM102.23 billion in 2024, exceeding pre-pandemic levels.

In 2025, Malaysia recorded a total of 26.61 million tourist arrivals, a 6% increase year-on-year and has surpassed that of 2019 (pre-COVID levels). Through the Visit Malaysia Year (VMY 2026) the country aims to attract 47 million international visitors in 2026. As at June 2026, Malaysia has attracted 21.12 million international arrivals of which 12.85 million were international tourists (i.e. overnight visitors) and the remaining 8.27 million were excursionists (i.e. same day visitors).

2.3.2 Tourist Arrivals by Country of Origin

Table 2.3.2 : Total Tourist Arrivals, 2015-2025

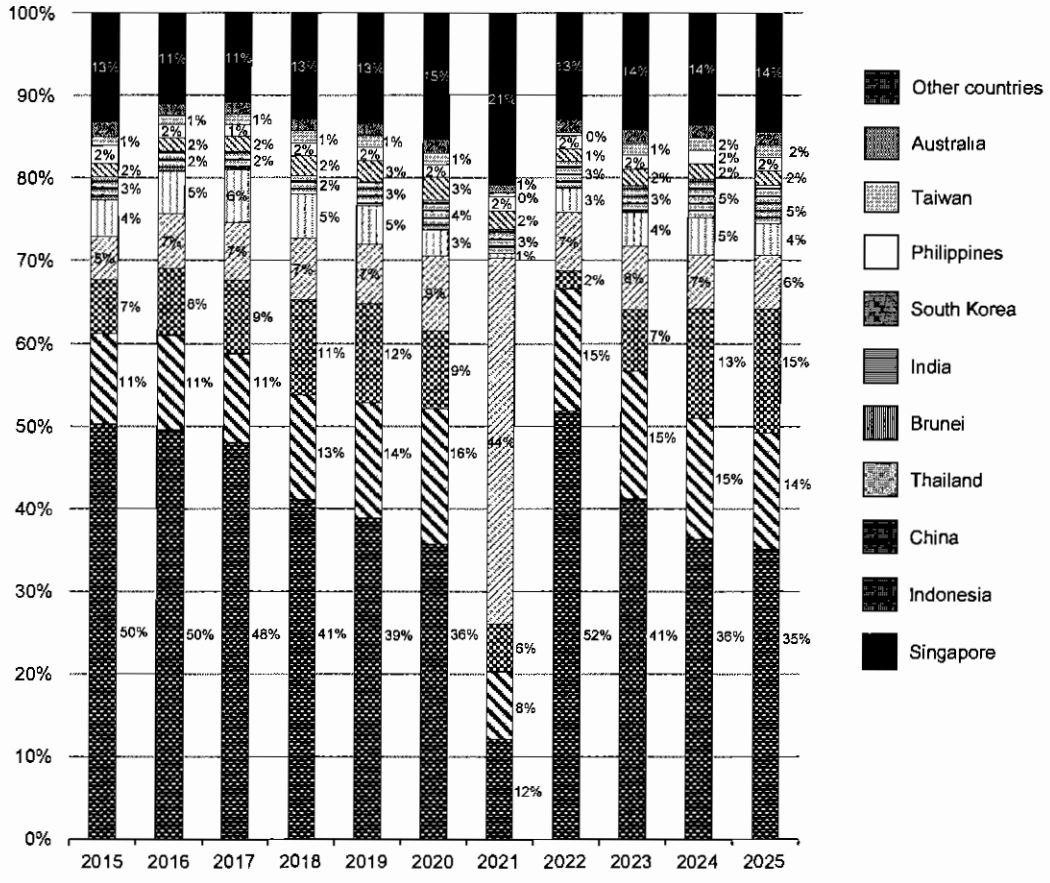
Year	Top 10 Total Tourist Arrivals	Other Countries Total Tourist Arrival	Total Tourist Arrivals
2015	22,321,465	3,399,786	**25,721,251**
2016	23,798,734	2,958,658	**26,757,392**
2017	23,108,962	2,839,497	**25,948,459**
2018	22,483,109	3,349,245	**25,832,354**
2019	22,583,314	3,517,470	**26,100,784**
2020	3,667,014	665,708	**4,332,722**
2021	106,559	28,169	**134,728**
2022	8,765,389	1,305,575	**10,070,964**
2023	17,292,423	2,849,423	**20,141,846**
2024	21,598,203	3,418,495	**25,016,698**
2025	22,760,619	3,852,978	**26,613,597**

Note : visitors consist of overnight visitors (i.e. tourists) and excursionists (same day visitors)
Source: Tourism Malaysia

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Chart 2.3.2 : Tourist Arrivals from the Top 10 Origin Countries to Malaysia, 2015-2025



Source: Tourism Malaysia

Singapore has consistently been the largest tourist arrivals' share to Malaysia over the past decade, with the exception of 2021, when Thailand recorded the highest number of arrivals. In 2025, tourist arrivals for Singapore recorded 9,344,513 arrivals, accounting for 35% of the total international tourist arrivals, followed by China (15%), Indonesia (14%), Thailand (6%) and India (5%). Collectively, these countries contributed 75% of the total arrivals to Malaysia. Southeast Asia (SEA) countries represented 63% (16.8 million) of the total arrivals in 2025 compared with 66% (16.5 million) in 2024.

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In terms of growth, China recorded a significant 123% increase in tourist arrivals between 2023 and 2024 and a 21% growth in 2025. This surge was largely driven by the implementation of the 30-day visa free travel arrangements between Malaysia and China. Several new direct flights were also introduced, enhancing connectivity between the two countries. The new routes introduced such as Shanghai Airlines connecting Yuncheng and Kuala Lumpur, Jiangxi Air connecting Nanchang and Kuala Lumpur, Loong Air connecting Xi'an and Kuala Lumpur, and China Eastern Airlines connecting Lanzhou and Taiyuan to Kuala Lumpur.

Tourists from India have also benefitted from the 30-day visa waiver for visitors to Malaysia, similar to that granted to Chinese tourists. As a result, tourist arrivals from India increased by 69% between 2023 and 2024 and a 10% growth in 2025. In addition, Malaysia has been recognized as a number one meeting, incentive, convention and event (MICE) venue in India which has made Malaysia an ideal leisure and business destination among the Indian travelers. Furthermore, Indigo Airlines has introduced three new routes between India and Malaysia (i.e. Bengaluru to Kuala Lumpur, Bengaluru to Langkawi and Chennai to Penang) while AirAsia has launched 5 weekly flights from Kolkata to Kuala Lumpur, Air India launched a daily non-stop flight between Delhi and Kuala Lumpur, as well as, Malaysia Airlines expanded connectivity from Trivandrum to Kuala Lumpur to 5 weekly flights due to the increasing popularity of this route, providing convenience thus making Malaysia a preferred destination among the Indian travelers.

The visa-free initiative for Indian and Chinese passport together with the introduction of seamless autogate immigration clearance at Kuala Lumpur International Airport (KLIA and KLIA2) for foreigners across 63 countries in 2024 has improved travel convenience and enhanced overall visitor experience. The launch of new direct flight routes such as Kuala Lumpur to Darwin (Australia), Kuala Lumpur to Banjarmasin (Indonesia), Kuala Lumpur to Charles de Gaulle (France), and Penang to Yangon (Myanmar), has enhanced air connectivity. Combined favourable currency exchange rates and Tourism Malaysia's ongoing marketing and promotional campaigns, these factors have collectively contributed to the growth in tourist arrivals.

2.3.3 Tourist Expenditure

Table 2.3.3 : Breakdown of Tourist Expenditure, 2019-2024

Expenditure Component	2019		2020		2021		2022		2023		2024	
	RM million	%	RM million	%	RM million	%	RM million	%	RM million	%	RM million	%
Accommodation	20,674.4	24.0	2,964.7	23.4	145.0	60.7	4,714.1	16.7	13,406.0	18.8	19,322.2	18.9
Food & Beverage	11,457.1	13.3	1,852.7	14.6			4,403.8	15.6	10,625 0	14.9	16,255.2	15.9
Local Transportation	6,546.9	7.6	920.5	7.3	6.1	2.6	1,524.3	5.4	4,563.7	6.4	5,827.3	5.7
International Airfares	4,221.0	4.9	577.3	4.5	71.1	29.8	2,032.4	7 2	6,631.7	9.3	8,689.9	8.5
Organised Tours	5,427.0	6.3	602.4	4.7	NA	NA	705.7	2.5	3,137.6	4.4	4,089.4	4.0
Shopping	28,944.2	33.6	4,488.9	35.4	16.5	6.9	10,755.0	38.1	24,173.6	33.9	38,906.4	38.1
Medical	2,928.9	3.4	351.4	2.8			1,213.8	4.3	3,494.1	4.9	5,009.5	4.9
Entertainment	2,928.9	3.4	564.7	4.5			1,129.1	4.0	2,638.4	3.7	2,146.9	2.1
Domestic Airfares	2,239.7	2.6	175.7	1.4			254.1	0.9	1,640.1	2.3	2,555.8	2.5
Miscellaneous	344.6	0.4	167.6	1.3			1,100.9	3.9	213.9	0.3	306.7	0.3
Fuel	258.4	0.3	22.8	0.2			310.5	1.1	713.1	1.0	1,022.3	1.0
Sports	172.3	0 2	0.0	0.0			84.7	0.3	71.3	0.1	102.2	0.1
Total	**86,143.4**	**100.0**	**12,688.7**	**100.0**	**238.7**	**100.0**	**28,228.2**	**100.0**	**71,308.5**	**100.0**	**102,233.9**	**100.0**

Data for 2025 is not available.
Source: Tourism Malaysia

Between 2019 and 2022, tourist expenditure was on a declining trend, primarily due to the impact of the COVID-19 pandemic. However, expenditure rebounded in 2023 and further grew by 43% / RM30,925.4 billion to RM102,233.9 billion in 2024, driven primarily by shopping (36.1%), accommodation (18.9%) and food and beverage (15.9%), collectively accounting for 70.9% of total tourist expenditure. In comparison, these three expenditures made up 67.6% of total tourist expenditure in 2023.

Shopping consistently represented the largest share of tourist expenditure, increasing from RM28,944.2 million in 2019 to RM36,906.4 million in 2024, followed by accommodation and food and beverage. Despite remaining among the top three expenditure categories, accommodation spending declined from RM20,674.4 million in 2019 to RM19,322.2 million in 2024. In contrast, food and beverage expenditure rose from RM11,457.1 million in 2019 to RM16,255.2 million in 2024.

2.4 Federal Government Initiatives

1. Budget 2026

Budget 2026 which was tabled on 10 October 2025 by the Prime Minister. The Budget 2026 introduced targeted tax reforms, plugging off tax loopholes, introduced green initiatives, promoted/encouraged digital upskilling and strategic investments with the aim to "future proof" the economy and supporting the population/rakyat.

Among the key highlights and allocations of Budget 2026 include:

- A special financial aid of RM500 will be provided to public servants grade 56 and below and RM250 will be provided to pensioners and veterans (both pensioned and non-pensioned) in March 2026.
- The Public Sector Home Financing Board (LPPSA) financing limit has been raised to RM1 million.
- Tax incentives in conjunction with Visit Malaysia 2026 whereby deductions of up to RM500,000 will be given to tourism project operators who renovates and refurbished their business premises.
- To encourage domestic travel, in conjunction with Visit Malaysia 2026, a special RM1,000 individual income tax relief will be granted for expenses incurred on admission fees to local tourist attractions and cultural programmes.
- An individual tax relief of RM2,500 currently for the expenditure on electric vehicle charging facilities and the purchase of food waste composting machine is extended to cover purchases of food waste grinder and closed circuit cameras (CCTV).
- A special 10% tax deduction, capped at RM10 million, for expenses related to the conversion of commercial properties to residential.
- Flat stamp duty of 4% to 8% on property transfers involving non-citizens and foreign companies, except permanent residents.
- Full stamp duty exemption on transfer and loan agreements for first homes (priced up to RM500,000) extended until December 2027.
- A RM2.3 billion allocation for the upgrading of the airports in Penang, Sabah and Sarawak which are to be completed in 2028.
- RM700 million allocated to elevate the tourism sector which includes RM500 million tourism promotion and activities for Visit Malaysia 2026 campaign.
- RM600 million investment by Khazanah for the conservation work at Carcosa Seri Negara and 6 blocks at Bangunan Sultan Abdul Samad complex.
- RM15 billion for Sumbangan Tunai Rahmah (STR) and Sumbangan Asas Rahmah (SARA) 2026.

2. 13th Malaysia Plan

The 13th Malaysia Plan (13MP) (2026-2030) with a theme of "Melakar Semula Pembangunan" was tabled by the Prime Minister Dato' Seri Anwar Ibrahim on 31st July 2025, outlining how the government plans to spend on the country's development for the next five years until 2030.

Some RM611 billion investments are planned under the 13MP, comprising federal development expenditure of RM430 billion, RM120 billion from government-linked companies and government-linked investment companies and RM61 billion from the public-private partnerships.

The main economic targets for 13MP include real GDP growth projected at 4.5%-5.5% (2026-2030), to become a high income country with a GNP per capita of RM77,200 by 2030 and to be among the top 30 largest world economies.

The 13MP also aims to increase the share of employee compensation in Malaysia's GDP to 40% by 2030. This ambitious target is part of a broader strategy to improve the livelihoods of Malaysians and address the issue of stagnant wages.

3. Budget 2025

Budget 2025 which was tabled on 18 October 2024 by the Prime Minister is Malaysia's largest budget ever at RM421 billion, of which RM335 billion (80%) are allocated for operating expenditures and the remaining RM86 billion (20%) was allocated for development expenditures.

Among the key allocations include:

- RM68.5 million for New Industrial Master Plan 2030 (NIMP 2030) Industrial Development Fund to encourage innovation of local companies through technology adoption, targeting creation of 3,000 smart factories by 2030.
- Allocation of RM24 million for promotion of e-commerce activities under MATRADE, MARA, and MDEC.
- RM107 million to construct and upgrade Pulau Indah Ring Road and Northport Klang
- RM400 million for Visit Malaysia 2026 campaign to elevate Malaysia as a preferred tourist destination in Asia.
- Allocation of RM305.9 million for National Energy Transition Facility fund to support energy transition projects towards achieving net-zero emission targets by 2050
- RM13 billion for Sumbangan Tunai Rahmah (STR) and Sumbangan Asas Rahmah (SARA).
- Raising minimum wage from RM1,500 per month to RM1,700 per month, effective 1 February 2025.
- Step-Up Financing Scheme (RM5.0 billion) under Skim Jaminan Kredit Perumahan (SJKP) to be introduced as a government guarantee specifically for youngsters seeking to purchase their first home with a reduced interest loan repayment term for the first 5 years.

4. New Industrial Master Plan 2030 (NIMP 2030)

The NIMP 2030 was unveiled on 1 September 2023 in a bid to bolster the nation's manufacturing sector, with ambitious microeconomic targets which include boosting the Gross Domestic Product (GDP) of the manufacturing sector by 6.5% annually.

The Government is committed to nurturing high-value and innovation-driven sectors such as Electrical & Electronics (IC design and wafer fabrication activities), Specialty Chemicals, Aerospace, Pharmaceutical, and Medical Devices. The Government also targets four (4) additional growth sectors such as Advanced Materials, Electric Vehicles (EV), Renewable Energy (RE), and Carbon Capture, Utilisation, and Storage (CCUS).

NIMP 2030 Goals	Outcomes	Measures	Baseline (2021)	Targets (2030)
Increase economic complexity	Sophistication in economic value-added	Value added for complex products or high tech manufacturing and services	8.1% (2020)	15%
	Regional innovation hub	Gross expenditure on R&D to GDP	1%	3.5% of GDP
Create high value job opportunities	High-skilled jobs	Number of jobs created	-	700,000 jobs from manufacturing and manufacturing related services
	Fair income	Manufacturing median wages	RM1,976	RM4,510
Extend domestic linkages	Internationally competitive SMEs	Share of small & medium enterprise (SME) exports within total exports	11.7%	25%
	Deepened local supply chain integration	Domestic value added in manufacturing. and services in gross exports	49% (2018)	65%
Develop new & existing clusters	Accelerated growth in existing core clusters	Global market share in high tech manufacturing exports	3%	6%
	Accelerated growth in emerging markets such as Fourth Industrial Revolution (4IR) and digital	Global market share in green and digital exports	2%	4%
Improve inclusivity	Catalysed sectoral and regional development through invastments	Total investments (Foreign Direct Investment (FDI) and Domestic Direct Investment (DDI) realised) as a share of state of GDP	Average 13%	25%
	High manufacturing value added participation by less developed States	Increasing manufacturing value added in less developed States	22%	30-35%
Enhance Environmental, Social, and Governance (ESG) practices	Derisked economy against ESG factors	Country ESG factors rating (Sustainalytics Index)	56.5 (Grade C)	75-100 (Grade A)
	Drive towards net-zero aspirations	Reduction in carbon emission intensity based on National Determined Contributions (NDC) goals	33%	45%

Source: Ministry of Investment, Trade and Industry (MITI)

5. National Energy Transition Roadmap (NETR)

The NETR was launched by the Ministry of Economy on 27th July 2023, to accelerate its energy transition to a green economy. It is a comprehensive strategic plan to steer the energy systems away from conventional, fossil-fuel-based sources and towards cleaner, more sustainable alternatives. The NETR aims to achieve net-zero emissions by 2050, outlining a gradual increase in RE shares, targeting 31% by 2025, 40% by 2035, and an impressive 70% by 2050.

The Ministry of Economy has also collaborated with the Ministry of National Resources, Environment and Climate Change (NRECC) to review and update existing policies on RE, leading to the following decisions:

- Increase the target for installed RE capacity from 40% in 2040 to 70% by 2050. The higher target is expected to generate new economic opportunities by attracting multinational companies, especially RE100 companies (companies that are committed to use 100% renewable power across their operations), to operate in Malaysia.

- Expand RE development based on the concept of a self-contained system to encourage investment in the RE value chain and diversify RE programmes according to the principle of willing buyer, willing seller.

- Allow cross-border RE trade through the establishment of an electricity exchange system.

6. Civil Servant Salary Adjustment

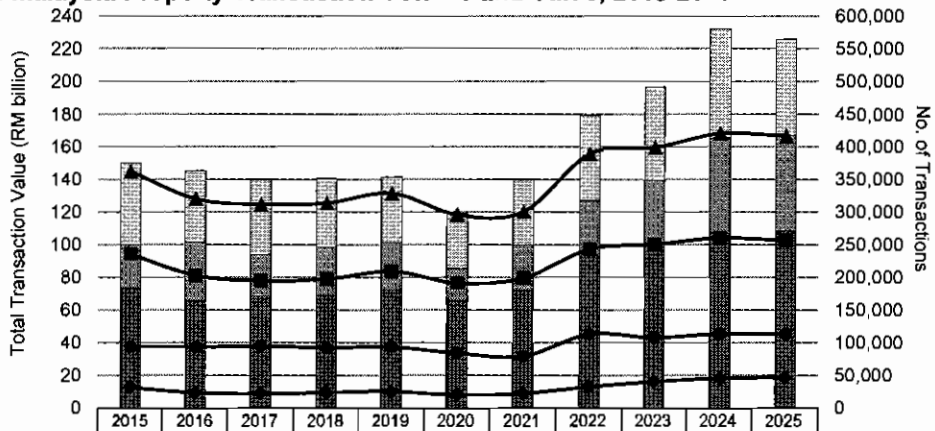
On 1st May 2024, the Prime Minister announced a salary increment for civil servants starting from 1st December 2024. The increase would involve an allocation of over RM10 billion. The salary adjustment will be implemented in phases, starting from 1st December 2024 for Phase 1 and from 1st January 2026 for Phase 2. The salary adjustment for the Implementing, Management and Professional groups will be 8% for Phase 1 and 7% for Phase 2, while the salary for the Top Management group will increase by 4% for Phase 1 and 3% for Phase 2. The salary increment not only enhances the standard of living for civil servants but is also anticipated to drive household spending and stimulate domestic tourism sector, particularly as it aligns with the upcoming Visit Malaysia 2026.

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2.5 Performance of the Real Estate Market

Chart 2.5.1 : Malaysia Property Transaction Volume and Value, 2015-2025



	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025
Others (Value)	50.0	43.9	45.9	42.1	40.0	33.7	40.0	52.2	57.6	67.3	56.9
Commercial (Value)	26.4	35.9	25.4	29.5	29.0	19.5	27.9	32.6	38.3	58.1	56.7
Residential (Value)	73.5	65.6	68.5	68.7	72.4	65.9	71.9	94.3	100.9	106.9	108.3
Residential (Volume)	235,967	203,064	194,684	197,385	209,295	191,354	198,812	243,190	250,586	260,516	256,512
Commercial (Volume)	31,776	23,745	22,162	23,936	25,654	20,255	22,428	32,809	40,463	45,985	46,649
Others (Volume)	94,362	93,616	94,978	92,389	93,698	84,359	79,257	113,108	107,959	114,044	113,252
Total (Volume)	362,105	320,425	311,824	313,710	328,647	295,968	300,497	389,107	399,008	420,545	416,413

Source: National Property Information Centre (NAPIC)

A total of 420,545 property transactions (all sectors) with a total transaction value of RM232.30 billion were recorded in Malaysia in 2024, the highest since 2015. Both the transaction volume and value in 2024 increased by 5% and 18% respectively compared with 399,008 transactions worth RM196.83 billion recorded in 2023. However in 2025, total transaction value dipped to 416,413 transactions. Between 2015-2025 period, the average number of transactions (all sectors) was recorded at 350,750 transactions, whilst the average transaction value was recorded at RM164.54 billion.

The residential sector remained the largest component between 2015-2025 period. In 2025, the transaction volume of the residential sector in Malaysia was 256,512 transactions, with a total transaction value of RM108.27 billion. The transaction volume in 2025 decreased by 1.5% compared with 260,516 transactions in 2024, whilst the transaction value in 2025 increased by 1.3% compared to RM106.92 billion recorded in 2024.

The transaction volume for the commercial sector increased by 1.4% from 45,985 transactions in 2024 to 46,649 transactions in 2025, whilst the transaction value increased by 1.1%, from RM58.06 billion in 2024 to RM58.70 billion in 2025.

2.6 Overview of the Retail Market

Malaysia's retail sector is a key contributor to the national economy. In 2025, Malaysia's wholesale and retail trade recorded strong growth, reaching a new high with annual sales of RM1.87 trillion, representing a 5.6% year-on-year increase from RM1.77 trillion in 2024. This growth was driven by robust consumer demand, increased tourism activity, and a stable economic environment. Retail trade expanded by 6.1% to RM811.5 billion, wholesale trade grew by 5.8% to RM827.4 billion, while the motor vehicle segment recorded a 3.2% increase to RM226.1 billion.

Over the past decade, Malaysia's retail landscape has evolved significantly, particularly in Kuala Lumpur and Selangor. Shopping malls in Malaysia have evolved from traditional retail and dining venues into comprehensive experiential destinations that cater to a broader demographic. Shopping malls are typically classified based on the format and market positioning, taking into account factors such as size, location, and tenant mix. The shopping malls are generally categorised into regional, premium, mass market and neighbourhood malls.

The completion of newer shopping malls has also established higher benchmarks for the retail sector. This new generation of malls incorporates enhanced features and amenities, including multi-purpose event halls, indoor sports courts, dedicated mobile applications, nursing and family room, and License Plate Recognition (LPR) parking systems. In addition, some malls have introduced autism-friendly initiatives, featuring dimmed lighting, reduced background music, priority parking, private quiet spaces, and textured walls for sensory stimulation, enhancing inclusivity and accessibility.

Consumer spending in Malaysia is primarily driven by food and beverages, fashion, electronics, health and beauty, and household goods. Urban centres such as Kuala Lumpur, Selangor, Penang, and Johor serve as major retail hubs, supported by high mall density and a strong presence of both local and international retailers.

E-commerce has grown rapidly in recent years, accelerated by high internet penetration, widespread smartphone usage, and improved digital payment infrastructure. Omnichannel strategies are increasingly important, with retailers integrating physical stores, online platforms, and last-mile delivery to meet evolving consumer expectations. Marketplaces, social commerce, and live-stream selling have also gained traction, particularly among younger consumers.

The Malaysian retail market is price-sensitive yet brand-conscious. Consumers tend to value promotions, loyalty programmes, and value-for-money offerings, while also showing rising interest in premium, halal-certified, sustainable, and health-focused products. Tourism, especially from regional visitors, plays a supportive role in certain retail segments such as luxury goods and duty-free shopping.

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On overall, Malaysia's retail sector remains resilient and competitive, offering growth opportunities for retailers that can adapt to digital transformation, changing consumer behaviour, and a dynamic economic environment. Shopping malls continue to play a central role in the retail landscape, functioning not only as retail destinations but also as lifestyle and entertainment centres. Retail growth is expected to continue to be driven by the food and beverage sector, while fashion retailers are likely to remain cautious with their expansion plans due to rapid growth of e-commerce.

2.7 Overview of the Hotel Market

The tourism industry is a major contributor to Malaysia's economy, contributing 15% of the country's gross domestic product (GDP) in 2023 and 2024. It is also a major source of foreign exchange for the country.

In 2024, Malaysia recorded 25.02 million tourist arrivals, a significant year-on-year (y-o-y) increase of 24% from 20.14 million arrivals in 2023. Although arrivals improved in 2024, they have yet to surpass pre-COVID levels. In contrast, tourist receipts reached an all-time high of RM102.2 billion in 2024, exceeding pre-pandemic levels.

In 2025, Malaysia recorded a total of 26.61 million tourist arrivals, which surpassed the pre-COVID levels (2019: 26.10 million) and represents a 6% increase from 2024.

Budget 2026 has allocated more than RM700 million to boost the tourism sector, of which RM500 million is dedicated to the promotions of Visit Malaysia 2026. The Visit Malaysia 2026 initiative is expected to attract a higher number of tourists to the country, supported with active promotions of the country, improved air connectivity with more direct international flights flying into KLIA, Penang, Kota Kinabalu and Senai airports and extended visa exemption for tourists from China and India. Through the Visit Malaysia Year (VMY 2026) the country aims to attract 47 million international visitors in 2026.

Hotel room supply in Malaysia grew to 349,580 rooms in 2025 from 343,866 rooms in 2024. The bulk of the hotel rooms are in Kuala Lumpur (19%) while 10% of the hotel rooms are in Selangor, 8% in Penang and 1% in Putrajaya.

The average overall hotel occupancy rate for Malaysia in 2025 was recorded at 56.8%, an improvement from 54.9% recorded in 2024. The hotels in Kuala Lumpur recorded the highest occupancy rate, at 66.9% while the average occupancy rate of hotels in Penang was above average at 58.6% and marginally lower for Putrajaya (56.0%) and Selangor (54.8%), for the same period.

The emerging supply of short-term rental (STR) properties has affected the hotel industry but the local authorities especially in major commercial centres are actively regulating the STR to provide fair competition to hotels.

Notwithstanding the above, the hotel industry has gained from the healthy tourism growth post pandemic. A substantial number of major hotel brands have made a debut in Malaysia in the last few years particularly in Kuala Lumpur such as Kimpton, Crowne Plaza, Hotel Indigo, Park Hyatt, Hyatt Regency, Hyatt Centric and Moxy, while international luxury brands such as Waldorf Astoria, The Regent, Conrad and SO Sofitel are expected to commence operations in Kuala Lumpur in 2026. Established hotel brands and operators such as Marriott International, The Ascott Limited, Hyatt Hotels, and IHG are actively expanding particularly in major commercial centres including Penang, Johor Bahru, Kuching by providing a greater variance of their brands to cater to a more diverse market segment from the millennials to business and luxury travelers. The presence of more global hotel brands in Malaysia reflects the confidence of the strong growth of the tourism industry and will position Malaysia, especially Kuala Lumpur as one the premier destinations in the region.

The diverse tourism offerings available in Malaysia from cities, islands, heritage and culture, eco-tourism, shopping, supported by growing business activities from investments and MICE has made Malaysia an attractive destination for both leisure and business travels, that support the demand for hotel.

2.8 Overview of the Office Market

The Malaysian office market is expected to remain a tenant-driven market, reflecting prolonged oversupply scenario, elevated vacancy levels, and cautious corporate expansion. The overall market conditions remain challenging and the performance has become increasingly divided. Modern, well-located Grade A offices with strong sustainability and connectivity attributes will be in better position to attract tenants, while older and less efficient stock faces persistent leasing pressure.

Due to the high vacancy rate, occupiers continue to have the upper hand in lease negotiations due to ample supply, ongoing rightsizing and relocation activities, and a strong "flight-to-quality" trend favouring new, modern and good quality office buildings over older stock.

Office demand is expected to be driven mainly by relocations and consolidation as office occupiers are rightsizing their space requirements in line with the current economic condition. The emerging trend of hybrid working practices has resulted in employers placing greater emphasis on workplace quality, employee experience, and sustainability. Flexible workspace such as co-working spaces continue to mushroom across major cities, driven by the rise of hybrid and flexible work arrangements, cost-conscious occupiers, and demand for short-term, scalable office solutions.

The Malaysian office market continues to face with a sizeable existing stock and incoming pipeline, particularly in Klang Valley. New office completions are largely concentrated in prime urban locations, particularly within Greater Kuala Lumpur. Developers are increasingly focusing on high-specification buildings that incorporate ESG features, green certifications, and flexible floorplates. At the same time, older office buildings are becoming less attractive, prompting asset enhancement initiatives, refurbishment programmes, or alternative use considerations to remain relevant in the market.

Rental performance across the market is largely stable, with limited growth prospect in the short-term. Prime offices have shown greater rental resilience, supported by sustained occupier interest and better building specifications. In contrast, ageing Prime and Secondary grade office buildings continue to face rental pressure and higher incentives as landlords compete to retain and attract tenants. In general, rental growth are expected to remain stable, with tenant incentives forming a key component of leasing negotiations.

3.0 SELANGOR ECONOMIC AND PROPERTY MARKET OVERVIEW

3.1 Economic Overview

Table 3.1 : Selangor Economic Overview

Key Indicators	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025
Real GDP at Constant 2015 Prices (RM million)	268,825	281,839	302,186	323,215	345,008	326,805	344,103	385,809	406,623	432,116	460,114
Real GDP Growth (%)	NA	4.8%	7.2%	7.0%	6.7%	-5.3%	5.3%	12.1%	5.4%	6.4%	6.3%
GDP per Capita at Current Prices (RM)	43,513	45,506	49,048	51,547	55,030	48,591	52,054	59,882	62,696	66,076	70,362
Real GDP by Economic Activity (%)											
Services	61.0%	61.7%	61.6%	62.0%	62.1%	61.2%	59.7%	60.8%	61 1%	81.1%	60.8%
Manufacturing	28.1%	27.9%	28.1%	28.2%	27.6%	29.1%	31.2%	30.4%	29.4%	29.1%	28.5%
Agriculture	1.5%	1.4%	1.4%	1.4%	1.4%	1.4%	1.4%	1.3%	1.1%	1.1%	1.1%
Others	9.4%	9.0%	8.9%	8.4%	8.7%	8 2%	7.6%	7.7%	8.4%	8.7%	9.6%
Employment											
Labour Force ('000 person)	3,212.9	3,325.0	3,457.5	3,546.3	3,592.9	3,761.5	3,809 6	3,853.0	3,967.6	4,083.4	4,129.3
Employed ('000 person)	3,135.0	3,217.6	3,359.4	3,446.7	3,489.5	3,593.3	3,641.0	3,706 5	3,858.9	3,990.2	4,048.2
Unemployment Rate (%)	2.4%	3.2%	2.8%	2.8%	2.9%	4.5%	4.4%	3.6%	2.7%	2.3%	2.00%
Monthly Household Income (RM)	NA	9,463	NA	NA	10,827	NA	NA	12,233	NA	13,296	NA
Population (person)	8,178,000	6,291,500	6,380,700	6,475,000	6,506,100	6,994,400	7,014,700	7,050,300	7,209,700	7,363,400	7,406,800
Male to Female Ratio	52:48	52:48	52:48	52:48	52:48	53:47	53:47	53:47	53:47	53:47	53:47
Ethnicity (%)											
Bumiputera	56.7%	59.0%	59.3%	59 7%	60.1%	60.6%	60.9%	61.2%	61.4%	61.6%	61.8%
Chinese	27.6%	27.4%	27.2%	26.9%	26.6%	27.3%	27.1%	26.9%	26.7%	26.5%	26.3%
Indian	12.9%	12.6%	12.7%	12.6%	12.4%	11.3%	11.2%	11.1%	11.1%	11.0%	11.0%
Others	0.8%	0.8%	0.8%	0.8%	0.9%	0.8%	0.8%	0.8%	0.8%	0.9%	0.9%
Age Structure											
Median Age	26.9	29.3	29.7	30.1	30.5	31.6	32.1	32.6	32.9	33.3	33.6
0-14 years	23.9%	23.7%	23.5%	23.4%	23.0%	22.2%	21.8%	21.5%	21.3%	20.9%	20.6%
15-64 years	71.7%	71.7%	71.7%	71.6%	71.8%	70.9%	71.0%	71.0%	71.0%	71.0%	71 0%
65 years and above	4.4%	4.6%	4.8%	5.0%	5.2%	6.9%	7.2%	7.5%	7.7%	8.1%	8.4%

NA - Not Available
Source: Department of Statistic Malaysia (DOSM), Bank Negara Malaysia (BNM)

Selangor remains as the main contributor to the national economy in 2025, contributing 26.4% of Malaysia's GDP (RM1,736.9 billion). In 2025, the state's GDP grew by 6.3% (2024: 6.4% and 2023: 5.4%) with a total GDP value of RM460.1 billion (2024: RM432.1 billion and 2023: RM406.6 billion). The state's economy is mainly driven by the Services sector (60.8%), followed by the Manufacturing sector (28.5%). Collectively, these two sectors contributed nearly 90% of the state's economy.

In 2025, the unemployment rate in Selangor was 2.0%. The labour force grew by 2.5% annually to 4.129 million in 2025 from 3.213 million in 2015, contributing approximately 24% of Malaysia's current total labour force.

The population in Selangor is projected to grow to 7,406,800 persons in 2025, increasing by 1.8% per year from 6,178,000 persons in 2015. The median age in Selangor in 2025 is 33.8 years old and it is noted that the elderly age group (65 years and above) represents 8.4% of the total population in 2025, doubled than 4.4% in 2015.

The average monthly household income increased from RM9,463 in 2016 to RM13,296 per month in 2024, registering a CAGR of 4.3%. The average monthly household income of Selangor is the third highest in the country, after Kuala Lumpur and Putrajaya.

3.2 State Government Policies and Initiatives

1. Selangor State Budget 2025

The Selangor State Government tabled its Budget 2025 on 15 November 2024 with a total allocation of RM3.0 billion, of which, RM1.7 billion or 56.7% is allocated for operating expenditure and RM1.3 billion or 43.3% is allocated for development expenditure. The Budget focuses on 5 core areas:

- Artificial Intelligence (AI) and education driving state economic development
- Supporting sustainable environment and quality infrastructure
- Cultivating a loving state
- Championing efficient governance and authority
- Setting up the culture economy and development of young generation

The allocation for development expenditure (RM1.3 billion) comprises:

- The infrastructure sector allocation at RM404.17 million, to support the guarantee for clean water supply, more efficient solid waste management, upgrading of roads and drainage to promote the Visit Selangor Year 2025 and preparations to organise Malaysia Games (SUKMA) 2026, etc.
- The allocation provided for social development amounting to RM354.08 million, emphasising on health and welfare programmes
- The allocation to help improve the people's economy and to develop the economic sector, amounting to RM380.7 million
- Education sector amounting to RM96.4 million
- The health sector allocation at RM40 million
- RM24.5 million allocated for rural development

2. Rancangan Selangor Pertama (RS-1)

Rancangan Selangor Pertama (RS-1) is a five-year development plan introduced by the Selangor State Government in July 2022, to set the strategic direction for the state from 2021 to 2025, aiming to make Selangor a smart, livable, and prosperous state by 2025.

A total of 25 focus areas or sectors, 51 strategies and 262 projects, programmes and initiatives have been identified that will form the main pillars of the four strategic themes of:

a) strengthening the economy
b) advancing sustainability
c) enhancing social inclusivity and well-being
d) smart and effective governance

Among the key targets during RS-1 period include a GDP growth between 6.5%-7.0%, annual investments between RM25 billion and RM35 billion in key and advanced sectors, creating between 3.5 to 3.8 million jobs, median household income of RM9,290 (2025), reducing absolute poverty to 0.7% and reducing Greenhouse gas emission intensity by 35% (relative to 2005 GDP levels).

3. Integrated Development Region in South Selangor (IDRISS)

IDRISS is a major initiative within the First Selangor Plan (RS-1), which outlined the state's development goals for 2021-2025, emphasizing economic growth, social well-being, environmental sustainability, and good governance. IDRISS is designed to drive economic growth in southern Selangor, focusing on new investment hubs and industrial zones.

The IDRISS project encompasses a total acreage of 40,000 acres, primarily within Sepang and Kuala Langat districts, with an estimated Gross Development Value (GDV) of RM 1 trillion. IDRISS will encompass various sectors, including industrial manufacturing, logistics, warehousing, ports, business, housing, tourism, and education. Among the projects planned within IDRISS include the development of Selangor Business Capital, Selangor Aero Park, NCT Smart Industrial Park, Carey Island Port, Carey Island Special Economic Zone, Sepang Gold Coast Global Village and other projects by private developers.

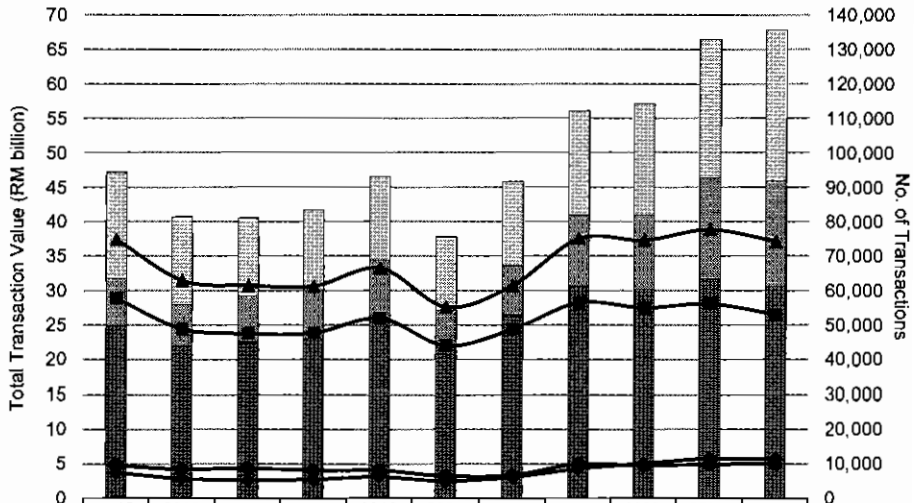
Five incentives to drive investments to IDRISS include a special premium scheme, interest-free instalment payments for development charges, tax exemptions for vacant land assessment, a 50% discount on the vacant building assessment tax and business licence fee exemption.

4. Malaysia Semiconductor Integrated Circuit (IC) Design Park

In October 2024, the Selangor Information Technology and Digital Economy Corporation (Sidec) inked a memorandum of understanding (MOU) with Cyberview Sdn Bhd to advance investment, ecosystem development, and industry growth for Phase 2 of the Integrated Circuit (IC) Design Park in Cyberjaya. This marks Selangor's second IC design park, following the launch of its first park at Puchong Financial Corporate Centre (PFCC) in August 2024, which was already at full capacity.

3.3 Performance of the Real Estate Market

Chart 3.3 : Selangor Property Transaction Volume and Value, 2015-2025



	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025
Others (Value)	15.4	12.8	11.3	11.7	12.1	10.7	12.3	15.2	16.2	20.1	21.9
Commercial (Value)	6.9	6.0	6.6	7.1	9.0	5.4	7.1	10.3	10.7	14.6	15.4
Residential (Value)	24.9	21.9	22.6	23.0	25.4	21.7	26.5	30.6	30.3	31.7	30.5
Residential (Volume)	57,627	48,879	47,551	47,715	51,981	44,034	48,755	56,514	55,035	56,167	52,998
Commercial (Volume)	7,472	5,601	5,154	5,431	6,394	4,779	6,021	8,654	10,110	11,642	11,252
Others (Volume)	9,606	8,479	8,795	8,120	8,173	6,473	6,731	9,967	9,481	9,904	9,999
Total (Volume)	74,905	62,959	61,500	61,266	66,548	55,286	61,507	75,135	74,626	77,713	74,249

Source: National Property Information Centre (NAPIC)

In 2025, Selangor recorded a total transaction volume of 74,249 transactions (all sectors) with a total transaction value of RM67.84 billion, a 4% decline in volume and 2% increases in value, from 77,713 transactions worth of RM66.43 billion recorded in 2024.

Between 2015-2025 period, the average number of transactions (all sectors) in Selangor was recorded at 67,790 transactions per year, whilst the average transaction value was recorded at RM49.79 billion per year.

In 2025, the transaction volume of the residential sector in Selangor was 52,998 transactions, with a total transaction value of RM30.53 billion. The transaction volume in 2025 decreased by 6% compared with 56,167 transactions in 2024, whilst the transaction value in 2025 decreased by 4% compared to RM31.68 billion recorded in 2024.

Between 2015-2025 period, the average number of transactions for the residential sector in Selangor was recorded at 51,587 transactions per year, whilst the average transaction value was recorded at RM26.28 billion per year.

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The transaction volume for the commercial sector in 2025 was recorded at 11,252 transactions, a 3% decline than 11,642 transactions recorded in 2024. Meanwhile, the transaction value for the commercial sector in 2025 was RM15.36 billion, 5% higher than RM14.62 billion recorded in 2024.

Between 2015-2025 period, the average number of transactions for the commercial sector in Selangor was recorded at 7,501 transactions per year, whilst the average transaction value was recorded at RM9.01 billion per year.

Jones Lang Wootton

Proprietor Singham Sulaiman Sdn. Bhd.
Registration No.: 198101012067

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4.0 KUALA LUMPUR ECONOMIC AND PROPERTY MARKET OVERVIEW

4.1 Economic Overview

Table 4.1 : Kuala Lumpur Economic Overview

Key Indicators	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025
Real GDP at Constant 2015 Prices (RM million)	180,865	191,641	206,175	220,359	233,794	217,447	219,884	241,185	250,267	251,947	265,104
Real GDP Growth (%)	NA	6.0%	7.6%	6.9%	8.1%	-7.0%	1.1%	9.7%	3.8%	6.2%	5.20%
GDP per Capita at Current Prices (RM)	97,080	103,506	113,358	121,509	129,677	106,985	112,164	127,182	131,165	137,389	144,898
Real GDP by Economic Activity (%)											
Services	88.3%	66.1%	87.4%	87.8%	67.6%	89.3%	90.0%	91.4%	92.4%	91.7%	91.7%
Manufacturing	3.1%	3.0%	2.8%	2.7%	2.6%	2.8%	2.7%	2.6%	2.6%	2.7%	2.6%
Agriculture	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA
Others	8.6%	8.9%	9.8%	9.5%	9.6%	8.1%	7.2%	6.0%	5.0%	5.6%	5.7%
Employment											
Labour Force ('000 person)	862.6	655.4	871.4	844.9	863.4	1,049.5	1,040.7	1,060.3	1,111.7	1,184.7	1,198.0
Employed ('000 person)	853.4	627.2	844.3	824.4	841	1,008.4	992.5	1,019.7	1,077.9	1,153.5	1,166.4
Unemployment Rate (%)	3.3%	3.3%	3.1%	2.4%	2.6%	4.1%	4.6%	3.8%	3.0%	2.6%	2.6%
Monthly Household Income (RM)	NA	11,692	NA	NA	13,257	NA	NA	13,325	NA	13,985	NA
Population (person)	1,760,400	1,789,700	1,793,200	1,790,000	1,782,500	1,982,100	1,964,000	1,961,200	2,005,700	2,067,500	2,074,100
Male to Female Ratio	51:49	51:49	51:49	51:49	51:49	53:47	53:47	53:47	53:47	54:46	54:46
Ethnicity (%)											
Bumiputera	46.4%	46.7%	46.8%	46.6%	46.5%	47.7%	47.9%	48.2%	46.5%	46.8%	46.9%
Chinese	42.5%	42.3%	42.2%	42.4%	42.4%	41.8%	41.4%	41.1%	40.9%	40.6%	40.4%
Indian	10.0%	9.8%	9.6%	9.8%	9.6%	10.0%	10.0%	10.0%	9.9%	9.8%	9.8%
Others	1.1%	1.2%	1.2%	1.2%	1.3%	0.7%	0.7%	0.7%	0.7%	0.8%	0.9%
Age Structure											
Median Age	31.1	31.4	31.8	32.3	32.9	33.6	34.1	34.5	35	35.3	36.1
0-14 years	21.0%	20.8%	20.8%	20.3%	19.8%	20.0%	19.5%	18.9%	18.2%	17.4%	16.8%
15-64 years	73.1%	73.0%	73.0%	72.9%	73.2%	73.4%	73.8%	74.3%	75.0%	75.9%	76.1%
65 years and above	5.9%	6.2%	6.4%	6.8%	7.2%	6.6%	6.7%	6.8%	6.8%	6.7%	7.1%

NA - Not Available
Source: Department of Statistic Malaysia (DOSM), Bank Negara Malaysia (BNM)

In 2025, Kuala Lumpur was the second largest contributor to the national GDP with 15.3% share. Kuala Lumpur recorded a GDP growth of 5.2% (2024: 6.2% and 2023: 3.8%) with a GDP value of RM265.1 billion (2024: RM251.9 billion and 2023: RM250.3 billion). The Services sector dominated the economy with a 91.7% share, supported by the Wholesale & retail trade, food & beverage and accommodation as well as the Finance, insurance, real estate & business services subsector.

In 2025, the unemployment rate in Kuala Lumpur was 2.6%, lower than Malaysia's unemployment rate of 3.0%. The labour force grew by 3.1% annually to 1.198 million in 2025 from 0.883 million in 2015, contributing approximately 7% of Malaysia's current total labour force.

The population in Kuala Lumpur is projected to grow by 1.5% annually to 2,074,100 persons in 2025 from 1,780,400 persons in 2015. The median age as at 2025 is 36.1 years old and the majority of the age group is between 15-64 years old, whilst the elderly age group (65 years and above) contributed 7.1% of the total population, compared with 5.9% in 2015.

The monthly household income increased from RM11,692 in 2016 to RM13,985 per month in 2024, registering a CAGR of 2.3%. The monthly household income of Kuala Lumpur is the highest in the country.

4.2 State Government Policies and Initiatives

5. Dewan Bandaraya Kuala Lumpur (DBKL) Budget 2025

Dewan Bandaraya Kuala Lumpur (DBKL) tabled its Budget 2025 on 19 December 2024, themed "Kuala Lumpur Lestari, Warga Kota Sejahtera". The city hall has allocated a total of RM2.8 billion, of which RM2.20 billion (77.5%) was allocated for management / operating expenditure and RM0.64 billion (22.5%) was allocated for development expenditure.

Among the allocation include flood mitigation programmes (RM89.1 million), traffic congestion and safety management programmes (RM178.7 million), low carbon programme (RM57.6 million) and business sustainability programme (RM26.9 million). The city hall also allocated RM21.8 million for ASEAN chairmanship and Visit Malaysia Year 2026 agendas.

6. Kuala Lumpur Structure Plan 2040 (KLSP2040)

The Kuala Lumpur Structure Plan 2040 (KLSP2040) aims to transform Kuala Lumpur into a "City for All" by focusing on six key goals: being Innovative and Productive, Inclusive and Equitable, Healthy and Vibrant, Climate Smart and Low Carbon, having Efficient and Environmentally Friendly Mobility, and being an Integrated and Sustainable Development.

7. Kuala Lumpur Local Plan 2040 (PTKL2040)

PTKL2040 will serve as the main guide for the physical development of Kuala Lumpur over the next 15 years. This plan was gazetted on 28 May 2025 and was officially launched by the Prime Minister on 24 June 2025.

Under the plan, KL will introduce a new plot ratio incentive such as incentive for redevelopment, land lot amalgamation, transit-oriented projects, and those that incorporate affordable housing. The plan also caps the plot ratio for city centre commercial areas at 1:10, while main commercial, commerce, and mixed-use zones will be limited to a maximum of 1:8.

8. Kuala Lumpur Smart City Master Plan (2021-2025)

Kuala Lumpur Smart City Master Plan (2021-2025) is one of Dewan Bandaraya Kuala Lumpur (DBKL) initiatives to better understand and implement smart and emerging technology solutions that would improve City service delivery for its broad community of residents, businesses, and visitors.

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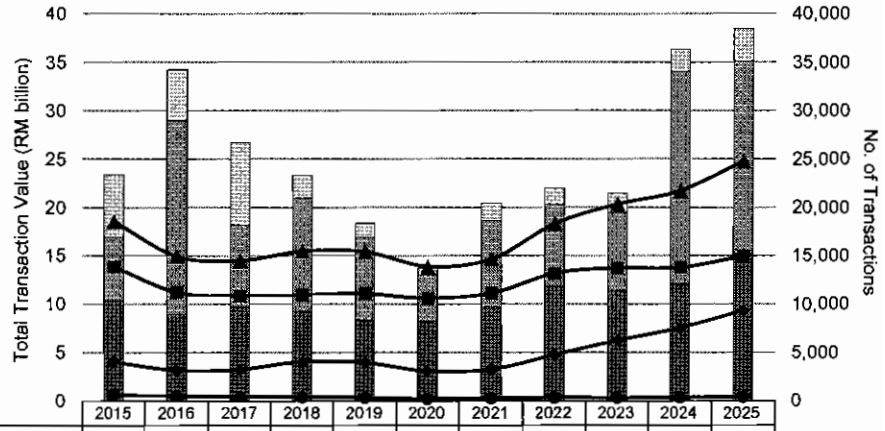
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The strategic framework is based on the following outcomes:

- Smart economy - utilising digital technology and intelligent approach to lead to a prosper economy
- Smart living - aimed at making life more efficient, more controllable, economical, productive, integrated and sustainable
- Smart environment - efficient and effective use of the resource within the environment
- Smart people - to improve dwellers' standard of living by adopting ICT
- Smart government - sustainable government and administrative actions in the age of the Internet of Things and the Internet of Services
- Smart mobility - to deliver effective, equitable, safe and secure public transport systems
- Smart digital infrastructure - utilise collaborative arrangement with all other relevant government agencies, private sectors and interested parties that are the stakeholders of digital infrastructure development

4.3 Performance of the Real Estate Market

Chart 4.3 : Kuala Lumpur Property Transaction Volume and Value, 2015-2025



	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025
Others (Value)	6.4	5.3	6.5	2.3	1.5	0.7	1.8	1.7	2.0	2.3	3.4
Commercial (Value)	6.6	20.0	8.5	11.7	6.6	4.8	6.9	8.5	8.1	22.0	19.9
Residential (Value)	10.3	9.0	9.7	9.3	8.3	8.2	9.7	11.8	11.4	12.0	15.2
Residential (Volume)	13,899	11,252	10,656	10,983	11,100	10,606	11,129	13,182	13,752	13,781	14,983
Commercial (Volume)	4,061	3,188	3,238	4,079	3,974	3,072	3,251	4,777	6,253	7,545	9,369
Others (Volume)	614	512	412	426	353	209	272	353	339	381	438
Total (Volume)	18,574	14,950	14,506	15,488	15,427	13,887	14,652	18,312	20,344	21,707	24,790

Source: National Property Information Centre (NAPIC)

Kuala Lumpur recorded a total transaction volume of 24,790 transactions (all sectors) with a total transaction value of RM38.50 billion in 2024, a 14% increase in volume and 6% increase in value, from 21,707 transactions worth of RM36.33 billion recorded in 2024.

Between 2015-2025 period, the average number of transactions (all sectors) was recorded at 17,512 transactions per year, whilst the average transaction value was recorded at RM25.30 billion per year.

The transaction volume of the residential sector in Kuala Lumpur in 2025 was 14,983 transactions, with a total transaction value of RM15.21 billion. The transaction volume in 2025 increased by 9% compared with 13,781 transactions in 2024, whilst the transaction value in 2025 increased by 26% compared to RM12.04 billion recorded in 2024.

Between 2015-2025 period, the average number of transactions for the residential sector was recorded at 12,320 transactions per year, whilst the average transaction value was recorded at RM10.45 billion per year.

In 2025, the transaction volume for the commercial sector in Kuala Lumpur was recorded at 9,369 transactions, 24% higher than 7,545 transactions recorded in 2024. Meanwhile, the transaction value for the commercial sector in 2025 was RM19.89 billion, lower than RM21.97 billion recorded in 2024.

Between 2015-2025 period, the average number of transactions for the commercial sector was recorded at 4,800 transactions per year, whilst the average transaction value was recorded at RM11.59 billion per year.

Jones Lang Wootton

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Independent Property Market Report for a Portfolio of 9 Properties Located in Kuala Lumpur, Putrajaya, Puchong and Penang

5.0 PUTRAJAYA ECONOMIC AND PROPERTY MARKET OVERVIEW

5.1 Economic Overview

Table 5.1 : Putrajaya Economic Overview

Key Indicators	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025
Real GDP at Constant 2015 Prices (RM million)	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA
Real GDP Growth (%)	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA
GDP per Capita at Current Prices (RM)	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA
Real GDP by Economic Activity (%)	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA
Services	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA
Manufacturing	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA
Agriculture	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA
Others	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA
Employment											
Labour Force ('000 person)	38.9	38.9	38.6	38.9	36.6	50.5	53.9	55 8	58.6	80.2	62.0
Employed ('000 person)	38.5	38.2	38	38.4	38.1	49.7	53	55 1	58.1	59.6	61.3
Unemployment Rate (%)	1.0%	1.7%	1.5%	1.3%	1.2%	1.5%	1.6%	1.3%	0.9%	1.1%	1.1%
Monthly Household Income (RM)	NA	11,555	NA	NA	12,840	NA	NA	13,473	NA	13,848	NA
Population (person)	83,000	64,400	87,500	97,200	103,700	109,200	115,200	117,000	118,800	120,300	120,800
Male to Female Ratio	46:54	47:53	47:53	47:53	47:53	49:51	49:51	49:51	49:51	49:51	49:51
Ethnicity (%)											
Bumiputera	97.8%	97.8%	97.8%	97.7%	97.8%	97.9%	98.0%	98.0%	96.0%	98.0%	98.0%
Chinese	0.7%	0.7%	0.6%	0.6%	0.6%	0.6%	0.6%	0.6%	0.6%	0.6%	0.5%
Indian	1.4%	1.4%	1.5%	1.6%	1.6%	1.2%	1.2%	1.2%	1.2%	1.2%	1.2%
Others	0.1%	0.1%	0.1%	0.1%	0.1%	0.2%	0.2%	0.2%	0.2%	0.2%	0.3%
Age Structure											
Median Age	26.3	26.1	25.6	24.7	24.9	27.4	27.5	27.5	27.6	27.7	27.6
0-14 years	37.4%	38.0%	38.3%	36.4%	35.0%	38.0%	37.5%	37.1%	36.1%	34.7%	33.3%
15-64 years	61.6%	60.9%	60.5%	62.1%	63.4%	60.6%	61.0%	61.3%	62.2%	63.4%	64.7%
65 years and above	1.0%	1.1%	1.2%	1.5%	1.6%	1.4%	1.5%	1.6%	1.7%	1.9%	2.0%

NA - Not Available
GDP figures for Putrajaya is not available
Source: Department of Statistic Malaysia (DOSM), Bank Negara Malaysia (BNM)

The unemployment rate in Putrajaya was generally stable at 1.1% in 2025 (2024: 1.1%). The labour force increased marginally by 4.8% annually to 0.062 million in 2025 from 0.039 million in 2015, contributing approximately 0.4% of Malaysia's total labour force in 2025.

The population in Putrajaya is projected to grow by 3.8% annually to 120,800 persons in 2025 from 83,000 persons in 2015. The median age as at 2025 is 27.6 years old and the younger age group (0-14 years) represents 33.3% of the total population in 2024.

The monthly household income increased from RM11,555 in 2016 to RM13,846 per month in 2024, registering a CAGR of 2.3%. The monthly household income of Putrajaya is the second highest in the country, after Kuala Lumpur.

5.2 State Government Policies and Initiatives

9. Rancangan Struktur Putrajaya 2025

Vision: Sustainable Putrajaya 2025 – From Garden to Green (transforming Putrajaya into a sustainable, livable, and economically vibrant city).

Eight (8) policies:

i) Elevating Putrajaya as an Excellent Federal Government Administrative Centre
ii) Building a Progressive and Diverse Urban Economy
iii) Strengthening Tourism as Key Economic Function
iv) Enhancing Community Living Environment
v) Moving Putrajaya Towards Green City
vi) Implementation Integrated Transportation System
vii) Employing Adaptable and Responsive Land Use Management
viii) Adopting Effective Partnership and Good Governance

10. Pelan Strategik Perbadanan Putrajaya 2021-2025

Vision: Putrajaya Bandaraya Pentadbiran Mampan Bertaraf Dunia (Putrajaya, A World Class Sustainable Administrative City)

Six (6) objectives have been provided as follows:

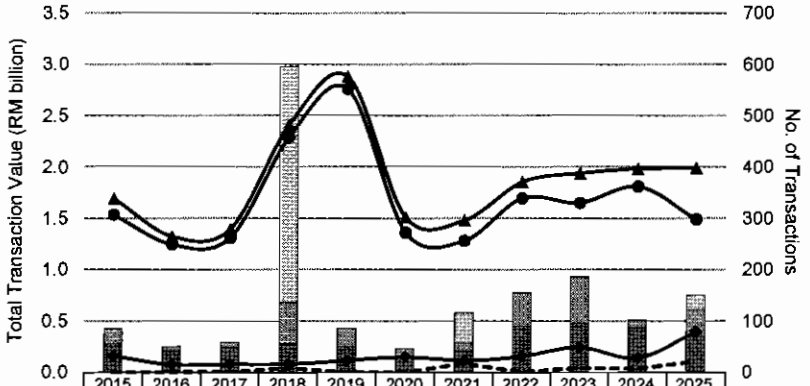
i) Empowering Governance Towards Organisational Excellence
ii) Promoting And Strengthening A Conducive Environment
   - National and international recognition of lakes and wetlands
iii) Boosting A World-Class Tourism Industry
   - Pesta Sukan Air Putrajaya
   - Putrajaya International Hot Air Balloon Fiesta
   - Putrajaya Challenge Park Adrenaline Fest
   - Digital Putrajaya Exhibition Conference (DIPEC)
iv) Empowering The Well-Being of The People
   - Development of Affordable Housing (RMM) that is conducive and livable
v) Maintaining Planned, Balanced and Resilient Development
   - Green Building Recognition
   - Empowering Information Technology Network
vi) Providing Excellent Municipal Services

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5.3 Performance of the Real Estate Market

Chart 5.3 : Putrajaya Property Transaction Volume and Value, 2015-2025



	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025
Others (Value)	0.0	0.0	0.0	2.3	0.0	0.0	0.3	0.0	0.0	0.0	0.1
Commercial (Value)	0.1	0.0	0.1	0.4	0.2	0.1	0.1	0.3	0.4	0.1	0.3
Residential (Value)	0.3	0.2	0.2	0.3	0.2	0.2	0.2	0.5	0.5	0.4	0.3
Residential (Volume)	307	249	262	458	552	272	256	339	330	362	298
Commercial (Volume)	32	15	16	16	23	30	23	31	49	28	79
Others (Volume)	0	1	1	8	1	0	17	1	9	7	21
Total (Volume)	339	265	279	482	576	302	296	371	388	397	398

Source: National Property Information Centre (NAPIC)

Putrajaya registered a total transaction volume of 398 transactions (all sectors) in 2025, a marginal increase of 0.3% compared with 397 transactions recorded in 2024. The total transaction value in 2025 increased by 47% to RM0.75 billion compared with RM0.51 billion recorded in 2024.

Between 2015-2025 period, the average number of transactions (all sectors) in Putrajaya was recorded at 372 transactions per year, whilst the average transaction value was recorded at RM0.74 billion per year.

The transaction volume for the residential sector in 2025 was recorded at 298 transactions, 18% lower than 362 transactions recorded in 2024. However, the transaction value in 2025 was recorded at RM0.35 billion, lower than RM0.43 billion recorded in 2024.

Between 2015-2025 period, the average number of transactions for the residential sector in Putrajaya was recorded at 335 transactions per year, whilst the average transaction value was recorded at RM0.30 billion per year.

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In 2025, a total of 79 transactions were recorded within the commercial sector, higher than 28 transactions recorded in 2024. Meanwhile, the transaction value for the commercial sector in 2025 was RM0.26 billion, higher than RM0.08 billion recorded in 2024.

Between 2015-2025 period, the average number of transactions for the commercial sector in Putrajaya was recorded at 31 transactions per year, whilst the average transaction value was recorded at RM0.19 billion per year.

6.0 PENANG ECONOMIC AND PROPERTY MARKET OVERVIEW

6.1 Economic Overview

Table 6.1 : Penang Economic Overview

Key Indicators	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025
Real GDP at Constant 2015 Prices (RM million)	78,146	82,493	86,768	91,234	94,645	92,691	99,124	112,355	115,952	121,496	130,283
Real GDP Growth (%)	NA	5.6%	5.2%	5.1%	3.7%	-2.1%	6.9%	13.3%	3.2%	4.8%	7.3%
GDP per Capita at Current Prices (RM)	46,020	48,633	51,130	52,921	55,202	55,783	59,934	69,779	72,532	76,107	80,584
Real GDP by Economic Activity (%)											
Services	49.8%	49.9%	50.1%	50.6%	51.4%	49.6%	47.5%	46.8%	48.0%	48.1%	46.7%
Manufacturing	43%	42.9%	43.1%	43.2%	42.8%	44.9%	47.2%	48.2%	46.5%	46.1%	47.3%
Agriculture	2.7%	2.4%	2.3%	2.2%	2.2%	2.2%	2.0%	1.9%	1.9%	1.8%	1.7%
Others	4.5%	4.8%	4.4%	4.0%	3.6%	3.3%	3.3%	3.1%	3.6%	4.0%	4.3%
Employment											
Labour Force ('000 person)	848.1	845.5	841.1	849.4	852.3	668.6	686.3	895.6	926.2	950.2	954.0
Employed ('000 person)	634.2	827.4	823.8	830.6	835.6	836	654.3	871	905.6	931.2	935.9
Unemployment Rate (%)	1.6%	2.1%	2.1%	2.2%	2.0%	3.6%	3.6%	2.7%	2.2%	2.0%	1.9%
Monthly Household Income (RM)	NA	6,771	NA	NA	7,774	NA	NA	8,267	NA	9,152	NA
Population (person)	1,698,100	1,717,700	1,744,100	1,762,800	1,768,600	1,740,400	1,740,000	1,740,900	1,772,600	1,800,400	1,803,300
Male to Female Ratio	50:50	50:50	50:50	50:50	50:50	51:49	51:49	51:49	51:49	51:49	51:49
Ethnicity (%)											
Bumiputera	45.1%	45.3%	45.7%	46.3%	46.7%	44.7%	45.0%	45.2%	45.6%	45.9%	46.2%
Chinese	44.1%	43.9%	43.6%	43.1%	42.7%	44.9%	44.7%	44.5%	44.2%	43.9%	43.7%
Indian	10.5%	10.5%	10.4%	10.3%	10.3%	9.7%	9.7%	9.7%	9.6%	9.6%	9.5%
Others	0.3%	0.3%	0.3%	0.3%	0.3%	0.6%	0.6%	0.6%	0.6%	0.6%	0.6%
Age Structure											
Median Age	31.0	31.2	31.8	31.8	32.2	31.8	32.3	32.7	32.9	33.2	33.6
0-14 years	20.5%	20.1%	19.7%	19.4%	18.9%	20.1%	19.7%	19.3%	19.0%	18.7%	18.4%
15-64 years	71.9%	72.1%	72.2%	72.3%	72.5%	73.3%	73.2%	73.3%	73.3%	73.3%	73.2%
65 years and above	7.6%	7.8%	8.1%	8.3%	8.6%	6.6%	7.1%	7.4%	7.7%	8.0%	8.4%

NA - Not Available
Source: Department of Statistic Malaysia (DOSM), Bank Negara Malaysia (BNM)

In 2025, Penang contributed 7.5% to the national GDP, ranked fifth after Selangor, Kuala Lumpur, Johor and Sarawak. Penang recorded a GDP growth of 7.3% (2024: 4.8% and 2023: 3.2%) with a GDP value of RM130.2 billion (2024: RM121.5 billion and 2023: RM116.0 billion). The Services and Manufacturing sectors continued to dominate the state's economy with contribution share of 46.7% and 47.3% respectively.

In 2025, the unemployment rate in Penang was 1.9%, lower than 3.0% recorded by the country. The labour force grew marginally by 1.2% annually to 0.954 million in 2025 from 0.848 million in 2015, contributing approximately 5.6% of Malaysia's total labour force in 2025.

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The population grew marginally by 0.6% annually to 1,803,300 persons in 2025 from 1,698,100 persons in 2015. The median age as at 2025 is 33.6 years old and the majority of the age group is between 15-64 years old, whilst the elderly age group (65 years and above) contributed 8.4% of the total population, compared with 7.6% in 2015.

The monthly household income increased from RM6,771 in 2016 to RM9,152 per month in 2024, registering a CAGR of 3.8%. The monthly household income of Penang is slightly lower than the national's average of RM9,155.

6.2 State Government Policies and Initiatives

1. Penang Budget 2025

The Penang state government tabled its Budget 2025 on 22 November 2024, amounting to RM940.2 million, which is slightly lower than RM1.047 billion allocated under Budget 2024. Of the total, RM220 million will go to development projects, including those under the Penang Transport Master Plan, the Silicon Island reclamation project, and road and civil-related works surrounding the Penang International Airport expansion.

The state government aimed to collect RM906.6 million in revenue for 2025, a 70% increase from RM533.1 million revenue collected in 2024. Considering the estimated state revenue and estimated expenditure, the state's Budget 2025 records the lowest deficit in the state's history at RM33.6 million

2. Penang Transport Master Plan (PTMP)

The Penang Transport Master Plan (PTMP) is a strategic initiative by the Penang state government aimed at creating an integrated transportation system for the state. The plan was developed between 2012 and 2015 and has a 20-year timeline. PTMP covers both land and sea, comprising various transportation systems and services such as an elevated light rail transit (LRT) line, bus rapid transit (BRT), tram, taxi, e-hailing, ferry and water taxi.

Among the key projects under PTMP are:

- Mutiara Line LRT is a 29.5 km rail line with a total of 21 stations that connects key areas on Penang Island and the mainland, including Komtar, Penang Sentral, and the Penang South Reclamation Island. The project is estimated to cost under RM16 billion, which includes a 5 km bridge that will link the island to Penang Sentral in Butterworth.

- The Pan Island Link 1 (PIL1) project is a proposed 19.5 km highway to connect the northern (Gurney Drive) and southern parts (Bayan Lepas) of the island. Although the project has been approved and an environmental impact assessment has been conducted, the funding is still being reviewed by the Federal Government.

- The Ayer Itam – Lebuh Raya Tun Dr Lim Chong Eu Bypass is the first project under PTMP to take off. Early works on the Ayer Itam – Lebuh Raya Tun Dr Lim Chong Eu Bypass (Package 2) began in 2020, followed by construction in February 2021 and the 6 km four-lane toll-free road is targeted to be completed in 2026.

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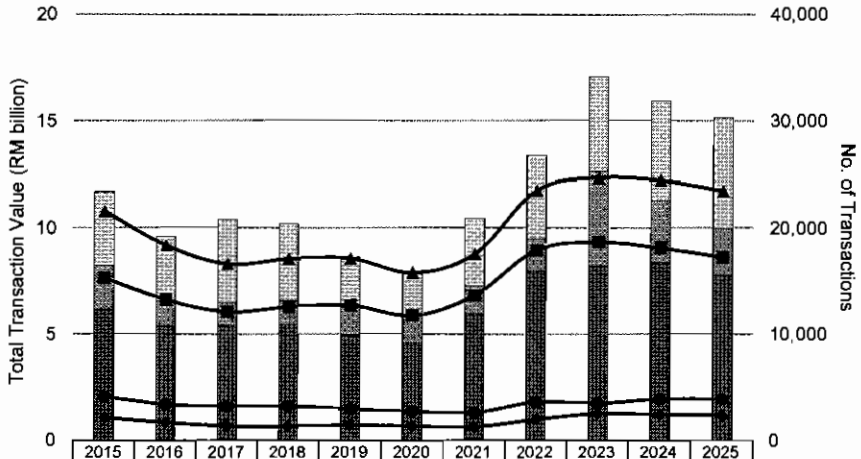
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3. Expansion of Penang International Airport

Another key project in Penang state is the expansion of Penang International Airport (PIA) by Malaysia Airports Holdings Berhad. The expansion is estimated to cost approximately RM1.55 billion and is expected to double the annual handling capacity from 6.5 million to 12 million passengers. The expansion project is expected to be completed in June 2028.

6.3 Performance of the Real Estate Market

Chart 6.3 : Penang Property Transaction Volume and Value, 2015-2025



	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025
Others (Value)	3.5	3.0	3.9	3.6	2.4	1.9	3.2	3 9	4.4	4.7	5.2
Commercial (Value)	2.1	1.2	1.0	1.1	1.3	1.3	1.3	1 5	4.4	2.9	2.2
Residential (Value)	6.2	5.4	5.4	5.5	5.0	4.6	6.0	8 0	8.2	8.4	7.8
Residential (Volume)	15,291	13,244	12,090	12,551	12,718	11,736	13,648	17,892	18,663	18,122	17,228
Commercial (Volume)	2,140	1,696	1,344	1,304	1,448	1,324	1,269	1,973	2,522	2,416	2,367
Others (Volume)	4,124	3,412	3,156	3,232	2,952	2,712	2,609	3,616	3,498	3,890	3,879
Total (Volume)	21,555	18,352	16,592	17,087	17,118	15,772	17,526	23,481	24,683	24,428	23,474

Source: National Property Information Centre (NAPIC)

Penang recorded a total transaction volume (all sectors) of 23,474 transactions in 2025, lower by 4% compared with 24,428 transactions recorded in 2024. The total transaction value reduced by 5% to RM15.13 billion in 2025 compared with RM15.92 billion in 2024.

Between 2015-2025 period, the average number of transactions (all sectors) in Penang was recorded at 20,006 transactions per year, whilst the average transaction value was recorded at RM11.84 billion per year.

The residential sector recorded a total of 17,228 transactions in 2025, a 5% reduction from 18,122 transactions in 2024. Meanwhile, the transaction value decreased by 7% to RM7.79 billion in 2025 compared with RM8.37 billion recorded in 2024.

Between 2015-2025 period, the average number of transactions for the residential sector in Penang was recorded at 14,835 transactions per year, whilst the average transaction value was recorded at RM6.39 billion per year.

The transaction volume for the commercial sector in 2025 was recorded at 2,367 transactions, 2% lower than 2,416 transactions recorded in 2024. Meanwhile, the transaction value for the commercial sector in 2024 was RM2.17 billion, 25% lower than RM2.90 billion recorded in 2024.

Between 2015-2025 period, the average number of transactions for the commercial sector in Penang was recorded at 1,800 transactions per year, whilst the average transaction value was recorded at RM1.85 billion per year.

7.0 KLANG VALLEY RETAIL MARKET

7.1 Definition

The geographical distribution of retail malls supply is principally located in **Kuala Lumpur City (KLC)** and **Outside Kuala Lumpur City (OKLC)**. The subject property (i.e. retail mall) is within OKLC, Southern III region in Putrajaya, Cyberjaya (PJY- CJY).

Area	Region	Zone	Locations Covered
KLC	City Centre	KLCC	KLCC, Jalan Tun Razak (south), Jalan Ampang, Jalan Raja Chulan
		BB/IMBI-PUDU	Bukit Bintang, TRX
		D.WGI-TAR	Dang Wangi, Munshi Abdullah, Jalan TAR, Masjid India, Jalan Sultan Ismail (north)
		C.KIT-KG BARU	Chow Kit, Kampung Baru, Jalan Raja Laut, Jalan Tun Razak (north)
		CHN.TWN	Petaling Street, Jalan Tun Tan Cheng Lock
	Central	BAN/PAN	Bangsar, Mid Valley, KL Sentral, Bangsar South, Kerinchi
		DH-M.KIARA	Mont Kiara, Damansara Heights, Bukit Tunku, Sri Hartamas, TTDI
	Northern	KPG-B.S.DMSR	Kepong, Bandar Menjalara, Desa Park City, Bandar Sri Damansara
		JLN S.A.S-SGMT	Jalan Sultan Azlan Shah (south), Jalan Dutamas, Segambut
	Eastern	A. HLR	Ampang Hilir, U-Thant area
		COCH-MALURI	Jalan Cochrane, Taman Maluri, Taman Miharja, Taman Shamelin
		W. MAJU-STPK	Wangsa Maju, Setiawangsa, Setapak, Desa Melawati, Taman Melawati, Taman Melati
		KRMT-SMRK	Keramat, Jalan Jelatek, Semarak
	Southern I	CHERAS (N)	Chan Sow Lin, Bandar Sri Permaisuri, Bukit Segar, Taman Connaught
		B. JALIL-OUG	Sri Petaling, Bukit Jalil, Old Klang Road, Taman OUG, Taman Desa

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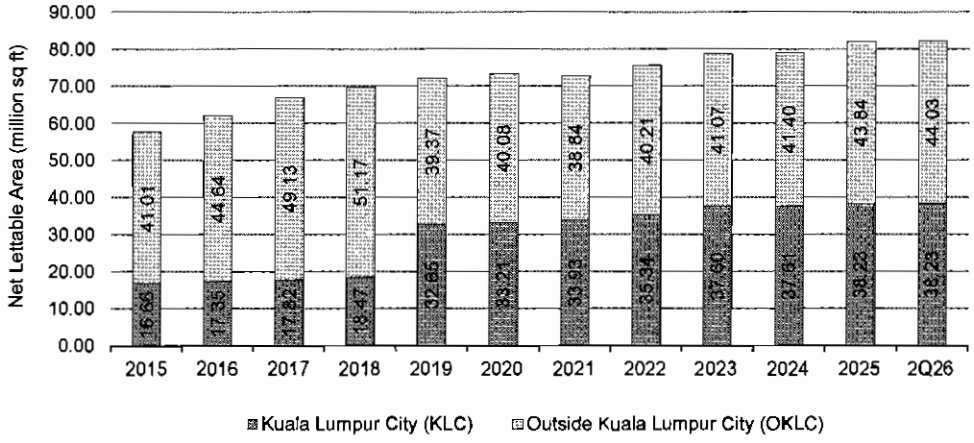
Area	Region	Zone	Areas Covered
OKLC	Northern	SLYG-SG BULOH	Selayang, Gombak, Jalan Sultan Azlan Shah (north), Sg Buloh
		RAWANG	Rawang
		P. ALM	Puncak Alam, Ijok, Kuala Selangor
	Eastern	AMP JAYA-P. IND	Jalan Ampang East, Pandan Indah, Bandar Baru Ampang
	Southern II	CHERAS (S)	Bandar Tun Hussein Onn, Bandar Mahkota Cheras, Balakong
		S. KMBG-SRDG	Seri Kembangan, Serdang, Mines
		PUCHONG	Puchong, Bandar Kinrara
	Southern III	BG-KJG	Bangi, Semenyih, Kajang
		PJY-CJY	Putrajaya, Cyberjaya
		JT	Jenjarom, Banting, Telok Panglima Garang, Kota Kemuning
		SP	Sepang, Kota Warisan
	Western I	PJ	Petaling Jaya (Seksyen 1 - Seksyen 52; SS1 - SS26)
		BU-DMSR	Bandar Utama, Mutiara Damansara, Damansara Uptown, Kota Damansara
		GLEN-A. DMSR	Glenmarie, Ara Damansara
		SJ/USJ-SUNW	USJ, Subang Jaya, Bandar Sunway
	Western II	SA	Shah Alam, Batu 3, Bukit Jelutong
		SETIA ALAM-KLG	Setia Alam, Klang and Port Klang
		K. DMSR	Kwasa Damansara, Subang Bestari

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7.2 Existing Supply

Chart 7.2 : Cumulative Supply of Retail Supply in the Klang Valley, 2015-2Q26



2Q26: 2nd quarter 2026 (April - June 2026)
Note: Supply in KLC from 2015 to 2018 refer to City Centre location only.
*This study is tailored to exclude hypermarket
Source: JLW Research

Klang Valley's retail supply has generally been on an upward trend, increasing from 57.67 million sq. ft. in 2015 to 82.26 million sq. ft. in 2nd quarter of 2026 (2Q26), reflecting a CAGR of 3.4%, or an average annual supply of 2.34 million sq. ft. per annum (over 10.5 years).

As of 2Q26, the total existing supply in the KLC area reached 38.23 million sq. ft., an increase from 32.65 million sq. ft. in 2019, registering a CAGR of 2.5% or an average annual supply of 0.86 million sq. ft. per annum. Between 2015 and 2Q26, several prominent retail malls were completed in the KLC area including IKEA Cheras, Pavilion Elite (extension of Pavilion Kuala Lumpur), KL Eco City, Sunway Velocity, MyTOWN Shopping Centre, Melawati Mall, Pavilion Damansara Heights, LaLaport Mall Bukit Bintang, Pavilion Bukit Jalil and The Exchange TRX Mall.

The total existing supply in the OKLC area has increased from 39.37 million sq. ft. in 2019 to 44.03 million sq. ft. in 2Q26, registering a CAGR of 1.7%, or an average annual supply of 0.72 million sq. ft. during this period. Prominent retail malls completed in the OKLC area between 2015 and 2Q26 include The Starling Damansara, Central i-City, IOI Mall Damansara (formerly known as Tropicana Gardens Mall), Elmina Lakeside Mall, IOI City Mall Phase 2, 168 Park Mall Selayang, KIP Mall Desa Coalfields, Hextar World, and Sunway Square.

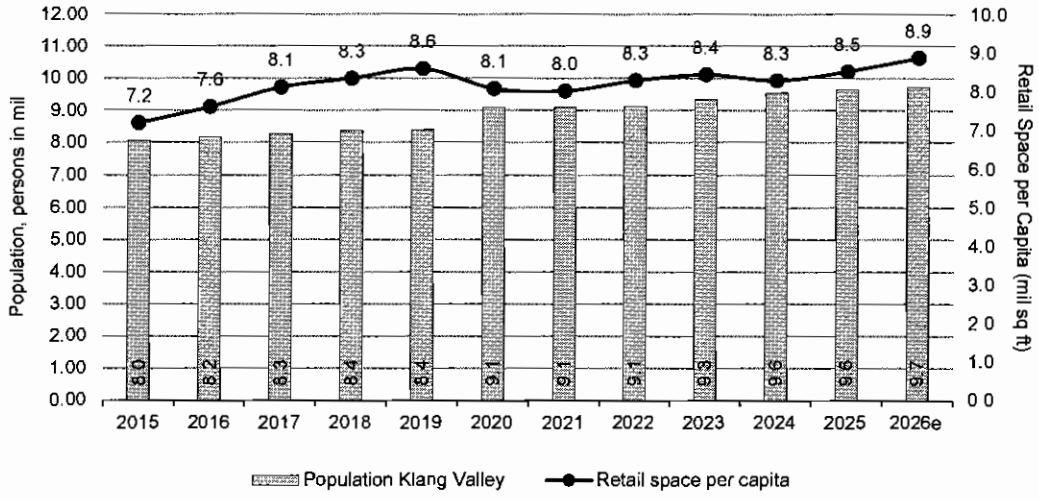
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The majority of the existing retail malls in Klang Valley are located in the Western I region (23% or 18.75 million sq. ft.), followed by the City Centre (19% or 15.68 million sq. ft.), Western II (11% or 8.77 million sq. ft.), Southern II (10% or 8.63 million sq. ft.), Central (10% or 8.09 million sq. ft.), and Eastern (9% or 7.50 million sq. ft.). Collectively, these areas represent 82% of the total existing supply in Klang Valley. Within the Southern III region, there are only few prominent retail centres but none of which is in direct competition with IOI City Mall.

7.3 Population and Retail Space Per Capita

Chart 7.3 : Retail Space Per Capita



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Source: Department of Statistics, JLW Research

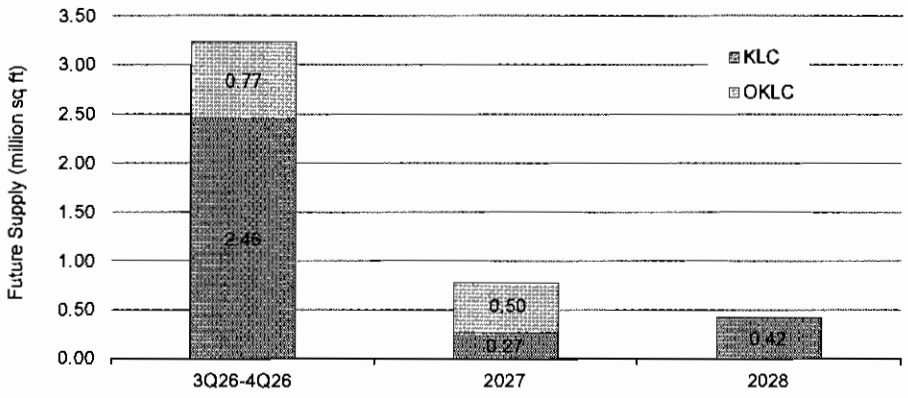
Klang Valley has experienced dynamic growth in both its retail supply and population over the last decade. However, the large supply of retail space in the market, coupled with slow population growth, has created a mismatch between these two factors, resulting in an unbalanced and significant shift in retail space per capita.

From 2015 to 2025, retail space per capita expanded from 7.2 sq. ft. to 8.5 sq. ft. Significant developments have substantially increased the retail space in Klang Valley. For instance, in 2019, the completion of Tropicana Gardens Mall (now known as IOI Mall Damansara), with an NLA of 1.05 million sq. ft., significantly widened the gap in retail space per capita. Other retail malls completed between 2015 and 2025 include Sunway Velocity Mall (1.00 million sq. ft. NLA, completed in 2016), MyTOWN Shopping Centre (1.10 million sq. ft. NLA, completed in 2017), Pavilion Bukit Jalil (1.80 million sq. ft. NLA, completed in 2021), IOI City Mall Phase 2 (1.10 million sq. ft. NLA, completed in 2022), The Exchange TRX Mall (1.35 million sq. ft. NLA, completed in 2023), and Hextar World (1.37 million sq. ft, completed in 2025).

This mismatch is expected to widen in 2026, with projections indicating a further increase in retail space per capita, particularly in the KLC area. This is primarily due to intense competition amid slow population growth in the already densely populated KLC. With several notable future developments in the pipeline such as KL Midtown and Merdeka 118, the retail space per capita in the KLC area is anticipated to expand further once the developments are completed. In contrast, the OKLC area is expected to see a moderation in retail space per capita, supported by a larger catchment area with steady population growth and limited new supply. By the end of 2026, retail space per capita is estimated to reach 8.9 sq. ft. driven by the addition of new retail supply.

7.4 Future Supply

Chart 7.4 : Future Supply of Retail Space in Klang Valley



Source: JLW Research

A total of 3.232 million sq. ft. NLA (12 retail malls) is projected to be completed between 3Q26 and 4Q26 in Klang Valley. Of this, 76% or 2.46 million sq. ft. will be located in the KLC area, and the remaining 24% or 0.77 million sq. ft. will be located in the OKLC area. Some of the prominent retail malls expected to be completed in 2026 include 118 Mall (808,080 sq. ft.) in the City Centre region, Ombak KLCC (420,000 sq. ft.) in the City Centre region and KL Midtown (500,000 sq. ft.) in the Central region.

Another 0.77 million sq. ft. (4 retail malls) is expected to be completed in 2027. The majority (65% or 0.50 million sq. ft. / 2 retail malls) will be located in the OKLC area, while the remaining 35% or 0.27 million sq. ft. (2 retail malls) will be located in the KLC area. A prominent retail mall expected to be completed in 2027 is Sunway Pier (400,000 sq. ft.) in the Western II region.

In 2028, approximately 0.42 million sq. ft. (1 retail mall) are scheduled to be completed in Klang Valley, which will be located in KLC area, particularly in the Northern region, namely DA Central Mall (420,000 sq. ft.).

Majority of the future supply are neighbourhood and mass market malls with a total NLA of below 650,000 sq. ft. Only one premium mall is being built which is located in the KL City Centre.

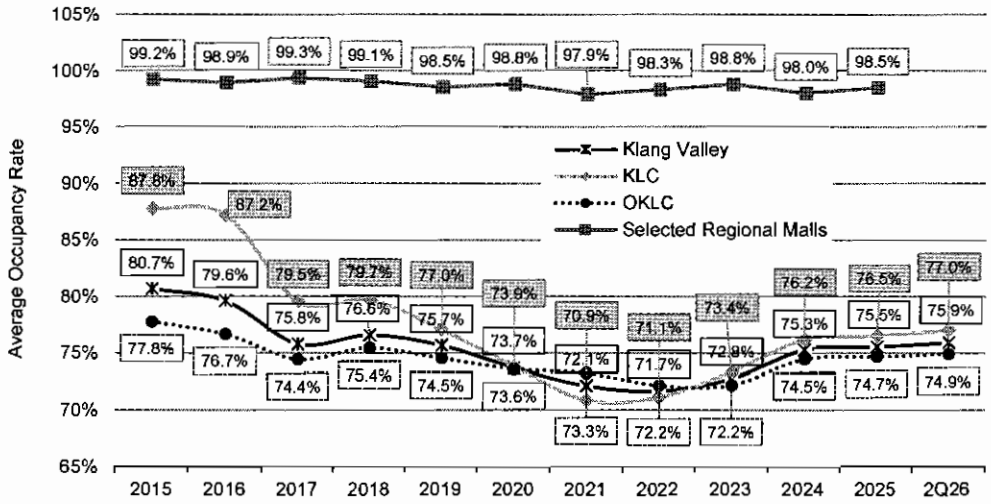
Table 7.4 : List of Selected Future Retail Supply in the Klang Valley

Expected Completion	Area	Project	Location	Type and Target Market	Estimated NLA (million sq ft)
2026 (3 232 million sq ft)	KLC	Ombak KLCC	Persiaran KLCC, City Centre	▪ Mass market mall ▪ Office workers, residents, tourists	0.42
	KLC	KL Midtown	Jalan Dutamas 2, Central	▪ Neighbourhood mall ▪ Residents, office workers, hotel guests	0.37
	KLC	118 Mall	Jalan Maharajalela, City Centre	▪ Premium mall ▪ Tourists, office workers, residents	0.81
	OKLC	TERRA @ Putrajaya	Precinct 8, Southern III	▪ Neighbourhood mall ▪ Residents, office workers, hotel guests	0.16
	OKLC	Coalfields Retail Park	Bandar Seri Coalfield, Northern	▪ Neighbourhood mall ▪ Residents	0.37
2027 (0.774 million sq ft)	OKLC	Sunway Pier	Port Klang	▪ Lifestyle mall ▪ Tourists	0.40
	OKLC	Southplace 2 Shoppes	Tropicana Metropark, Western I	▪ Neighbourhood mall ▪ Residents	0.10
2028 (0.42 million sq ft)	KLC	DA Central Mall	Bandar Sri Damansara, Northern	▪ Neighbourhood mall ▪ Residents, office workers	0.42

Source: JLW Research

7.5 Demand

Chart 7.5 : Average Occupancy Rates in the Klang Valley, 2015-2Q26



Note: Supply in KLC from 2015 to 2018 refer to City Centre location only.
Selected regional malls refer to Sunway Pyramid and Mid Valley Megamall based on Annual REIT Reports.
Average occupancy rate is not available in 2Q26 for Selected Regional Malls.
Source: JLW Research, Sunway REIT, IGB REIT

The average occupancy rate for retail malls in Klang Valley generally fluctuated between 2015 and 2Q26. From 2015 to 2022, the occupancy rate exhibited a downward trend, reducing from 80.7% in 2015 to 71.7% in 2022. However, the Klang Valley retail market has shown signs of recovery post-pandemic, with occupancy improving to 72.8% in 2023 and further increased to 75.9% in 2Q26. Notably in 2Q26 the average occupancy rate for Klang Valley retail malls have surpassed the pre-COVID level recorded in 2019. The OKLC retail centres, particularly within the few regional malls including IOI City Mall are well supported by resilient demand from the large existing and growing surrounding population catchment, when compared with retail centres in the KLC which cater mainly to transient population, consisting of office workers and tourists. Selected regional Prime shopping malls in Klang Valley, such as Sunway Pyramid and Mid Valley Megamall continue to maintain strong performance recording near-full occupancy, averaging at 99% between 2015 and 2025.

In general, the downward trend in occupancy rates in Klang Valley was primarily due to a mismatch between supply and demand dynamics. Additionally, the global COVID-19 pandemic in 2020 and 2021 further worsened occupancy rates due to the mandated closure of non-essential businesses imposed by the government to curb the spread of the virus. Although movement restrictions were fully lifted in 2022, business continued to struggle as shoppers and consumers remained cautious with their spending, having lost sources of income during the pandemic. Recovery began in 2023, as evidenced by the rise in the occupancy rates, with gradual improvement continuing into 2Q26.

The aftereffects of the COVID-19 movement restrictions also accelerated the shift towards online shopping, contributing to the surge in the e-commerce sector. This trend persisted post-pandemic due to its convenience and time-saving benefits, which in turn slowed the growth of occupancy rates in the Klang Valley.

7.5.1 Factors Influencing Retail Demand

- Steady population growth in Klang Valley contributed to a steady consumer demand. According to DOSM, the population in Klang Valley increased from approximately 8.0 million in 2015 to 9.6 million in 2025, reflecting a CAGR of 2%. By 2035, the population is expected to reach 10.3 million. While demographic growth will be the main driver for retail demand, the growth in retail space supply has outpaced the demographic growth, particularly in certain areas which has affected the average overall retail occupancy rate.

- Stable employment rate in Klang Valley, providing a strong foundation for consumer spending. In 2025, Klang Valley's employment rate improved to 97.7% compared with 97.4% in 2015. The stability of the employment market supports the household income levels and purchasing power, which will drive the retail market.

- A steady increase in median household income which will result in higher disposable income. The rise in disposable income enhances purchasing power, enabling consumers to spend more on goods and services such as dining, leisure activities, travel, and retail products.

- Government-led initiatives to boost household spending have also played a significant role in supporting retail activity. These include the disbursement of targeted financial aid programmes such as *Sumbangan Tunai Rahmah* (STR) and *Sumbangan Asas Rahmah* (SARA), alongside the gradual increase in the Nation's minimum wage. Such measures are designed to mitigate the rising cost of living and stimulate domestic consumption, which collectively reinforces retail demand.

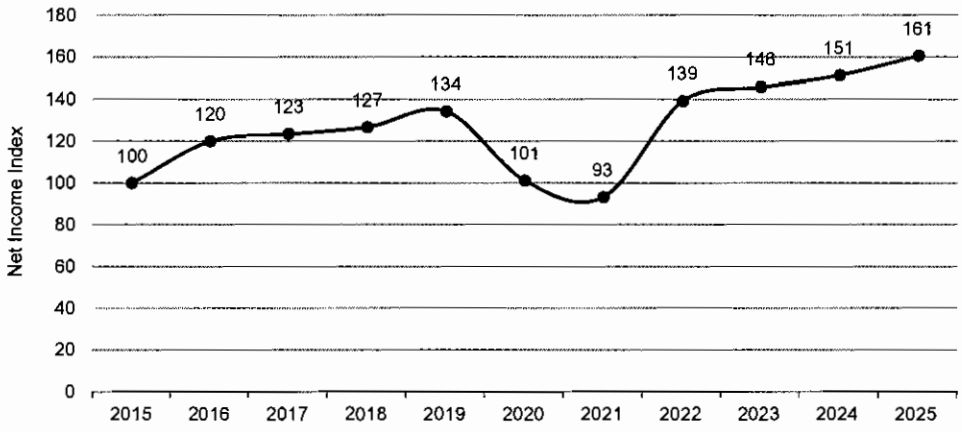
- The increasing number of mixed-use developments, which typically comprise shopping malls, offices, residential units, and hotels, are designed to thrive within their own integrated ecosystem. These developments foster a self-sustaining environment, where the various components of residents, workers, and visitors create ready demand for retail and services. The combination of a mixed-use development has significantly spurred retail demand and enhanced footfall in these areas.

- Continued investment in the tourism sector is expected to further stimulate retail spending. A total of RM700 million has been allocated to boost the tourism sector under Budget 2026, of which RM500 million is designated for the Visit Malaysia Year 2026 campaign. These efforts are aimed at attracting higher tourist arrivals and increasing visitor expenditure. In 2024, tourist receipts amounted to RM102.23, representing a 43.4% increase from RM71.31 billion in 2023. Shopping and accommodation have consistently accounted for the largest share of tourist expenditure, underscoring the sector's importance to retail growth.

- Complementing these structural and policy drivers, Malaysia hosts its largest annual retail event, the Malaysia Mega Sale Carnival, organised by Tourism Malaysia and held between June and July each year. This nationwide initiative is designed to stimulate both domestic and international tourism, while boosting retail spending across key sectors. The campaign features extensive promotions, including discounts, rewards programmes, and cultural experiences that span shopping, hospitality, wellness, entertainment, and air travel. Participating retailers typically experience a notable increase in sales volumes during the campaign period, supported by heightened consumer activity and tourism-driven demand.

7.6 Index Rental Rates

Chart 7.6 : Net Property Income Index (NPI) (2015 = 100) of Selected Malls in KLC



Selected malls in KLC refer to Elite Pavilion Mall, Mid Valley Megamall, Pavilion Kuala Lumpur Mall, Sunway Pyramid, Suria KLCC and The Gardens Mall
Data for 2026 is not available
Source: IGB REIT Annual Reports, KLCC REIT Annual Reports, Pavilion REIT Annual Reports, Sunway REIT Annual Reports

Based on the rental of six prime retail malls in KLC, the net property income index (NPI) showed a consistent upward trend, from 100 index points in 2015 to 134 index points in 2019, before plummeting to 101 and 93 index points in 2020 and 2021 respectively. The sharp decline was primarily due to the COVID-19 pandemic, which led to a significant drop in physical footfall and sales which has resulted in landlords providing rental rebates to tenants during this period.

A significant recovery was recorded in 2022, as the NPI rebounded to exceed pre-pandemic levels following the reopening of the economy and return of physical shoppers. The positive momentum continued through 2024, with the index reaching its highest level of 161 index points in 2025.

7.7 Retail Transactions

Table 7.7 : Selected Transactions of Retail Mall in the Klang Valley

Year	Area	Retail Malls / Type	Location	Net Lettable Area (sq ft)	Transacted Prices	
					RM million	RM psf
2026	KLC	Setapak Central Neighbourhood mall	Taman Danau Kota Eastern	514,777	435	845
2025	OKLC	Jaya Shopping Centre, Neighbourhood mall	Seksyen 14, Petaling Jaya, Western I	264,979	100	373
	OKLC	KIP Mall Desa Coalfields, Neighbourhood mall	Desa Coalfields, Northern	153,282	62	404
	OKLC	Paradigm Mall, Neighbourhood mall	Petaling Jaya, Western I	680,048	600	882
	OKLC	Bukit Tinggi Shopping Centre, Regional mall	Bandar Bukit Tinggi, Klang Western II	1,000,950	680	679
2024	OKLC	Tropicana Gardens (now known as IOI Mall Damansara) Neighbourhood mall	Persiaran Surian, Tropicana Indah, Western I	1,051,107	680	647
	OKLC	DPULZE Retail Centre, Neighbourhood mall	Cyber 12, Cyberjaya, Southern III	311,499	320	1,027
	OKLC	Plaza Alam Sentral Mall Neighbourhood mall	Seksyen 14, Shah Alam, Western II	438,934	178	406
	KLC	163 Kiara (now known as Sunway 163) Neighbourhood mall	Jalan Kiara, Mont Kiara, Central	255,535	215	841
2023	OKLC	KIP Mall Kota Warisan Neighbourhood mall	Kota Warisan, Sepang, Southern III	186,080	80	430
2022	OKLC	Pavilion Bukit Jalil Mall Regional mall	Bandar Bukit Jalil, Southern I	1,800,000	2,200	1,222

Source: JPPH, Bursa Malaysia, JLW Research

One retail mall, Setapak Central, was transacted in 2Q26 for RM435 million or RM845 per sq. ft.. Four notable retail malls in the Klang Valley were transacted in 2025, including Jaya Shopping Centre, KIP Mall Desa Coalfields, Paradigm Mall and Bukit Tinggi Shopping Centre, with a total combined value of RM1,442 million. In comparison, four retail malls were transacted in 2024, with a total combined value of RM1,393 million. These included Tropicana Gardens (now known as IOI Mall Damansara), DPULZE Retail Centre, Plaza Alam Sentral Mall, and 163 Kiara (now known as Sunway 163 Mall).

In 2023, one retail mall was transacted, KIP Mall Kota Warisan in Sepang, for RM80 million, or RM430 per sq. ft.

7.8 Klang Valley Retail Market Outlook

Malaysia's GDP expanded by 5.2% in 2025 compared with 5.2% in 2024 and 3.6% recorded in 2023, underpinned by steady performances in the Services, Manufacturing, and Construction sectors. The economic growth was also supported by positive consumer and business sentiment, boosted by domestic spending during festive celebrations, travel activities, and ongoing construction projects.

Global economic uncertainty, driven by heightened geopolitical tensions and tariff hikes by the USA, is expected to affect global trade. This will contribute to uncertainty in global economic growth, impacting both business and consumer sentiment.

Shoppers and consumers are expected to be cautious due to the potential rise in prices for goods and services, stemming from the expansion of the "sales and service tax", increased electricity tariffs, and subsidy rationalisation of the RON95 petrol price. As a result, shoppers will likely prioritise essential goods and services, trimming spending on less essential items.

Retail growth is expected to continue to be driven by the food and beverage sector, while fashion retailers are likely to remain cautious with their expansion plans due to rapid growth of e-commerce. To attract sustained foot traffic, retail mall management will need to be creative and keep up with trends, particularly among the younger generation. Many retail malls have incorporated education and leisure elements, such as pickleball courts, indoor kids' playgrounds, swimming classes, cycling studios, arts and crafts, and indoor theme parks, to provide a unique retail experience and entice shoppers back to physical malls. Community, event spaces and social gathering spots are also positioned in the retail centres to encourage footfall and longer time spent in the retail centres.

Several retail malls are expected to be completed in the next two years, which will further intensify competition to secure healthy occupancy rates and sustain retail footfall. Within the suburbs, the proliferation of small lifestyle retail parks offering dining and leisure with attractive concepts has also begun to cannibalise neighbourhood retail malls. A significant number of serviced residence developments are also incorporating retail spaces within their podium floors to cater to the convenience needs of residents.

With a wide variety of retail spaces available in the market, ranging from traditional shop houses to lifestyle retail venues and community centres, owners and management, especially of older retail malls, are undertaking asset enhancement initiatives and revitalising tenant mixes to strengthen their appeal and market presence. Retailers are also refreshing their outlets by adopting new designs that offer a refreshed look and retail experience, aiming to entice shoppers back to physical stores.

As consumers are cautious with their spending, retailers will have to "attractively" price their goods, to persuade consumers to spend. With large retail spaces available in the market, cautious shopper spending and retailers' expansion plans, retail rental growth will be confined towards selected established retail malls with limited vacant space.

A stable lending rate by BNM is expected to support the country's growth momentum. The low cost of borrowing will result in higher households' purchasing power which will support steady household spending. Supported by a resilient labour market, a healthy tourism industry especially with the visa free for up to 30 days per visit, with a maximum cumulative stay of 90 days within any 180 days, for tourists from China, is expected to continue to support retail growth.

Impact arising from the Middle East Crisis

The ongoing Middle East (US - Iran) crisis which began at the end of February 2026 is expected to contribute to a volatile global economy including Malaysia. The crisis which has affected global oil supply has resulted in a surge in oil prices which has led to inflationary pressures. The Malaysia government currently mitigates the higher price of goods arising from the Middle East conflict through a combination of targeted subsidies, price controls and supply chain diversification.

However, a prolonged crisis may result in a heightened inflationary risk, potentially leading to increase cost of doing business and reduced consumer spending. With reduced purchasing power households are likely to prioritise essential spending over discretionary items such as fashion, electronics, and luxury goods.

The Visit Malaysia Year 2026 campaign has been extended to 2027, focusing on promoting Malaysia to the high yielding tourists, as well as, domestic tourism. The campaign is expected to support retail activity by boosting domestic consumption and foreign tourists spending in Malaysia. Tourists from the ASEAN region and China have consistently been Malaysia's largest source of tourist arrivals over the past decade. Furthermore, the favourable currency exchange, well-developed urban infrastructure, and Malaysia's reputation as a halal-friendly destination have helped sustain tourists' confidence to visit and spend in Malaysia.

8.0 KLANG VALLEY HOTEL MARKET

8.1 Definition

The hotel room supply comprises all classes of hotels and primarily covers hotels of 100 rooms and above.

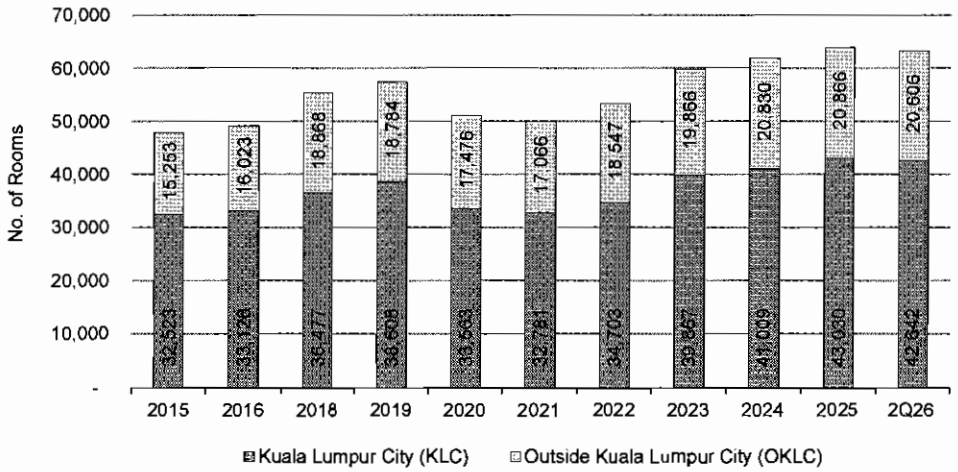
The Klang Valley hotel market is divided into two principal areas : **Kuala Lumpur City (KLC)** and **Outside Kuala Lumpur City (OKLC)**. The coverage areas are tabulated below. One of the subject properties is located within the KLC, Golden Triangle (GT) while four of the subject properties are within the OKLC, in Putrajaya (PJY) and Other Areas (OTH), in Puchong.

Area	Locality	Locations Covered
KLC	Golden Triangle (GT)	Kuala Lumpur City Centre (KLCC), Jalan Ampang, Jalan Tun Razak (south), Jalan Sultan Ismail (south), Jalan Bukit Bintang, Jalan Raja Chulan, Tun Razak Exchange (TRX)
	Central Business District (CBD)	Dang Wangi, Munshi Abdullah, Jalan TAR, Masjid India, Jalan Raja Laut, Jalan Sultan Ismail (north), Petaling Street, Jalan Tun Tan Cheng Lock, Jalan Pudu, Jalan Hang Tuah
	Decentralised Area (DC)	Kampung Baru, Jalan Tun Razak North, Sungai Besi, Cheras, Kampung Pandan, Ampang Hilir, Jalan Sultan Azlan Shah (south), Jalan Dutamas, Segambut, Mont Kiara and Duta/Bukit Tunku area, Taman Tun Dr Ismail (TTDI)
	Damansara Heights (DH)	Jalan Damanlela, Jalan Dungun, Jalan Semantan, Bukit Damansara
	Bangsar/Pantai (BAN/PAN)	Bangsar, Mid Valley, KL Sentral, Bangsar South, Kerinchi
OKLC	Petaling Jaya (PJ)	PJ Town, Bandar Utama, Mutiara Damansara, Damansara Uptown, Bandar Sunway, Kelana Jaya, Damansara Perdana
	Subang Jaya (SJ)	USJ, Subang Jaya, Ara Damansara
	Shah Alam (SA)	Shah Alam, i-City, Setia Alam, Glenmarie,
	Klang (KLG)	Klang, Bandar Bukit Tinggi
	Other Areas (OTH)	Seri Kembangan, Puchong, Kajang, Bangi, Kuala Langat, Kota Warisan, KLIA, Kuala Langat
	Cyberjaya (CJY)	Cyberjaya
	Putrajaya (PJY)	Putrajaya, IOI Resort City

Source: JLW Research

8.2 Existing Supply

Chart 8.2 : Cumulative Supply of Hotel Rooms in the Klang Valley, 2015-2Q26



2Q26: 2nd quarter 2026 (April -June 2026)
Source: JLW Research

The Klang Valley hotel market has seen steady growth since 2015, registering a compounded annual growth rate (CAGR) of 2.7% or an average annual supply of 1,473 rooms per annum (10.5 years). The total existing supply in the Klang Valley increased to 63,248 rooms in 2Q26 from 47,776 rooms in 2015. Among the prominent hotels that we completed during the period were The Four Seasons Kuala Lumpur, W Hotel Kuala Lumpur, Banyan Tree Kuala Lumpur, EQ Kuala Lumpur, Renaissance Kuala Lumpur, Indigo Kuala Lumpur, Crowne Plaza Kuala Lumpur, Kimpton Naluria Kuala Lumpur all in the GT, Park Hyatt in CBD, Hyatt Regency KL Midtown in DC, Le Méridien Putrajaya in PJY, Sheraton PJ and Le Méridien Petaling Jaya in PJ and Doubletree by Hilton Shah Alam i-City in SA.

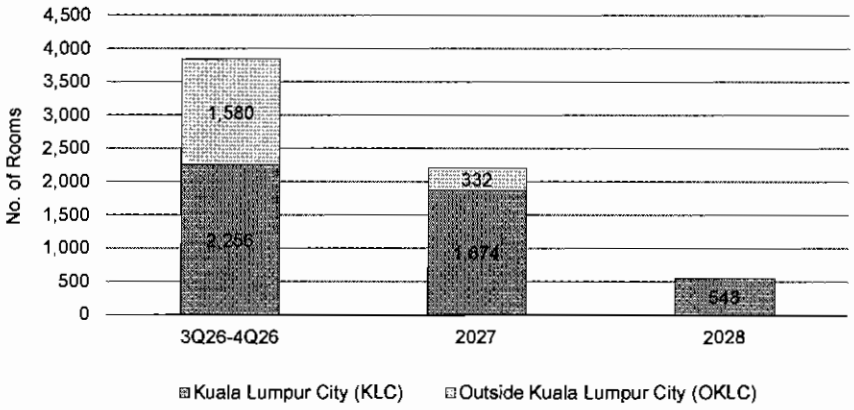
As at 2Q26, the total existing supply in the KLC area was recorded at 42,642 rooms from 32,523 rooms in 2015. Between 2015 and 2Q26, Kuala Lumpur City (KLC) registered a CAGR of 2.7% or an average annual supply of 964 rooms.

Meanwhile, the total existing supply in the OKLC area increased from 15,253 rooms in 2015 to 20,606 rooms in 2Q26, registering a CAGR of 2.9% or an average annual supply of 510 rooms during 2015-2Q26 period.

In 2Q26, the majority of the existing hotel rooms in the Klang Valley are located in the Golden Triangle (GT) (32%), followed by the Central Business District (17%), Bangsar/Pantai (BAN/PAN) (10%) and Other Areas (OTH) (10%). Collectively, these areas represent more than half (69%) of the total existing supply in the Klang Valley.

8.3 Future Supply

Chart 8.3 : Future Supply of Hotel Rooms in Klang Valley



Source: JLW Research

A total of 3,836 rooms (14 hotels) are projected to be completed between 3Q26 and 4Q26 in the Klang Valley. Of this, 59% or 2,256 rooms (7 hotels) are located in the KLC area and the remaining 41% or 1,580 rooms (7 hotels) are located in the OKLC area. Some of the prominent hotels expected to be completed during this period include the Conrad Kuala Lumpur (481 rooms) and the Orion Tower Kuala Lumpur (a Registry Collection,149 rooms) both located in the GT. In the OKLC the prominent hotels to be completed are Courtyard by Marriott Subang (280 rooms) in SJ and ASAI Gamuda Cove (280 rooms) in OTH.

Another 2,206 rooms (8 hotels) are expected to be completed in 2027. The majority 85%, or 1,874 rooms (7 hotels) are located in the KLC area and the remaining 15% or 332 rooms (1 hotel) are located in the OKLC area. Prominent hotels to be completed in KLC in 2027 are The Regent Kuala Lumpur (250 rooms), the Waldorf Astoria Kuala Lumpur (268 rooms) and the Langham Kuala Lumpur (198 rooms), all located in the GT.

In 2028, another 548 rooms (3 hotels) are scheduled to be completed in the Klang Valley, all of which are located in the KLC area. The main completions in 2028 are the Lyf Brickfields (204 rooms) in BAN/PAN and Barcelo Hotel (Richmond Estelar) (199 rooms) in the GT.

In the next 2.5 years (3Q26-2028), a total of 6,590 rooms contributed by 25 hotels, are expected to enter Klang Valley's hotel market (averaging 2,636 rooms per year). However, with the current large impending future supply, the completion of some of the identified projects could be deferred.

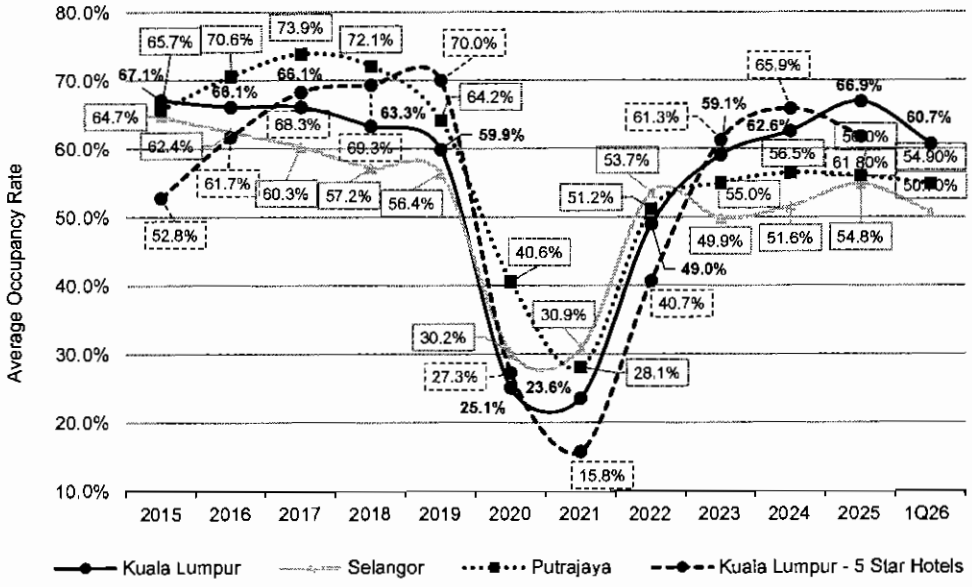
Table 8.3 : List of Selected Future Supply of Hotel Rooms in the Klang Valley

Expected Completion	Project	Location	No. of Rooms
2026 (3,836 rooms)	Conrad Kuala Lumpur / Luxury	Jalan Sultan Ismail, GT	481
	Orion Tower Kuala Lumpur, a Registry Collection / Upscale	Jalan Gading, GT	149
	Courtyard Marriott / Business	Ara Damansara, SJ	280
	ASAI Gamuda Cove / Midscale	Kuala Langat, OTH	280
2027 (2,206 rooms)	The Regent Kuala Lumpur / Luxury	Jalan Tun Razak, GT	250
	Waldorf Astoria / Luxury	Jalan Raja Chulan, GT	268
	The Langham Kuala Lumpur / Luxury	Jalan Ampang, GT	198
2028 (548 rooms)	Lyf Brickfields / Midscale Lifestyle	Brickfields, BAN/PAN	240
	Barcelo Hotel (Richmond Estelar) / Midscale Lifestyle	Bukit Bintang, GT	199

Source: JLW Research

8.4 Demand

Chart 8.4 (A) : Average Occupancy Rates in the Klang Valley, 2015-1Q26



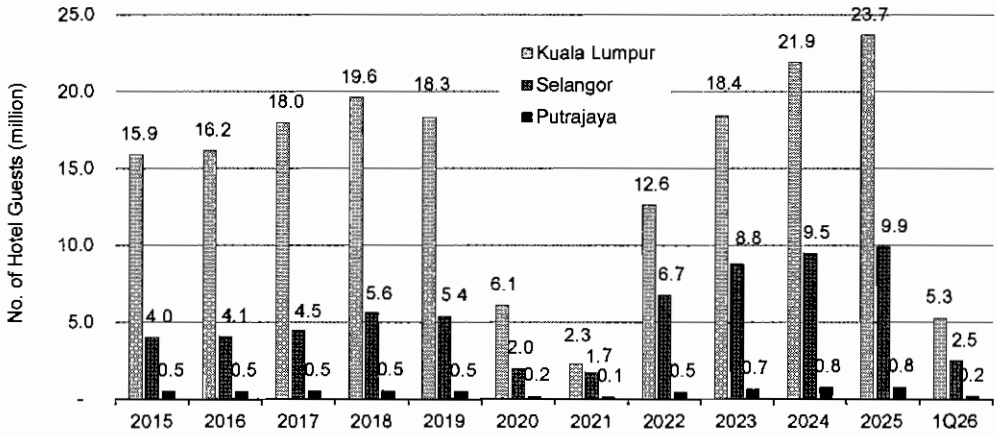
Average occupancy of selected 5 Star hotels in Kuala Lumpur comprised of Mandarin Oriental, Westin, Shangri-La, Park Royal, Park Royal Collection and Sunway Putra. No data available for Selected 5 Star Hotels in 1Q26.
Data for 2Q26 is not available.
Source: Tourism Malaysia, REIT and Company Annual Reports

The average occupancy rates of hotels in Kuala Lumpur and Selangor were on a declining trend between 2015 and 2019. In Kuala Lumpur the average occupancy rate was 67.1% in 2015 and reduced to 59.9% in 2019 (pre COVID-19) while for Selangor the average occupancy rate was 64.7% in 2015 and reduced to 56.4% in 2019. In Putrajaya, the average occupancy rate was 64.7% in 2015 and it peaked at 73.9% in 2017 and reduced thereafter to 64.2% in 2019. The declining trend in the occupancy rate was predominantly due to the slow growth in the number of tourist arrivals. In 2015, the number of tourist arrivals to Malaysia was 25.7 million and marginally (+1.5%) increased to 26.1 million in 2019.

Post COVID-19, from year 2022 to 2025, the average occupancy rates of hotels were on an uptrend, as Malaysia fully open its international borders for tourism in early 2022. The number of tourist arrivals increased by 163% to reach 26.6 million in 2025 from 10.1 million in 2022. The average occupancy rate of hotels in Kuala Lumpur increased to 66.9% in 2025 from 49.0% in 2022. In Putrajaya the average occupancy rate increased to 56.0% in 2025 compared with an average occupancy rate of 51.2% in 2022.The average occupancy rate of hotels in Selangor improved to 54.8% in 2025 from 53.7% in 2022.

The average occupancy rate of the selected 5 Star hotels in Kuala Lumpur has consistently been higher than the market average. However, the restriction for leisure international travel during the COVID-19 pandemic had affected all hotels including 5 Star hotels which highly rely on foreign travelers. The increase in number of international travels from year 2022 with the removal of COVID-19 travel restrictions has had a positive impact on the 5 Star hotels as the occupancy rate of the selected 5 Star hotels also improved in 2023 (61.7%) and 2024 (65.9%) surpassing Kuala Lumpur average occupancy rates of 59.1% and 62.6% in 2023 and 2024 respectively.

Chart 8.4 (B) : Number of Hotel Guests in the Klang Valley, 2015-1Q26



Data for 2Q26 is not available
Source: Tourism Malaysia

Similar to the trend of the average occupancy rate, the number of hotel guests is showing a Post COVID-19 gradual upward trend, between 2022 and 2025. The number of hotel guests in Kuala Lumpur increased by 88%, from 12.6 million in 2022 to reach 23.7 million in 2025. For Selangor, the number of hotel guests increased by 48% and recorded 9.9 million hotel guests in 2025 compared with 6.7 million hotel guests registered in 2022. In Putrajaya, the number of hotel guests in 2025 was 0.8 million against 0.5 million hotel guests in 2022.

The average occupancy rate of hotels is also showing an upward trend, with improved connectivity as more international airlines fly into KLIA. The visa waiver for tourists from China and India which commenced in December 2023 has been a major contributor to the country's tourism industry and provided support to the hotel sector.

8.4.1 Factors Influencing Hotel Demand

- **Growth in tourism** – the demand for hotel accommodation is largely driven by the tourism industry. The number of tourist arrivals in 2025 was 26.6 million which has surpassed the pre pandemic tourist arrivals of 26.10 million in 2019. Malaysia's ongoing tourism promotions, which showcase a diverse range of attractions—including natural wonders, iconic landmarks, rich heritage, vibrant cultural experiences, and world-class shopping—are expected to generate strong interest across a broad spectrum of market segments. The Visit Malaysia 2026 campaign is set to further enhance the nation's global tourism appeal, reinforcing its position as a leading travel destination while accelerating overall tourism growth.

- The increase in the number of tourists will result in a greater demand for accommodation which includes hotel rooms. The expenditure on accommodation by foreign tourists increased to RM19,322 million in 2024, an increase of 44% from RM13,406 million in 2023.

- **Purpose of travel** – A large majority of tourists visit Malaysia for holiday purposes. In 2023, 65% of the tourists visited Malaysia for "holiday purposes", followed by for "shopping" (35%) and for "visiting friends and relatives" (29%).

- **Enhanced connectivity** – more airlines are now flying into Malaysia especially from China and India, two of the world's most populated countries with a growing numbers of outbound travellers. KLIA has attracted more than 15 new airlines to fly out of KLIA while several airlines are increasing their frequencies to cater to greater demand.

- **Visa waiver** –The visa waiver for tourists from China which has been extended by another 5 years, commencing from July 2025 and the cumulative number of days allowed to stay has been extended to 90 days. The visa exemption for tourists from India has also been extended by another 2 years (originally scheduled for 31 December 2024) to 31 December 2026. The liberalization of entry to Malaysia to tourists has brought an immediate impact to the tourism industry which also elevates the country's economic growth.

Jones Lang Wootton
Proprietor: Singham Sulaiman Sdn. Bhd.
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- **Political and economic stability** in Malaysia enhances confidence level among foreign travellers to visit Malaysia, supporting the demand for accommodation / hotel room from foreign tourists.

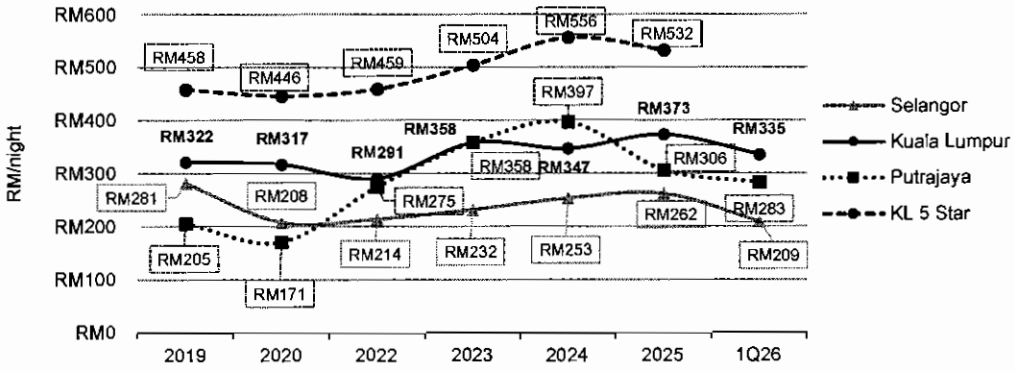
- **Foreign exchange** – the favourable foreign exchange of the world's major currencies US dollar, Euro and UK pound sterling and Singapore Dollar, has resulted in Malaysia becoming a "value for money" travel destination and with easy access to Malaysia, has made the country an appealing tourist destination. With the strengthening of Ringgit Malaysia, the country will attract higher spending tourists with high inclination for quality accommodation and services such as business travellers and conferences, golfers, medical tourists.

- Hotel properties within **integrated and destination developments** – the hotel will complement the office, retail, leisure properties within the integrated development and accommodate demand from both business and leisure travellers within the integrated development.

- **Increase in domestic travel** – the increase in cost of living could result in households reducing their spending on outbound travels which will lead to an increase in domestic tourism. Hotels particularly those within resorts and integrated with major retail centres will be appealing for staycation especially among the urban households, looking for a "convenient and short getaway" venues over the weekend.

8.5 Average Room Rate

Chart 8.5 : Average Hotel Room Rate in the Klang Valley, 2019-1Q26



Note: For Selangor, Kuala Lumpur and Putrajaya, no data available for years pre 2019, year 2021.
The ARR data for selected five-star hotels in Kuala Lumpur from 2019 to 2024 include the Shangri-La Hotel and The Westin Kuala Lumpur. For 2025, only the Shangri-La Hotel is included, as ARR data for The Westin Kuala Lumpur was not available. No data is available for 1Q26.
Data for 2Q26 is not available

Source: Paid Accommodation Survey Performance, Tourism Malaysia, Shangri-La Hotels (Malaysia) Berhad Annual Reports, Frasers Property Group Annual Reports

The average room rate (ARR) of hotels for Selangor was on an uptrend from year 2022 onwards as business and leisure travel progresses well after 2022 with full resumption of business and leisure activities after the lockdown in years 2020 and 2021 due to the COVID-19 pandemic. The ARR of hotels in Kuala Lumpur was recorded at RM373 per room per night in 2025, was higher than RM291 per room per night recorded in 2022. The ARR of hotels in Selangor was steadily increasing from RM214 per room per night in 2022 to reach RM262 per room per night in 2025. The ARR of hotels in Putrajaya increased from RM275 per room per night in 2022 to RM397 per room per night in 2024, however it declined to RM306 per room per night in 2025. The decline in the average room rate in 2025 was primarily attributable to fewer events being held in Putrajaya compared to 2024.

Putrajaya's status as an administrative capital city with a large offering of iconic buildings, gardens and parks as well as, its proximity to IOI City Mall has enhanced Putrajaya's appeal to both business and leisure travelers. Similarly, the average room rate of the selected 5 Star hotels gradually increased from RM458 per room per night in 2019 to RM532 per room per night in 2025. Unlike the average room rate of Kuala Lumpur which dipped in 2022 and 2024, the average room rates of hotels in Selangor have steadily been on an upward trend.

8.6 Hotel Transactions

Table 8.6 : Selected Transactions of Hotels in the Klang Valley

Year	Hotel	Location	No. of Rooms	Transacted Prices	
				RM million	RM per room
2025	Impiana Hotel / Business	Jalan Pinang, GT	519	315.0	606,936
	Corus Hotel */ Business	Jalan Ampang, GT	388	260.0	-
	Empire City - Part of Tower E** / Premium	Damansara Perdana, PJ	294	240.3	817,177
	Eastin Hotel / Business	Seksyen 16, Petaling Jaya, PJ	388	200.0	515,464
	MTree Hotel / Midscale	Bandar Puchong Jaya	180	40.4	224,556
2024	Pavilion Hotel Kuala Lumpur / Premium	Jalan Bukit Bintang, GT	325	340.0	1,046,154
	Banyan Tree Kuala Lumpur / Luxury	Jalan Conlay, GT	55	140.0	2,545,455
2023	W Hotel / Luxury	Jalan Ampang, GT	150	270.0	1,800,000
	Hotel Stripes / Premium	Jalan Kamunting, CBD	184	138.0	750,000
2022	Citizen M Hotel / Midscale Lifestyle	Jalan Pudu, CBD	210	80.0	380,952
	BBCC Hotel ***/ Business	Bukit Bintang City Centre, CBD	450	295.0	655,555
	Bintang Warisan Hotel/ Midscale	Jalan Bukit Bintang, GT	110	31.8	289,090
	Sheraton Imperial Kuala Lumpur / Premium	Jalan Sultan Ismail, GT	398	235.0	591,452

*the acquisition of the hotel land measuring approximately 1.485 acres in 2025 was undertaken for redevelopment purposes. As the property was intended to be redeveloped for a non hotel use, the transacted price per room metric is not applicable.
**hotel is under construction. Staggered payment with bulk of payment will be released upon completion of the hotel.
***hotel is under construction
Source: JPPH, Bursa Malaysia, The Edge, JLW Research

There were five notable hotel transactions in the Klang Valley in 2025, namely Impiana Hotel, Corus Hotel, Eastin Hotel, MTree Hotel and a hotel in Empire City (under construction) with a total combined transaction value of RM1.06 billion. Two hotels were also transacted in 2024 and 2023, with a total combined value of RM480.0 million and RM408 million respectively. In 2022, four hotel transactions with a total combined transaction value of RM641.8 million were recorded. Eight of the eleven hotels transacted are within established commercial centres in Kuala Lumpur city centre, where there is a high concentration of office buildings and retail centres, and the locations are also popular among tourists.

8.7 Klang Valley Hotel Market Outlook

The number of tourist arrivals to Malaysia has been steadily increasing since 2022 (Post COVID-19) and recorded 26.6 million tourist arrivals in 2025 which has surpassed the pre pandemic level. The number of tourist arrivals to Malaysia is targeted to reach 35.6 million in 2026, as a result of the improved connectivity (mainly via air) and supported by the various tourism promotions for Visit Malaysia 2026 (VM26).

The visa waiver for tourists from China has been extended by another 5 years and the cumulative number of days allowed to stay has been extended to 90 days. The liberalization of entry to Malaysia and the continuous enhancement of air connectivity between Malaysia and China will bring in an immediate impact to the tourism industry thus promoting economic growth and provide a spillover to the hotel industry.

Despite a steady improvement in the number of tourist arrivals, the Malaysian hotel sector has seen little growth in terms of average occupancy and room rates. This is due to the impact of a large number of short-term rental accommodation units (i.e. Airbnb) and other types of leisure accommodation available in the market such as boutique hotels, heritage hotels, container hotels and "home stay" accommodations which are appealing to travelers.

However, the 5 Star hotels have generally recorded above average occupancy rate and the trend continues Post COVID-19. The favourable occupancy rate is driven by the revival of corporate and business travel, as well as high demand for quality services and guest experience, supported by the increasing number of foreign tourists

Existing hoteliers that have successfully enjoyed rising occupancy rates are cautiously revising their room rates upwards with the aim to cover operational costs but remaining competitive. New hotels located in prime commercial locations and operated by international chain hotel operators can expect to command "high room rates" due to the new facilities, features and services provided. The presence of more international hotel brands operating in the Klang Valley in 2024 has pushed the room rates to higher levels. The trend of higher room rates will continue as more upscale and luxury hotel brands commence operations in Kuala Lumpur in 2025 and 2026. Hotels that are located in strategic locations, have unique offerings, provide high quality services, within integrated developments and have direct access to retail malls can expect to remain popular and appealing to hotel guests.

The ongoing promotions of Malaysia as a tourist destination with a wide range of attractions (natural and manmade), iconic buildings, heritage and cultural, as well as a shopping destination is expected to generate greater interest from a wide market segment. Furthermore, with some households deferring their outbound travel plans due to higher living expenses and resort to holidaying locally will augur well for domestic tourism including the hotel sector.

Impact arising from the Middle East Crisis

The ongoing Middle East (US – Iran) crisis which began at the end of February 2026 is expected to contribute to a volatile economy including Malaysia. The crisis which has affected global oil supply has resulted in a surge in oil prices which has led to inflationary pressures. The Malaysia government currently mitigates the higher price of goods arising from the Middle East conflict through a combination of targeted subsidies, price controls and supply chain diversification.

Travel patterns have been disrupted due to operational disruptions, rerouted flights (from the conflict areas in the Middle East) and rising fuel costs, resulting in increased airfares and longer travel times. Long-haul flights, particularly from Europe and Middle East region are expected to be affected significantly, leading to fewer tourist arrivals. These factors may place pressure on Malaysia's tourism targets, especially under the Visit Malaysia Year 2026 campaign. Nevertheless, the Malaysian Association of Tour and Travel Agents (MATTA) is working closely with the government to ensure that the campaign remains on track, including intensifying collaboration with ASEAN partners to boost intra-regional travel. Notably, the ASEAN region has remained Malaysia's top source of tourist arrivals (of about 70%) followed by tourists from China which made up 13% of the tourist arrivals in 2024 and increased to 15% of total tourist arrivals in 2025. Moreover, with Asia including Malaysia being a 'safe' travel destination, there is potential for tourists from the non-conventional and emerging regions (such as Central Asia, Scandinavia) to shift their travel plans to this region due to the ongoing crisis in the Middle East.

The Malaysian tourism base is well diversified across ASEAN, East Asia, Europe with domestic tourists providing a natural buffer to the industry. Current travel disruptions are characterised by airlines reducing their flight frequencies rather than withdrawing routes, helping to preserve the overall air travel connectivity. Malaysia remains to be well positioned, with intra ASEAN and short haul travel demand tend to be more resilient during periods of airfare volatility. The passenger demand fundamentals remain supported by business travel and sustained leisure activity.

9.0 KLANG VALLEY OFFICE MARKET

9.1 Definition

The office stock is divided into two principal areas: **Kuala Lumpur City (KLC)** and **Outside KLC (OKLC)**. The coverage areas are tabulated below. Both the commercial properties are located in the OKLC, with one of the subject properties is located in Puchong within Other Areas (OTH) and the other is in Putrajaya (PJY).

Area	Locality	Locations Covered
KLC	Golden Triangle Area (GT)	Kuala Lumpur City Centre (KLCC), Jalan Ampang, Jalan Tun Razak (south), Jalan Sultan Ismail (south), Jalan Bukit Bintang, Jalan Raja Chulan, Tun Razak Exchange (TRX)
	Central Business District (CBD)	Dang Wangi, Munshi Abdullah, Jalan TAR, Masjid India, Jalan Raja Laut, Jalan Sultan Ismail (north), Petaling Street, Jalan Tun Tan Cheng Lock, Jalan Pudu, Jalan Hang Tuah
	Decentralised Area (DC)	Kampung Baru, Jalan Tun Razak North, Sungai Besi, Cheras, Kampung Pandan, Ampang Hilir, Jalan Sultan Azlan Shah (south), Jalan Dutamas, Segambut, Mont Kiara and Duta/Bukit Tunku area, Taman Tun Dr Ismail (TTDI)
	Damansara Heights (DH)	Jalan Damanlela, Jalan Dungun, Jalan Semantan, Bukit Damansara
	Bangsar/Pantai (BAN/PAN)	Bangsar, Mid Valley, KL Sentral, Bangsar South, Kerinchi
OKLC	Petaling Jaya (PJ)	PJ Town, Bandar Utama, Mutiara Damansara, Damansara Perdana, Damansara Uptown, Kota Damansara, Bandar Sunway, Kelana Jaya
	Subang Jaya (SJ)	USJ, Subang Jaya, Ara Damansara
	Shah Alam (SA)	Shah Alam, i-City, Setia Alam, Glenmarie, Kwasa Damansara
	Klang (KLG)	Klang, Port Klang, Pulau Indah
	Other Areas (OTH)	Sg Buloh, Seri Kembangan, Pandan Indah, Puchong, Kajang, Kota Kemuning, Jenjarom
	Cyberjaya (CJY)	Cyberjaya
	Putrajaya (PJY)	Putrajaya, IOI Resort City

Source: JLW Research